Bharat Petroleum Corporation Ltd. (BPCL)

Conference call transcripts, oldest-first. 9 call(s). Generated 2026-08-02.

Call: Jul 2023

"Bharat Petroleum Corporation Limited Q1 FY24
Earnings Conference Call"

July 27, 2023

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MRS. SRIVIDYA V – CGM (CORPORATE TREASURY)
MS. CHANDA NEGI – DGM (PRICING & INSURANCE)
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MODERATOR : MR. HARSHAVARDHAN DOLE – IIFL SECURITIES LTD.

Moderator: Good morning ladies and gentlemen. Welcome to Bharat Petroleum Corporation Limited Q1 FY24 Earnings Conference Call hosted by IIFL Securities Limited.
As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity f or you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Harshavardhan Dole from IIFL Securities Limited. Over to you, sir.
Harshavardhan Dole: Greetings everyone. On behalf of IIFL Securities, I welcome you all to the 1st Quarter FY24 earnings call of BPCL.
To discuss the performance of the quarter gone by, we have the senior management team of BPCL represented by Director (Finance), Mr. VRK Gupta; ED (Corporate Finance), Mr. Pankaj Kumar; CGM (Corporate Treasury), Mrs. Srividya V; DGM (Pricing & Insurance), Chanda Negi; and Senior Manage r (Pricing & Insurance), Rahul Agrawal.
I would hand over the call to Rahul for the opening statement subsequent to which the call will be open for Q&A. Over to you, Rahulji.
Rahul Agrawal: On behalf of the BPCL team, I welcome you all to this post Q1 Results Con -Call. Before we begin, I would like to mention that some of the statements that we make during this con-call are based on our assessments of the matter and we believe that these stat ements are reasonable. However, their nature involves a number of risks and uncertainties that may lead to different results.
Since this is a quarterly results review, please restrict your questions to the Q1 Results . I now request our Director (Finance) – Mr. VRK Gupta who is leading the BPCL team for this call to make his opening remarks. Over to you, sir.
VRK Gupta: Good morning everyone. Welcome. Hope you were able to go through our results for the Quarter gone by.
We are pleased to share that BPCL has registered the highest -ever quarterly EBITDA, highest ever profit after tax excluding the exceptional items and high est ever total equity during quarter

1. The data of economic indicators shows that almost all sectors have re cover ed and are in line with or already crossing the pre -pandemic levels. World Bank and OECD have nudged up the global growth forecast for '23. In dia's economic growth is expected to be range bound between 5.5 to 6.5 for financial year '23 -24. In the recent S&P global ratings outlook, India is projected

to grow at an average of 6.7% for the next 3 years and growth forecast unchanged at 6% for this fiscal year projecting a sharp bounce back to 6.9% in '24 -25 and '25 -26. Sales of automobiles recorded a massive growth of 10% year on year, passenger vehicle sales grew by 9.4% and crossed pre -pandemic level, commercial vehicle sales dropped by 3.3%. Howev er, the same is about 2019 levels.
Coming to BPCL performance for the last quarter :
We recorded a stellar performance on both physical and financial parameters during this quarter. The throughput for refineries stood at 10.36 MMT for the quarter 1 compared to earlier quarter. It is significantly higher than the nameplate capacity which was around 115% of capacity utilization. The distillate yield was 84.09% during this quarter compared to previous quarter of 83.87%. During this quarter, we could process hig h sulfur crude of around 76% of the total crude throughput against 73% in the last quarter of previous year. The capacity utilization for PDPP, i.e., our petrochemicals complex at Kochi refinery which was around 70% during this quarter. BPCL GRM for quarte r 1 is $12.64 per barrel, all three refineries put together, as compared to $20.58 per barrel in Q4 of FY23.

On a sequential basis, there is a reduction of GRM due to
mainly reduction of the cracks. The drop in GRM is mainly due to sharp correction in fuel cracks with higher supplies and global macro headwinds during quarter 1. The HSD Singapore cracks fell down to $15.5 per barrel in Q1 from $28.2 per barrel in Q4 of FY23, and MS Singapore cracks were at $12 per barrel in Q1 from $15 per barrel in Q4 of FY23. When we compare quarter 1 of current year vis -a-vis quarter 4 of last financial year on sequential basis, the Indian basket of crude oil has decreased to $77.7 per barrel from $80.52 per barrel and the rupee has been hovering around 82 per dollar.
During the quarter, BPCL has registered a healthy growth in core retail fuels by gaining a market share of 0.20 and 1.82 in MS and HSD respectively among PSUs. Consequently, the main products MS -HSD -ATF -CNG registered a growth of 6.1% in MS, 6% in HSD, 14.2% growth in ATF, and 19.7% growth in CNG during this quarter as compared to Q1 of 2022 -23. We estimate that retail MS demand growth will be on similar lines for the entire year during 2023 - 24 financial year. HSD demand in urban markets is likely to witness relatively slower demand than the rural and highway market due to a little bit of transition happening towards CNG. We plan to add around a thousand new retail outlets during FY 2023 -24. And during quarter 1, we have added 111 new retail outlets. We have r ecently approved major projects with a capital

outlay of almost Rs. 50,000 crores during this quarter, mainly the petchem project at Bina Refinery, some POL facilities at Rasayani, and there are some wind power projects around 50 MW x2 in Madhya Pradesh an d Maharashtra.
In line with BPCL commitment for net zero at Scope 1 and Scope 2 level emissions by 2040, our renewables team has taken multiple projects. BPCL has a total installed renewable energy capacity of 46 megawatts as of date. We have projects in p rogress of around 60 megawatts and recently we have announced two major projects of 50 megawatts each in wind. We have signed multiple MOUs with Solar Energy Corporation of India and various state governments for development of RE projects. In keeping with its vision of a comprehensive energy provider, BPCL intends to turn its all ROs into complete energy stations with provision of charging stations at its 7,000 ROs by '24 December. Currently we have 747 EV charging stations and 13 battery swapping stations . The thrust is to provide charging stations at highways and cities prioritized by the Government of India. BPCL has adopted a highway fast charging corridor model with provision of fast charges either 30 kilowatt per hour or 60 kilowatt per hour at every 100 km on both sides of the highway corridor. Eighty such corridors are operational till date. We plan to set up around 400 such highway corridors.
Under the gas business, BPCL has emerged as a successful bidder in 25 GAs. We, along with our JVs, hold 29.1 % market share in terms of sales in the CGD sector of the country and would be investing approximately Rs. 48,000 crores over the life of th ese GAs and around Rs. 15,000 crores we are going to spend in the next 5 years for making it operationally viable in the next 5 years for the CGD sector.
Construction in our GAs is in full swing and we have completed almost 13,742 inch -kilometers of steel pipeline in our geographical areas where we got authorization under various CGD bid rounds. Commercial sales have be en started in 16 GAs. We currently dispense CNG in 1,607 retail outlets and further by the financial year end, we aim to add another 500 CNG stations in our existing MS and HSD retail outlets. We have recently issued advertisement for 14,273 new retail out lets spread across the country for capturing more markets and increase our presence.
Under non -fuel consumer retailing, curren

tly we have around 300 in -and-out stores in line with
our focus to expand non -fuel consumer retailing in urban and rural markets a nd set up an organized retailing ecosystem. We have commissioned around 120 retail rural stores till June and will be increasing to 1,000 stores over a period of time.
In terms of petrochemicals, recently we have announced a large petrochemical complex at Bina with additional impetus to the petrochemical segment in future. We plan to set up ethylene

cracker, HDPE, LLDPE, and polypropylene units along with other downstream petchem units at Bina Refinery and undertake refinery expansion from 7.8 MMTPA to 11 M MTPA. The refinery expansion is mainly for availability of feedstock for petrochemicals. On account of this project, additional petchem facilities of approximately 2 200 KTPA will come on stream by 2028. Gross capital expenditure of the project is Rs. 49,00 0 crores including the GST. If we remove the GST component, the net project cost will be around Rs. 43,000 crores.
For Q1, the revenue from operations stood at Rs. 1,28,257 crores and the profit after tax stood at Rs. 10,551 crores. During this year, we ha ve a CAPEX target of around Rs. 10,000 crores for the financial year 2024. We have spent about Rs. 1,464 crores in Q1. Our gross borrowings have significantly improved compared to Rs. 35,855 crores as on 31st March '23 to Rs. 27,939 crores. This is only gr oss borrowings. We are excluding the lease obligations amounting to around Rs. 8,800 crores. The debt equity ratio as on 30th June is at 0.45 as compared to 0.69 at the end of Q4 of FY23 on gross borrowing basis. On a consolidated basis with respect to Q1, revenue from operations stood at Rs. 1,28,264 crores while profit after tax stood at Rs. 10,644 crores.
Recently, our board has approved the proposal for raising capital up to an amount of not exceeding Rs. 18,000 crores for achieving energy transition, n et zero, and energy security objectives. This capital will be raised by way of issue of equity shares on rights issue basis to eligible equity shareholders of the Corporation as on the record date.
I now invite for questions and for any clarifications.
Moderator: Ladies and gentlemen, we will now begin with the question & answer session. We will wait for a moment while the question queue assembles. Participants, in order to ensure that the management is able to address all questions from the participants in this conference call, we request you to limit your questions to one per participant only. The first question is from the line of Rajesh Aynor from ITI Limited. Please go ahead.
Rajesh Aynor: Sir, my question is around the retail fuel prices and our approach for the same because the last more than 1 year has been an extraordinary time in the history and we have seen a lot of ups and downs, more downs. The oil prices shot up and we couldn't raise it proportionately obviously because of consume r interest. Now that a large part of the recoupment of whatever losses we had made earlier has been done, what's your take on the future retail fuel prices and when would let's say normalization would start? How is the company looking at these things?
VRK Gupta: Yes, I agree. Some of the losses what we have incurred in the marketing of last year, some of the losses we have recouped during this quarter but entire losses of marketing we could not

recover in this quarter. That said, secondly the market trends if you see, the prices of crude are not yet stabilized. When we see, the crude prices will hover around $75, then for a long term basis if we foresee, the crude is at around $75 level, still we can think of anything, but otherwise, still the crude prices h ave started going up. Recently, in the last couple of days, the crude has gone up t

o $82 -83 levels. We have to wait and see how the crude prices will stabilize. Then we can take a call on the pricing side. But as on date, whatever losses of under -recoverie s of last year, oil companies, at least for BPCL, we are not fully recovered 100%. We have to wait and see how the crude prices will move, how the cracks will move. Accordingly, we can take a call in the future.
Rajesh Aynor: Sir, it is possible to give an y timeline? Because, of course, all losses may not have been recouped but a large part of it would have been done and even the refining margins have been strong and supportive for us for the refining division. So, to some extent, there will be some compens ation from that side as well.
VRK Gupta: That is what I am trying to say. We have to wait and see how the crude prices will move. Just it has started moving up; now it is around $82 -83 level. The Brent crude is there. So, we have to wait and see for some m ore time. If we get a full clarity on the crude price movements, then we can take a call.
Moderator: The next question is from the line of Sabri Hazarika from Emkay Global. Please go ahead.
Sabri Hazarika: I have one question; this is pertaining to the rig hts issue of Rs. 18,000 crores. This Rs. 18,000 crores is part of – I think it is like somewhat influenced by the Rs. 30,000 crores of capital

support which the government has announced during the budget. It has been mentioned it is both for energy securit y as well as energy transition. So, if you are raising, the objective of this rights – I know you have not given the details, but can you give us some sense on how the allocation would be on energy transition versus energy security?

VRK Gupta: Yes. Two par ts in your question. One is whether it is a part of Rs. 30,000 crores or not. Yes, definitely it is from the budgetary support what they have announced. The money from the Government of India, infusion comes from that budgetary support only. Second is, thi s particular rights issue we are proposing towards three objectives. One is our net zero ambitions and net zero aspirations. The second is energy transition related and the third one is energy security. Energy security is mainly wherever we have exploratio n blocks. India as a country, we are short in terms of energy related crude oil and other things. So, definitely we need some more investments for getting this energy security for putting more money on the exploration side. Second is, our investments towar ds energy transition is mainly for CGD business and second is

to put some more money in the electric vehicle charging stations. And mainly for alternative fuels. For example, biofuel, CBG, and related investments we need this particular money. Accordingly, allocations individual project -wise when you see, our total ambitious CAPEX target for the next 5 years will be around Rs. 1.4 lakh crores to Rs. 1.5 lakh crores. Majority of the CAPEX requirements are for these three objectives. One is net zero and energ y transition and energy security related. Most of the Rs. 18,000 crores rights issue proceeds will be allocated towards these objectives. Individual project -wise we are working on it how much money we have to allocate to individual projects. We will come b ack and we will announce at the time of filing our application what allocation for what type of projects we are going to do.

Sabri Hazarika: Just a small followup. Energy security means it is like the normal CAPEX only; it includes everything, right?

VRK G upta: Right.

Moderator: The next question is in the line of Amit Rustagi from UBS. Please go ahead.

Amit Rustagi: My question relates to BPCL refining margins for the Mumbai Refinery. Why the margins were so low versus Bina and Kochi?

VRK Gupta: If you see our Mumbai Refinery configuration, their high sulfur percentage will be lower. The

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can process low sulfur grades will be on higher quantum and high sulfur grades will be at a lower quantum. Second, even if we see the combination of crude processing in Mu mbai Refinery, the Russian crude composition will be lesser in Mumbai Refinery as compared to Kochi Refinery and Bina Refinery. The other two refineries can take a maximum of crude around 45% to 50% of Russian grades and high sulfur grades. During this qua rter if you see the high sulfur grades, the commercial pricing side if you see, there is a good benefit in processing of high sulfur, mainly for Russian grades. That is one reason. And secondly, during this quarter, a small technical reason of non -availabi lity of sufficient hydrogen, we could not process some quantity of production. That will have a small impact only, but otherwise, the major impact of Mumbai Refinery margins are mainly processing of low sulfur grades than high sulfur grades.

Amit Rustagi: So, can we say that the majority of the difference is because of the Russian crude between the two sets of refineries like Bina and Kochi?

VRK Gupta: Yes, directionally, the major contributor for this differential is Russian grades.

Amit Rustagi: Sir, coul d you explain to us the LPG mechanism? Because, on this 30th June, you have made a comment about LPG. What exactly is still recoverable on account of LPG from the government? Any numbers on that?

VRK Gupta: We have disclosed it in the results. Once again, I will repeat. As on March '23, we have a negative buffer of around Rs. 850 crores. During this quarter, the entire Rs. 850 crores we have recovered and part of revenue from operations we have shown due to the good favorable prices of LPG. As on 30th June 2023, there is no negative buffer. Whatever available is a positive buffer only, which we have not recognized in the revenue from operations. Otherwise, on cumulative basis, as of 30th June 2023, there is no negative buffer for LPG.

Moderator: The next que stion is on the line of Hemang Khanna from Nomura. Please go ahead.

Hemang Khanna: Thank you for taking my questions; I have a couple. Firstly, for the Mumbai Refinery, what would be the total share of the Russian crude sourcing which was done in this quar ter? And secondly, could you please reiterate what was the overall utilization for the petchem project in this quarter? And how much was the GRM benefit if any?

VRK Gupta: One is, Mumbai refinery we cannot give exact number in terms of the Russian crude composition. In fact, Russian crude also we have two grades. One is low sulfur as well as high sulfur. But overall directionally compared to other refineries, the Mumbai Refinery cannot process Russian crude much beyond around 20%. Out of 20%, a good amount of crude has been processed in Mumbai Refinery. But compared to other refineries, the Mumbai Refinery can process very significantly lower quantum of Russian crude. Second is, in terms of PDPP performance, the particular units have been stabilized to a lar ge extent. During the current quarter also, the units have been operated around 70% in physical parameters. And the GRM contribution this quarter, the petchem margins are not comparably high as compared to other previous periods. Roughly, the GRM contribut ion on account of PDPP will be around $0.4 to $0.5 per barrel this quarter.

Moderator: The next question is from the line of Varatharajan Sivasankaran from Antique Limited. Please go ahead.

V. Sivasankaran: I wanted the refining inventory loss if you can g ive it now?

Rahul Agrawal: We don't publish the refinery inventory gain and loss.

VRK Gupta: Marketing inventory losses already we have provided. Refinery, we have not worked out separately anything.

Moderator: The next question is on the line of Sumeet Rohra from Helios Ca

pital. Please go ahead.

Sumeet Rohra: Sir, firstly, I would like to congratulate you. It has been absolutely a splendid quarter. In fact, I will just take a few minutes. You have actually reported what annual profit you used to m ake, you reported it in a quarter. Now, we understand, of course, this has been for whatever happened last year. And sir, it is very heartening to know that when you said that we have not recovered last year's losses, my question is not to do about any ref ining or marketing, but my question is more generic. Today, as investors, obviously it is completely disheartening to see the market cap of BPCL trading at where it is. Obviously, the market is basically lacking confidence and investors are not enthusiasti c about the prospects. If you can just spend a few minutes and basically reassure markets that profitability is the key focus which the government is concerned about oil marketing companies. That will basically go to reemphasize confidence among all the investors. Because, we are also doing a rights issue which clearly goes to show that we are obviously interested in increasing our equity, etc. Overall what I see is the government has done an extremely positive, but unfortunately it has not been recognized by markets. And being management, you can give confidence to markets and reassure markets that the Government of India is obviously concerned on the profitability and obviously they want these companies to be very prosperous. If you can just spend a bit on that, it will go a long way in reassuring markets and investors, sir.

VRK Gupta: You may be aware, this quarter's results, it is nothing but a reassurance to the market only and for the shareholders. And prospects if you see, on 2 sides you have to see. O ne is on the physical side how efficiently our company is running. From the refining side, you can see the refinery capacity utilization is much more than 115%. We have crossed the pre -pandemic levels and all the 3 refineries are running at full swing and 115% capacity utilization is not a small thing. Second, the yields have been improved at 84% levels. And all the refineries when low sulfur grade gives a good commercial sense, our refineries have taken a challenge and both the refineries – Kochi Refinery and Bina Refinery – their low sulfur production throughput is much much higher as compared to any other refineries. These are the positive indicators in terms of efficiencies of our operations. And second is on the marketing side you see, the volume growth is almost 8% compared to the previous quarter. These are the good indicators and reassuring our operational ability to give good assurance to the shareholders. Coming to the pricing, it is all market environment. For example, it totally depends on what is the outlook of the crude and what is the outlook of the cracks. Sometimes, yes, on a temporary period of time, the margins may be a little bit on the lower side, but one has to see on the longer period of time and over a

period of time longer -term basis. Whether the company can make good amount of margins or not? Yes, I am sure. We can ensure for a long -term basis the margins will be generated.

Sumeet Rohra: But sir, there is just one thing if I can add in here, earlier when you started, you said that we have not recovered. Because, obviously, one thing is that we didn't make money last year and normally we make about Rs. 10,000 crores annually. If you see it that way, we have a long way to go in catching up. So, is it safe to assume that there is going to be no price cut? The only thing people talk about is that the OMC will take a price cut because elections are around the corner. That kind of thing has to change, right? If you can just give some more clarity on the pricing,

then that will go a long long way.
VRK Gupta: But at this point of time, we cannot

comment anything on the price cut. We have to wait and see
how the crude prices will behave. If we feel the crude prices will stabilize at this level for a
longer period of time, then we can take a call. But at this point of time, crude is fluctuating from
$75 to $85. We are not sure whether it will stabilize at $85 level or it will go up to $90 level. We
have to wait and see for a more period of time.
Moderator: The next question is from the line of Prob al Sen from ICICI Securities. Please go ahead.
Probal Sen: I just wanted to understand a little bit more on the petrochemical capacity and expansion that
you have planned. If you can kindly give some details in terms of the exact capacities planned
and the kind of inputs that will be used for this project, whether it will be based on naphtha or
gas or ethane. Any details on that front plus timelines. That was my question.
VRK Gupta: First, already we have 1 petrochemical complex at the Kochi Refinery. The c apacity is around
329 TMT per annum. And the recent announcement of petrochemical complex at Bina Refinery,
this is mainly commodity petrochemicals with a capacity of 2200 KTPA consisting of 4 major
product categories HDPE, LDPE, and polypropylene along wi th downstream other
petrochemicals. The total capacity of output of petrochemicals will be around 2 200 KTPA and
a little bit of normal petroleum products it will give along with capacity expansion of CDU from
7.8 to 11 MMT. With this 2 200 KTPA plus existin g capacity of 329, we will be having around
2.5 MMT of petrochemical size in our basket. Once the completion of this project, our
petrochemical basket will be around 2.5 MMT. That is what we are aspiring by '28 once the
project is commissioned.
Probal Sen: And what is the kind of inputs that we will be using? Is it dual fuel use? Would it have the
flexibility to switch between naphtha and gas? Any idea that you can provide?

VRK Gupta: It is dual fuel only, but most of these configurations since we have a su rplus naphtha available
at some of the refineries, we want to take this naphtha to Bina Refinery so that we will get a
more value addition. That is the objective. With this background, this project has been envisaged,
by using more naphtha from our interme diaries.
Probal Sen: The economics, the returns that we are looking at, it's the standard kind of post -tax IRR that we
have in terms of threshold? Or that study is still to be done, sir?
VRK Gupta: Generally, we don't take up any projects if the IRR is not reasonable.
Moderator: The next question is on the line of Siddharth Chauhan from B&K Securities. Please go ahead.
Siddharth Chauhan: Is it possible to give us information about what kind of plant shutdowns you have planned this
year?
Rahul Agrawal: I wil l share it with you. Currently, Bina Refinery is going to shut down for the month of July.
Then, we will have some units of Kochi Refinery going for shutdown in the month of August
for 15 days. And then Mumbai Refinery, one of the CDU will go for shutdown at the fag end of
September for a month.
Moderator: We'll move on to the next question that is from the line of Vidyadhar Ginde from Sohum Asset
Managers. Please go ahead.
Vidyadhar Ginde: My question was there were press reports suggesting that you were t rying to sign up a contract
with Rosneft or one of the Russian companies for crude supply and the discount mentioned there
was about 8% to the Middle Eastern benchmark. Could you give us some color on whether the
discounts on Russian crudes have come down and whether the kind of volumes you were able
to proportion of Russian crude you were able to use in Q1, will it remain at that level or is it
likely to go down? Because, there are reports of Russia cutting their seaborne exports. If you
could give us some color on that.
VRK Gupta: We are always open fo

r any signing of term contracts with any of the suppliers provided
commercially if they give good terms to BPCL. Yes, there were discussions happening with
Rosneft but not yet concluded. In terms of the Russian crude discounts, as a trend -wise compared
to earlier quarter sequential basis, the discounts have been lesser during this quarter and current
times. But we are not sure how the discounts will behave – on which side discounts will increase
or discounts will come down. But at this point of time, comparatively based on the sequential
quarters, the Russian crude discounts are on a lower side compared to the previous quarter.

Vidy adhar Ginde: Was every month or so lower or the quarter was roughly similar? And what was the rough
discount in Q1 – some range? And what's the proportion of Russian crude used in Q1?

VRK Gupta: It all depends on the cargo to cargo. For example, with respe ct to companies whenever there is a need of spot cargoes, generally M minus 2 they will go to the market. At a particular point of time if there is no demand for that cargo, the discounts can go up. For example, if there is a good demand from the buyer's s ide, the discounts will be on a lower side. So, we cannot comment what exactly directionally what would be the discount. Definitely it will be cheaper than the alternative crude where we are getting from on the Gulf side.
Vidyadhar Ginde: But did the propo rtion of Russian crude go up in Q1 compared to Q4?
VRK Gupta: You are saying Russian crude procurement?
Vidyadhar Ginde: Yes, as a proportion of your throughput.
VRK Gupta: As of date till June, our proportion is in a good number only, percentage of Russia n crude production. If the discount continues at this level, still we can manage to take more Russian crudes. In fact, if the crude discount comes down, there is no commercial advantage of taking Russian crudes.
Moderator: The next question is from the lin e of Yogesh Patil from Dolat Capital. Please go ahead.
Yogesh Patil: Sir, news flow suggests that the PNGRB is strongly considering the regulation of oil product pipelines and planning to allow third parties to transmit the oil products through the pipelin es. My question is how it will impact on our marketing of oil products, mostly on the petrol, diesel, or ATF case? Do you see any kind of impact on our market share in these products if the decision is taken by the PNGRB?
VRK Gupta: We have not yet studied what is the impact of the market share. We will come back. We have not studied what would be the impact.
Moderator: The next question is from the line of S. Ramesh from Nirmal Bang Equities. Please go ahead.
S. Ramesh: The first thought is, what is your s ense in terms of the impact of Chinese refining throughput increasing and surplus exports on the refining spreads? And do you see the Chinese demand recovery supporting higher spreads in the coming quarters? And secondly, if you can give some color in term s of when you expect Kochi PDPP as well as CGD business to generate the expected

return on capital employed in terms of timeline and the kind of profits you can generate over 2 to 3 years from CGD and the petrochemical business?
VRK Gupta: One is, for Koch i Refinery petrochemicals, already we have shared it had contributed around \$0.4 to \$0.5 per barrel of refining margins. The only reason for lower GRM addition on account of petrochemicals is that during this quarter – in fact the last couple of quarters – due to the lower demand of petrochemicals in China, the import parity prices have been on the lower side. We are expecting this trend will continue for a couple of quarters more. Once the Chinese economy revives and if the Chinese demand comes back and o nce the petrochemical prices go to the normal levels, defini

tely the margins of PDPP will go up. We are not sure how much time it will take, but definitely once the China demand goes up, the petrochemical prices will be stabilized; then the margins will be improved further. What is your second question?
S. Ramesh: It was on the CGD business in terms of the investments you are planning over the next 5 years. You said sixteen of these GAs are in commercial operations. What is the timeline to generate, say 10% to 15% ROCE on this investment? Is there any cash loss on this as of now?
VRK Gupta: As of now, we have already around 1,607 retail outlets where we have started selling CNG, where we are getting good margins. In terms of the return on in vestment, we have to wait for the completion of the total project. Then we will come to know what is the total CAPEX we have invested there and then we can work out. As of date, we are not foreseeing any cash losses for this business.
S. Ramesh: One last t hought, if I may ask. In terms of your capital allocation, especially from the rights issue and the long -term investments in petrochemicals, when do you expect to be able to indicate what are the kind of commercial returns you will get on this investment, especially in the rights issue? Because, there is a timing issue in terms of at what price you issue, and to that extent, there will be a dilution of earnings. So, how do you expect to offset this dilution of earnings from this rights issue? If you can jus t give us your thoughts on that.
VRK Gupta: As a process, we are in the process of appointing the merchant bankers and transaction advisors. Maybe in the next couple of days, we will conclude an appointment of our transaction advisors and legal advisors . After that, we will come up with the calendar by what time we can come to the market for this rights issue. In terms of the capital allocation, already I have explained. We are working on it – which type of projects and how much capital we have to allocate from this proceeds. But definitely this entire Rs. 18,000 crores proceeds are meant mainly for net zero ambitions, energy security, and energy transition. In terms of the energy security and energy transition, definitely the returns will be in the normal c ourse of business only. Only in terms of

net zero ambitions, we may have to see what amount we have to allocate; because, one is on the obligation side, we want to go for a net zero. Returns point of view, at this point of time, we are not sure what projec t we have to take it up. Once we complete this allocation, then we will come back and we will share what type of allocation we will keep it to the net zero and for energy transition and energy security.
Moderator: The next question is from the line of Kirtan Mehta from BOB Capital Markets. Please go ahead.
Kirtan Mehta: First question is, in terms of the Russian crudes usage, if the Russian crude prices cross USD 60 per barrel, would we be able to continue to make payment using the current mechanism or is there a risk that that could reduce the usage of Russian crude in our refineries?
VRK Gupta: Based on our experience, once the price is crossing beyond the threshold, we have faced a little bit payment issues earlier. Now we have to wait and see for the next cargoes when the payment dues are happening. At least for the time being, we are not foreseeing any problem because now more banks are ready for making the settlements. So, we have to wait and see. As of date, there are no payments which are pending for settlement. We have to wait and see. In case really if there is any purchase price beyond the price cap, see if there are any issues or not.
Kirtan Mehta: Second question was about the E&P business where could you share more detail about the status of Mozambique? Is there any reassessment of CAPEX done and when is basically the force majeure l

ikely to lift off? And also on the Russia side, are we sort of started to receiving the dividends or are there any payments pending there?
VRK Gupta: Only on the M ozambique side, some positive discussions are happening. In fact, recently, 2 operator level committee meetings have happened. So, most probably we are expecting in the next 1 or 2 quarters, the work may restart. But officially, the main operator, lead ope rator, Total Energies, they have to announce after taking consensus from the operators. Yes, definitely there will be an increase of the project cost because there was a delay of around 3 -1/2 years in the project. There will be an increase, but how much an d what extent, what are the timelines, not yet finalized. Once the operator level committee, if they have finalized the project cost increase and revised timelines, we can share that. And second, in terms of the Russia, yes, whatever proceedings for BPCL p ortion around $130 million is pending at Russia, they are not in a position to declare the dividend. The proceedings have not moved out of Russia. Our stake will be around $120 million to $130 million.
Moderator: The next question is from the line of Vikas h from CLSA. Please go ahead.

Vikash: I wanted to understand and confirm the accounting for LPG margins from here on. Since there is this surplus mechanism, is it correct to assume that from here on, the accounting will not be more than whatever is the fai r margin and whatever is the surplus will not figure in the income statement but will be simply taken to reserves and maybe used sometime later whenever there is a shortfall? That is first. Secondly, I also wanted to ask a little bit more details on Mozamb ique. Maybe if you can answer this and then I can ask the Mozambique bit.
VRK Gupta: As an accounting practice, there is no change of accounting practice. Whenever there is a positive buffer, we never take it to the revenue from operations. As a government scheme, current scheme, whenever there is a positive buffer; for example, if we are recovering more than the price, that price, we never take it as a revenue from operations. This is the accounting convention we are following in the last couple of years. There is no change. And this will continue also. But the current scheme of things for LPG, if there is any positive buffer, it will be outside the P&L. It will be kept outside.
Vikash: And that will be used to offset whenever there is a negative buffer. Th en, that will come inside the P&L?
VRK Gupta: Right. That is the current mechanism.
Vikash: The other thing that I wanted to check on Mozambique; could you just remind us where were we in terms of financing, in terms of certain initial heads of agreements in terms of offtake? Would all of those be valid or you'll have to kind of redo all of that work when the project development restarts?
VRK Gupta: One is on the project financing side. Whatever project financing it happened for $15.4 billion, as of date, i t is valid. They got the time extension. Now the question is on the revised project cost – whatever be the number – again they have to approach all the lenders community. But positively, they got good assurance of the lender community. The revised project cost, they may get the approvals. So, the project financing side, as of date, it is valid. Whatever required money for the project from our share, it will be drawn down from the project financing side. Second is, sales contracts and whatever offtake agreem ents, as of date, it is valid. Whatever we have signed the agreement, that is valid.

Vikash: And if you could remind us roughly, was each partner doing his own share of agreements, or
was it being done as a consortium?

VRK Gupta: It's a consortium with res pect to buyers. They

will go to the consortium and they will take that
agreement.
Vikash: And this was two trains, right? That's roughly a little less than….
VRK Gupta: Yes, as of now, there are 2 trains. This project is for 2 trains, the current project.
Vikash: That's a little less than 10 million tonnes, right? You were looking for around 11 million tonnes.
VRK Gupta: 6.44 x 2, so around 13 million tonnes.
Vikash: And the duration, as you understand, once you get to day #0 of start of the project develop ment,
is it 3 years or is it a little more than that?
VRK Gupta: We are hopeful for 3 -1/2 to 4 years.
Vikash: But there has not yet been any formal announcement by Total, right?
VRK Gupta: Not yet. But we are hopeful in the next couple of months, at least some announcements can
come.
Moderator: The next question is from the line of Bhaskar Chakraborty from Jefferies. Please go ahead.
Bhaskar Chakraborty: You had indicated that you were looking at 1.4 to 1.5 lakhs of CAPEX over the next 5 years.
Does that mean that from the next fiscal, we are likely to see Rs. 25,000 crores to Rs. 30,000
crores of annual CAPEX ?
VRK Gupta: The major peak CAPEX will start not from the next year but '25 -26 onwards, you can see a huge
CAPEX . Current year, our target is Rs. 10,000 crores. But we are expecting it will cross beyond
Rs. 10,000 crores. But next year also, it is not at that level of Rs. 25,000 crores; s omewhere
around Rs. 15,000 crores to Rs. 17,000 crores. That is what our expectation is. But '25 -26
onwards, the peak CAPEX is going to start, mainly for the petrochemical complex. The year #3
will be the major CAPEX we have to incur. This year and next ye ar, the CAPEX allocation will
be lesser only for the petrochemical project. But year #3 will be the major CAPEX we are going
to incur, year #3 and #4 onwards.
Bhaskar Chakraborty: Does that mean that there will be a large accretion in debt coinciding with this? Because, this is
almost 3x the annual CAPEX run rate you have had in the past.

VRK Gupta: That is the reason some portion of our requirement we are planning for the rights issue.
Definitely we have to go for the borrowings. I am not saying that we ca nnot go for the
borrowings, but the debt levels our aspiration should be keep it at a lesser leverage level, not
crossing beyond a certain level. Maybe our aspiration will be around 0.8 to 0.9 level of debt
equity even after completing of these projects on a standalone basis.
Moderator: The next question is from the line of Vivekanand Subbaraman from Ambit Capital Private
Limited. Please go ahead.
Vivekanand Subbaraman: I just had 1 question with respect to the dividend payout, the philosophy with respect t o dividend
payouts. Last year, I understand the profitability was depressed due to the fuel prices being
frozen and abnormal energy situation. How should we think about the dividends considering
your CAPEX plans which are substantially elevated, especially from year #2 and year #3?
VRK Gupta: We have a dividend distribution policy. Our endeavor always is that 30% of the profit should be
distributed as dividend or at a 5% of the net worth. That is our endeavor every year. We try to
give returns to the shareh olders in terms of dividend distribution at least a minimum of 30%.
Even by taking up this much of large CAPEX for the next 5 years around Rs. 1.5 lakh crores,
we are still hopeful we can distribute that level as per the dividend policy. If there is any ch ange
in the policy, then we can communicate. As of date, our endeavor always is to comply with our
policy.
Vivekanand Subbaraman: One last from my end. As far as your CAPEX is concerned, because it is spread out, would it
mean that the rights issue money c ollection will also be spread out? Or has that not yet been
decided?
VRK Gupta: As of date, the entire exercise is ye

t to start. We are just in the process of appointing our
transaction advisors and merchant bankers. Based on their workings, then according ly we can
work out what is the timeline; whether it is a single time or multiple times we have to receive,
we have not yet concluded anything on this.
Moderator: The next question is from the line of Vipulkumar Shah from Sumangal Investments. Please go
ahead.

Vipulkumar A. Shah: Can you give the exact percentage of Russian crude used in all three refineries and the discount which we have got to the reference prices?

VRK Gupta: Once again I am saying the same thing. Because we cannot give any exact numbers, I can give what percentage of crude our refineries can process because everything depends on what is the availability of Russian crude based on the timelines. For example, for X period of time, for example a particular month if I need some X cargoes; if av ailable in the market, then I can take X cargoes and process. Many of the times, our requirement and market supply may not match. So, we cannot give exactly what would be the Russian crude we can process. But on an average directionally, we can take around 30% to 40% all three refineries put together, we can process Russian crude.
Vipulkumar A. Shah: But at least you can give what you have done in the last quarter? That is my point.
VRK Gupta: I am giving the range. In this particular range, we can work on.
Vipulkumar A. Shah: And what was the discount?
VRK Gupta: Discount is a commercial term. Generally we don't disclose whatever discounts we got it.
Moderator: Ladies and gentlemen, we will be taking the last question that is from the line of Vishnu Kumar from Spark Capital. Please go ahead.
Vishnu Kumar: A few questions surrounding the rights issue. When this Rs. 30,000 crores was allocated in the budget, it appeared that probably some part of the losses was indirectly getting funded through the rights issu e, at least when the government provided. Now that we have indirectly recovered a good amount of the losses, i.e., last year, can there be a rethink whether this money is required? That is one. Second is that while we have said a couple of purposes with wh ich this rights issues which is the net zero, energy transition, and energy security. Can you give us a specific split of amounts that you already have in mind for this? Why this question I am asking is energy security in the past we have not really had gr eat successes in terms of our exploratory investments. Exploratory we had, but at least in terms of the capital returns either from Mozambique which was supposed to come in '17 -18 or even Wahoo, we have not had much of an investment. So, trying to understa nd, rather we have focused more on the downstream and probably let ONGC and OVL do the energy security part. Some thoughts on this point would be helpful.
VRK Gupta: This is Rs. 18,000 crores rights issue. Whether we need it or not, to answer your question , definitely we need because such a large CAPEX investment projects we are having and expecting around 1.5 lakh crores. We don't want to leverage ourselves to a large extent. We want to moderate our leverage. That is the reason we need money. Secondly, in terms of the capital allocation, whether explor ation…. why do you want to put more money? We are not going for

any new blocks or new investments. We have 2 major investment blocks. One is in Brazil and one is in Mozambique. That has crossed the exploration stage to the development stage. So, we are con tinuing these projects only. It requires a large amount of investment. That is one reason some part of capital allocation will happen for these 2 blocks under energy security. Energy transition, you know, almost 25 GAs we got the licensing. This requires a huge

capital
requirement. So, under energy transition, some amount of capital definitely we need to allocate for the CGD business. In terms of Scope 1 and Scope 2 emission reductions, we have a plan by 2040, how much capital outlay it is required. Somewhe re roughly we need around Rs. 90,000 crores to Rs. 1 lakh crores. We have not yet finalized what is the exact amount and what type of project, but the timelines are around next 15 years we have to work towards. We have to start the journey in terms of the net zero, Scope 1, and Scope 2. Some amount definitely we have to allocate for these projects. Exact project -wise allocation, we are in the process of working on it. At the time of rights issue application, we will share that information.
Vishnu Kumar: But can there be a fungibility of the funds that you will raise for your petrochemical plants also or is it necessarily going to only those that you will mention in the rights issue?
VRK Gupta: That is what I said. We have not yet concluded whether how much a mount we can give it to petrochemical project also or do we need to go for a project financing. We are yet to conclude on that which route we have to go.
Vishnu Kumar: Rough timeline for the r ights ? In the next couple of quarters you want to conclude or….?
VRK Gupta: Shortly we will communicate what would be the timelines.
Moderator: Ladies and gentlemen, that was our last question. I now hand the conference over to Mr. Harshavardhan Dole for his closing comments.
Harshavardhan Dole: Firstly, I would like t o thank BPCL's management for giving IIFL an opportunity to host the call. We really appreciate, sir. Also, ladies and gentlemen, I sincerely thank you for participating

in this call. In case any of your questions are unanswered, you can either drop in a l ine to me or to the BPCL investor relations team and I am sure they will look forward to address those issues. Sir, any last remarks that you would like to make?

Rahul Agrawal: On behalf of the BPCL team, I thank all the investors for taking part in this c on-call. Also, I thank IIFL Securities for organizing this call. We look forward to meeting after the next quarter's results. Thank you everyone.

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of IIFL Securities Limit ed, that concludes this conference. We thank you for joining us and you may now disconnect your lines.

Call: Oct 2023

"Bharat Petroleum Corporation L imited
Q2 FY '2 4 Results Conference Call "
Octo ber 30, 202 3

MANAGEMENT : MR. V.R.K GUPTA – DIRECTOR FINANCE – BHARAT PETROLEUM CORPORATION LIMITED
MR. PANKAJ KUMAR – EXECUTIVE DIRECTOR , CORPORATE FINANCE – BHARAT PETROLEUM CORPORATION LIMITED
MRS. SRIVIDYA – CHIEF GENERAL MANAGER , CORPORATE TREASURY – BHARAT PETROLEUM CORPORATION LIMITED
MR. RAHUL AGRAWAL – SENIOR MANAGER , PRICING AND INSURANCE – BHARAT PETROLEUM CORPORATION LIMITED

MODERATOR : MR. VARATHARAJAN SIVASANKARAN – ANTIQUE STOCK BROKING

Moderator: Ladies and gentlemen, good day, and welcome to Bharat Petroleum Corporation Limited Q2 FY '24 Results Conference Call hosted by Antique Stock Broking . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressin g star, then zero on your touchtone phone. Please note that the conference is being recorded.

I now hand the conference over to Mr. Varatharajan Sivasankaran from Antique Stock Broking . Thank you, and over to you, sir.

Varatharajan S.: Yes. Thank you, Akshay. Good afternoon, everyone. It's my pleasure to welcome all the participants as well as the management of BPCL to the results conference call. From the management side, we have Mr. V.R.K Gupta, Director Finance; Mr. Pankaj Kumar, ED Corporate Finance; Mr s. Srividya, CGM Corporate Treasury; and Mr. Rahul Agrawal, Senior Manager, Pricing and Insurance.

We request Mr. Gupta to give a short brief on the results and then we can move on to the Q&A. I would like to hand over the call to Mr. Gupta now.

Rahul Agrawal Thank you, Mr. Varatharajan. On behalf of the BPCL team, I welcome you all to this post Q2 result con call. Before we begin, I would like to mention that some of the statements that we will be making during this con call are based on our assessments of the matter. And we believe that these statements are reasonable. However, their nature involves a number of risks and uncertainties that may lead to different results.

Since this is a quarterly result review, please restrict your questions to the Q2 results. I now request our Director Finance, Mr. V.R.K Gupta, who is leading the BPCL team for this call to make his opening remarks. Thank you, and over to you, sir.

V R K Gupta : Good afternoon, everyone. Welcome. I hope you were able to go through our results for the quarter gone by. Before talking through the BPCL results, let me touch upon the macroeconomic factors. High and volatile energy prices and the ongoing geopolitical te nsions, persistent supply bottlenecks and surging inflation have emerged as a major concern for the global economy. Crude oil prices continue to remain volatile due to the recent Israel -Hamas war.

The Indian basket of crude oil has increased substantially during the quarter -to-quarter from $77.71 per barrel to $86.68 per barrel due to extension of crude production cut s by Saudi Arabia and Russia until December and the rupee had been hovering around INR82, INR83 range. IMF retained its global growth for cash for '23 at 3%. However, revised it downward to 2.9% for '24, and India GDP grew by 7.8% in Q1 and is expected to b e in the range of 5.7% to 6.7% for FY '23, '24, according to various agencies.

Moving to BPCL performance. Our refineries have continued their stellar performance in both physical and financial parameters during this quarter. Bina Refinery went for a planned shutdown in the month of July. However, we were able to maintain the through put for all three refiner ies put together at 9.35 MMT for the quarter, which is at 105% of the nameplate capacity,

even when refinery has gone shutdown. Distillate yield was at 84.06% during the quarter, again st 85.73% in the same quarter last year due to shutdown at Bina Refinery.
Percentage of high sulphur crude processing in refineries was 75% during the quarter, again st 73% same quarter last year. The capacity utilization for PDPP plant at Kochi Refinery was around 73% during the quarter. Kochi Refinery processed two new grades of crude, taking the total crude basket to 108 grade. There were sharp increase in fuel cracks during the quarter due to glob

al supply dynamics and geopolitical issues. The H SD Singapore cracks increased to $28.8 per barrel in Q2 from $15.5 per barrel in Q 1 and MS Singapore at $13.2 per barrel in Q2 from $12.07 per barrel in Q1. Accordingly, BPCL's reported GRM of $18.49 per barrel for Q2 again st $12.64 per barrel in Q1. This is before factoring the impact of Special Additional Excise Duty and road and infrastructure levied with effect from 1st July 2022.
On marketing side, shift of volumes back to private players have resulted in lower growth in MS for PSU industry and degrowth in HSD . However, BPCL has registered healthy growth in core retail sales by gaining a market share of 0.36% and 1.82% in MS and H SD, respectively, among PSUs. On an overall basis, there was sales growth of 6.5% during the quarter year -on-year basis. The main product MS, HSD, LPG, and ATF registered a growth of 4.1%, 1.1%, 2.3% and 2.3% respectively. However, the industrial products have grown at 33%. We estimate that the retail MS demand growth will be similar for the rest of FY '23 -'24. However, demand for HSD and other fuel sensitive to industrial activity are expected to grow at a modest rate.
We plan to add around 1,000 more retail outlets '23, '24. During first half, we have added 300 new retail outlets. We have recently issued advertisement for 14,273 new retail outlets spread across the country for capturing more market and increasing our presence.
We'd like to highlight some of our marketing initiatives during this quarter. To strengthen supply chain in eastern part of country, we have commissioned Bokaro Depot in Jharkhand with a cap ex of around INR 250 crores. We are in process of opening through three new depots in North - eastern states to strengthen our supply chain and increase our presence in NE.
KSPPL, LPG pipeline from Kochi Refinery to Palakkad Terminal with a length of 150 kilometres was successfully commissioned. Our co -branded SBI credit card has reached to a customer base of 2.9 million cardholders. We have rolled out the quality challenge Zero Ka Dum initiative with the aim of guaranteeing that all cylinders in the market, LPG cyl inders, are entirely free from defects which would help in improving trust among the customers and also enhance process efficiency in the value chain.
To drive inclusivity, BPCL launched Silent Voices. The path -breaking initiative in collaboration with Youth4Jobs to promote inclusivity at selected retail outlets in Phase 1 on 15, August 2023, which will pave way for inclusion of speech and hearing -impaired people as DSMs or DSWs at retail outlets.
Under gas business. Construction in our 25 GAs is in full swing. Out of proportionate minimum work program target of 8,488 -inch kilometre pipeline till 30, September 2023. We have already crossed the MWP target, and completed 16,815 inch kilometre steel pipeline, and we have

completed 452 CNG stations, again MWP target of 119 CNG stations in our geographical area, where we got authorization under various CGD bid rounds. However, we are lagging on PNG connections . The commercial sales have started in 24 GAs till date out of 25 GAs what we got. We currently dispense CNG in 1,640 retail outlet, and further by the financial year end, we aim to add another 500 CNG facilities in our existing M S/HSD retail outlets.
In line with BPCL commitment for NetZero at Scope 1 and Scope 2 level emissions by 2040. We have taken up multiple projects in solar and wind energy. During the quarter, 18-megawatt solar plant at Bina Refinery was commissioned. As on date, we have total installed renewable energy capacity of around 64 megawatt and we have projects in progress for about 190 megawatts with an estimated capex of around INR1,400 crores in various locati ons across the country. And our aim is to reach 1 gigawatt in the short ter m.
We are al

so in process of setting up a green hydrogen production unit and refuelling station at Kochi to supply green hydrogen to buses. We also have plans to put up around 26 CBG plants in the short term. We have approached various municipal authorities for the same.

As brief ed in the previous con call, our Board has approved a downstream petrochemical complex and refinery expansion project at Bina Refinery with a capital outlay of INR49,000 crores. We are pleased to inform you that Honourable Prime Minister on September 14, laid the foundation stone for this project.

As part of our brand promotion activities, we have brought on board cricketing legend and current head coach of the Indian cricket team, Mr. Rahul Dravid, as the dynamic new face of our BPCL brand. Rahul Dravid, fondly known as Mr. Dependable, he is not only cricket legend, but also a symbol of dedication and honesty. BPCL as brand define s honesty and dependability at its core virtues qualities that are essential to succeed in cricket, in business and society in general.

Finally, let me brief on the financial performance. We have secured highest ever profit after tax for half year at INR19,052 crores. For quarter 2, the revenue from operations stood at INR1,16,59 4 crores. The profit after tax stood at INR8,501 crores, mainly due to better c rude mix coupled with higher refining cracks. The negative buffer of LPG as on 31, March 2023, about INR849 crores ha s been reco vered fully and the current buffer is positive. We have a capex target of around INR10,000 crores for the full year. We have achieved already INR5,191 crores capex during first half year.

Our gross borrowings as of 30, September stood at INR22,568 crores as compared to INR27,939 crores as on 30, June 2023. Sequentially, quarter -on-quarter, there is a reduction of INR5,000 crores of borrowings. Also, we have cash and cash equivalents of INR5 ,028 crores, and bank balances of around INR11,000 crores and other investments, including oil bond, we have around INR6,179 crores. Our consolidated gross -- borrowing stood at INR47,520 crores as on 30, September. The debt -to-equity ratio as of 30, Septe mber 2023 reached 0.32 as compared to 0.45 as on 30 June 2023 on gross borrowing basis.

Our standalone net wo rth, as on 30, September has increased to INR70,328 crores, with a book value per share of INR324. Earnings per share for the half year was INR89.47.

I now invite for questions and for any clarification. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Probal Sen from ICICI Securities. Please go ahead.

Probal Sen: Just a couple of questions. One was with respect to the GRM performance, and congratulations on this kind of strength being shown. Just wanted to understand if you can just explain to us where this outperformance again st the Asian benchmark is coming from, specifically if we look and thankfully you disclose refinery -wise performance, the kind of gap between Bina Refinery GRMs versus any other refinery in India is pretty stark. So, if you can just get some handle sir, on where this outperformance is coming from? Whether it is coming from favourable crude mix or there is some inventory gain also which you may not disclose, but are those basically the factors that are driving this?

V R K Gupta: Two parts I will explain about this refining margins. The quarter gone by July to September, everyone is aware that cracks itself has improved compared to sequential quarter. The diesel cracks has significantly improved during second quarter. That is the first thing actually all the refining margins have improved.

The second, mainly for the Bina Refinery in terms of refining GRM point of view, our refinery at Bina can take high sulphur grades up to 90% -- 95% range you can process

high sulphur
grades. And in product slate also if you see in the Bina Refinery, we can take a very big swing in terms of MS and HSD. Our HSD product can take up to 57% of product slate, we can take it as HSD. When diesel cracks are very high, we can take up to 57% , which helps the GRM Bina Refinery. And the major other influencing factors f or Bina Refinery is our crude mix.

When we see the crude mix, the higher crude in case of Russian Urals, we are competitive with the product costing as compared to other grade, which also helped the higher ref ining margin in Bina. And even Cochin also -- if you see the Cochin also, the product slate in terms of diesel, we can take up to 45% of diesel production. And there also we can process more Russian Urals, where the competitive pricing is not from the Russian Urals at R&D. These three, four influencing f actors, which has improved the refining margin.

Probal Sen: Perfect. Sir, that's very useful. If I can ask a small follow -up. Is it possible to give us a sense of diesel, gasoline and ATF , these three, would be roughly how much of our overall product take as a percentage? Just a sense would for Bina, Kochi or overall, whatever you want to share?

V R K Gupta: Okay. Roughly, you can take Bina, 57%, and Cochin we can take up to 45% and Mumbai also, we can also take 45%, roughly.

Probal Sen: That's for diesel. I'm saying, sir, diesel, gasoline and ATF combined. I'm just talking if you share that number?
V R K Gupta: We will share.

Moderator: Thank you. T he next question is from the line of Sumeet Rohra from Helios. Please go ahead.
Sumeet Rohra: Firstly, many, many congratulations on a superlative performance. I mean I'll just take a few minutes, sir. You have actually paid INR6,300 crores tax, which today, companies are not even reporting on revenue. So many, many congratulations on a superlative performance. And it's clearly showing that BPCL as a company is going to new heights.
Now sir, I have a few things, which I would like to bring to your attention and a few suggestions rather I would like to talk about. Sir, firstly, is that this government inflow or whatever was spoken about actually there are press reports stating that the oil companies don't need that. So, our clarification to that level should be issued with immediate effect that there is no need for this because we are virtually now a debt -free company.
And management should also consider paying out dividend because I believe IOC, your PEER company is also meeting for results and paying out dividend tomorrow. And sir, I have a suggestion that we should also focus on buyback of shares. Because, sir, I would like to highlight this to you that today, in the public sector, there are 72 or 75 com panies. And all the public sector companies in India today have got re -rated except for the oil marketing companies, okay?
Now please hear me very carefully. All the public sector companies in India have gone up by 3x to 5x in the last three years. But unfortunately, the oil marketing companies in the public sector space are actually down by 50% to 60%. So, there is absolutely no reason for this to happen. It is purely a perception -related issues, which is basically clouding this sector. And in fact, this sector is doing the best.
Today, sir, it is absolutely unthinkable that a company of BPCL's calibre is trading at a 3 PE. I repeat. I mean Bharat Petroleum cannot trade at 3x price -to-earning ratio after having an ROE of 25. I mean BPCL along with Indian Oil and along with HPCL are one of India's best companies which are part of the Fortune 500 companie s globally. And there is no reason to say that these companies should trade at 3 to 4 PE, but the perception is a problem. And the perception can be cleared with the help of you and t he other companies and the Government of India and these companies will re -rate significantly.
So, sir, I really would request you to please focus on integrated margins rather than focusing on refining separately, marketing separately because it has been construed very negatively because people are there digressing and talking about, refining mess, marketing beat, vice versa. And the company is not realizing its true intrinsic value. So, my humble suggestion to the management of a Fortune 500 company along with the government is, please focus on integrated margins, please focus on creating wealth for shareholders in terms of liberal dividends and buyback because we have been a good corpor ate citizen. We have saved the country when the times are tough, but we should also focus on the investors.
And I sincerely wish you all the best. You have done an exemplary job. And I do not have any more questions to tell you, but only few suggestion that investors should truly recognize the true value of this company because today, this company is owned by th e government. So, if this company re -rates it benefits the people of India. So, I humbly suggest that please consider a

buyback of shares with immediate effect and liberal dividend payouts and please, sir, focus on integrated margins because it will do a world of good to you. I wish you all the best, good luck and God bless you, sir.
V R K Gupta: Thank you. Thank you for all your suggestions. We have noted down. Thank you.
Moderator: The next question is from the line of Mayank Maheshwari from Morgan Stanley. Please go ahead.
Mayank Maheshwari: A couple of questions from my end. I'll just start with a bit on the capital allocation side. If you can kind of give us a bit of a big picture view around how are you thinking over the next 3 years in terms of total capital and the capex deployment. You t alked about the petrochemical complex. You talked about the new energy side. Can you just give us a sense of how we will be deploying the capex over the next 3 years? And what kind of returns are you kind of expecting out of that?
V R K Gupta: You may be aware in our earlier con call also even in the AGM also, we have announced certain various major projects. Our capital outlay for the next 5 years, we have work growth around INR1,50,000 crores . The major chunk of this capital outlay will go for refinery and

petrochemicals, around INR49,000 crores already we have announced it one petrochemical complex at Bina. And around INR26,000 crores, it will go for exploration and production. Already there are 2 blocks we have in Brazil and Moza mbique, already there are certain commitments, it requires around INR26,000 crores. And marketing infrastructure and pipelines, we have planned around INR25,000 crores in next 5 years.
And for the C GDs where we have got around 25 G As, we had the capital outlay requirement around INR26,000 crores. And we are planning around a minimum 2 gigawatts of renewables where the capital outlay we have allocated INR12,000, and other mainly for equity investment with JV companies and various RO's we have to take our pipeline around INR13,0 00 crores we're going to spend.
Around INR150,000 crores already, we have announced major projects in the next 5 years. This is only the project s, what we have announced in terms of the net zero ambitions where we want to reach by 2040 we want to become a net zero. There we have assessed what is the total carbon emissions as of date, the carbon emission will be around 10 million metric tons current ly. And with the new projects, it will go up around 16 million metric tons. It requires additional around INR95,000 crores to INR100,000 crores of capex requirement that we are not yet planned the phasing of this additional requirement. Otherwise, this INR150, 000 crores, we have a capital outlook for the next 5 years. In terms of the returns ge

nerally BPCL, we don't take any projects
if the returns are not reasonable. We always -- our endeavour is to take good projects with good returns.
Mayank Maheshwari: And sir, I think just on the focus on the petrochemical side. Obviously, you talked about last time in the conference call of integrating and how it will work with the Bina side. But now we are starting to see even Petronet today basically come out and sai d that they are trying to do a PDH plant as well. So, from a timing perspective, execution perspective as well as how will you

differentiate as BPCL in your petrochemical side? Can you just give us a bit of a subjective around that?
V R K Gupta: In case if you see petrochemical segment, the product portfolio is wide. When Petronet telling that they are planning for PDH, in our product portfolio PDH is not there. So, our product portfolio is Polypropylene and HDPE, LDPE and second Benzene and Toluene grades. So, I don't think it creates any competition between Petronet LNG and BPCL. See, what our project we have in we say that is a different product portfolio as of date .
Moderator: The next question is from the line of Sabri Hazarika from Emkay Global. Please go ahead.
Sabri Hazarika: Congratulations on good numbers. So, I have three questions. The first one is on your balance sheet. I think your creditors as well as other current liabilities both have gone up significantly, which has led to this cash generation. So, any specific reason behind that? Anything like any one-offs? Or do you think it is sustainable?
V R K Gupta: Generally, credit -- creditors always when you compare it to March '23 and September '23, there is one major element called excise duty. For March '23, the excise duty we paid before 31st March. Whereas for September, we have at least 3, 4 days' time to make the payment. The payment will happen in October. That is the real event and quarterly if we see always there is a gap of around 7000 for excise duty liability, that is one reason major variation.
And in creditors -- creditors it all depends on what inventories we have procured otherwise credit terms are same only, sometimes if the inventory position is going up. Maybe latest cargoes are available, with that where the payment is not made, which is n ot due, not made means, which is not due. It appears on the creditor, these two are the major reasons. I think nothing abnormal.
Sabri Hazarika: So, this is like your net debt has actually become zero on this…
V R K Gupta: So, we can interpret on stand -alone basis, not exactly zero, but closer to that target.
Sabri Hazarika: But is there any guidance of whether it can remain at zero? Or do you think -- I mean, of course, like not accounting for the new projects, but if everything remains same, it will remain at the these levels or do you think it's going to be coming...
V R K Gupta: Let us hope for the best because many things we cannot predict, how the crude prices will move ...
Sabri Hazarika: Okay, sir. And no Russian payments are held up, right? That has been like made completely, right?
V R K Gupta: As of today, nothing is there beyond the due date.
Sabri Hazarika: Okay. Sir. And sir, second part of the question is basically on your renewable side. So can you give us some sense on what -- how much -- was it the kind of like profitability per EV charging stations you are making right now, now that you've got a sizable inventory of EV charging station. So, what kind of profitability is that? And second question is whether the green hydrogen tender of Bina Refinery has been awarded, or is it is still under deliberations? These are the two second questions.

V R K Gupta: One is on the EV charging station side; the capital outlay is not very big amount. In terms to

the
profitability, we are not expecting any good profits immediate basis. But at the same time, we want to create the infrastructure for long -term perspective. So as of date, if you ask that the capacity utilization of EV char ging stations at the retail outlet, very, very minimal, very, very minimal.
So, we cannot estimate what will be the profitability immediately. But the objective of putting investment in this particular infrastructure is for a long -term basis. And second question is green hydrogen. Green hydrogen, we have refloated the tender for 5 M W, not yet awarded. The tender is in the process Bina.
Moderator: The next question is from the line of Kirtan Mehta from BOB Capital Markets. Please go ahead.
Kirtan Mehta: Regarding the Mozambique project, could you give us the current status? And when do you expect the -- has the capex been finalized by the owners? And how the progress you anticipate on the project?
V R K Gupta: For Mozambique project, there is no change in terms of the force majeure, still it is under force majeure only. Something in terms of the revised project cost, there were discussions at the operating level committee at a group level, but not yet finalized what would be the revised project cost and what would be the time range for removal -- lifting of the force majeure. We are hopeful shortly maybe next couple of quarters, something positively it can happen. We are hoping that.
Kirtan Mehta: Right. And in terms of the INR18,000 crores right issues, has the plan for investment firmed up around that?
V R K Gupta: Yes, that is there already. We have submitted our application to SEBI. Just we are waiting certain approvals from the ministry and SEBI, accordingly this program i s on as of date .
Kirtan Mehta: Sure. And would you be able to give us some more colour on the Russian crude usage in terms of the quarterly usage has it been able to -- are we able to maintain a similar level in Q3 despite the increase in the crude prices?
V R K Gupta: I cannot give exact numbers, we cannot share, but at least in the similar quarters what potentially we can process the Russian crude, at least we are closer to our potential crude processing, all three refineries put together.
Moderator: The next question is from the line of Ajay from Nuvama Capital. Please go ahead.
Ajay: Congratulations on a good set of numbers. Just want to get a sense in terms of after such a fantastic quarter, how are things shaping up in the current quarter so far in the month of October, meaning in terms of the cracks, are we seeing similar cracks? An d how do you see that progressing on the marketing side as well?
V R K Gupta: At least in terms of the cracks, the gasoline a little bit moderated now compared to the Q2. Gaso il still it is commanding with good cracks, still it is as of date 28, 30 levels. But a little bit going

forward, the cracks are not showing that much of strength in terms of gasoline. But still, we are hopeful the cracks will be commanding at a higher level only, except gasoline. We have to wait and see how the particular market movement happens after the wi nter, how the product demand goes for RLNG and what is the shift happen from RLNG to diesel accordingly the cracks will be decided. But as of date, still we are commanding good cracks.
Ajay: And on the marketing side, sir?
V R K Gupta: Marketing side, we are doing good growth. We are not expecting very good growth in terms of diesel. The diesel growth, we are expecting a moderated level, but MS growth will continue.
Ajay: So broadly in terms of the profitability, say suppose things stay where they are right now for the rest of the quarter, broadly, whatever we have delivered in Q2, more or less there can be a little bit of subdued, but you don't see a major decline as such, right, for the current quarter?
V

R K Gupta: We generally don't give any guidance. But otherwise, based on the current crude prices a little bit worry is there, but it is not alarming.
Ajay: So, I'm saying we are not expecting some major decline, decline as such?
V R K Gupta: We cannot give any guidance, please.
Moderator: The next question is from the line of S. Ramesh from Nirmal Bang Equities. Please go ahead.
S. Ramesh: Sir if you look at the marketing inventory gains, how do you explain the reversal from the loss

in first quarter to the marketing inventory gain of close to INR1,497 crores since there is no change in the retail price. Just wondering how you have been able to book that inventory gain?
V R K Gupta: No, no, generally -- It is not any accounting gain. If you see, on an average when we maintain our INR40,000 crores of inventory, on every 15 days, if the particular marketing RTP changes based on the crude pattern. So just we want to highlight and calculate and inform to the shareholders how much in the entire profitability, what is the impact of the price increasing or decreasing impact on the profitability.
So, there is no separate gains we recognized at the end of the period end. You see, during a particular period, on account of my crude price movement and product price mo vement, what would the changeover of my inventory opening inventory impact on my sales on the profitability. That is what we workout and we give in additional information. How much on account of this inventory movements, inventory price movement, it has helpe d in the profitability.
S. Ramesh: Okay. So, if you look at your CGD business, you made very impressive progress. So, is it possible to give us some kind of timeline as to when we can see the commercial results in your stand -alone P&L? And what are the kind of EBITDA per unit of gas? And what are the kind of volume you expect to sell in your 24 GAs, which have gone in commercial operations, say, for the next two years to three years, is it possible?
V R K Gupta: At this point of time, we will not be in a position to give any estimation on the volume sales of CGD. What we can say is that in terms of creating the infrastructure, in terms of reaching the

MWP, we have worked out in full swing and we are achieving all the MWP targets, except the PNG connection s. But definitely, if you see our projects in CNG, the number of ROs are going up. Slowly, the volumes will pick up.
At this point of time, very difficult to say, what will be the volume sale because you have to wait and see how much of vehicle conversion happens in those markets. We need some more time to assess exactly next couple of years what will be the volume picku p.
S. Ramesh: If I might squeeze in one last part on CGD. Once you have the entire 25 GAs in place, what is the final target for the number of CNG stations in the 25 GAs?
V R K Gupta: I have the ready number for the current year, we will share for full CGD...
S. Ramesh: Yes. Thank you very much, sir. Thank you. Have a good day.
Moderator: Thank you. The next question is from the line of Chinmay from Canara HSBC Life Insurance. Please go ahead.
Chinmay Gandre: Yes. Thanks for taking my question. So, my question is on the working capital side. You did explain the nitty gritties of excise duty. You mentioned basically the payment happens in October versus not in September. So, what would be the quantum of this payment related to the excise duty?
V R K Gupta: Generally, every month, we pay around INR7,000 crores -- around INR7,000 crores, INR7,200 crores, INR7,300 crores around. It depends on the refinery throughput on the particular month. Around INR7,000 crores you may take.
Chinmay Gandre: Okay. So basically -- so once that payment has been made, so your cash would have gone down by around that content, like around INR7,000 crores?
V R

K Gupta: Right.
Chinmay Gandre: Sir, if I also look at the balance sheet, so basically there is a stock movement in two of the current liability side and one will partially be attributed to INR7,000 crores, which you mentioned, that is maybe sitting in other current liabilities. But even there tax liabilities net is around INR4,600 crores -- INR4,400 crores odd, which was almost zero as of March '23. So, can you help us understand this?
V R K Gupta: The tax liabilities -- these are different liabilities you're referring; I think.
Chinmay Gandre: Yes, but it was zero as of 31, March 2023…
V R K Gupta: That is direct tax. That is income tax. Income tax March '23, since our profitability is very low, our advance tax what we have paid is sufficient to meet the liabilities. Whereas for this particular during this year, the six months profit, but our advance tax payment is on a lower side.
Chinmay Gandre: Okay. Fair, enough. That's it from my side.

Moderator: Thank you. The next question is from the line of Maulik Patel from Equirus Securities. Please go ahead.
Maulik Patel: Hello. Thanks for the opportunity. Sir, on the refining side, is that till the time we see this

whatever the Russian oil which we are processing it. Currently, we are running that in a full optimized level? We cannot process more than that what we are currently doing?
V R K Gupta: At least we are pushing up to the potential level, what we can process Russian Urals, we are taking.
Maulik Patel: That could be at least for 30%, 40% of your total intake?
V R K Gupta: Roughly, all three refineries put together that range, that's the range.
Maulik Patel: That's the range. That range has been there for entire Q2, right? I think it was lower in Q1.
V R K Gupta: I'm not clear, please?
Maulik Patel: So that -- so we were -- I mean we were utilizing the Russian crude at a full potential in the Q2 quarter. Was this similar number there was for the Q1 also?
V R K Gupta: Yes, same number. There is no major change. There is no significant changes, maybe 2%, 3% here and there. Otherwise, we maintain the same.
Maulik Patel: Okay. Great. Thank you.
Moderator: Thank you. The next question is from the line of Probal Sen from ICICI Securities. Please go ahead.
Probal Sen: Yes. Thank you for the opportunity again, sir. Just a follow up question in terms of the capital deployment plans that you mentioned. In terms of the Mozambique and Brazil plans, obviously, as you mentioned, those will entirely depend on whether the Force Majeure is essentially lifted. And if we assume that in the next month or during this financial year, the Force Majeure is lifted and work actually begins, then what kind of timelines can we look at for the completion of the at least first two trains at Mozambique, assuming that the Force Majeure is lifted by the end of this financial year. Any sense you can give us?
V R K Gupta: Our ED Corporate Finance will give.
Pankaj Kumar: So, Mozambique, as per the original plan, which was done, the construction, the first LNG cargo was to come out in around 42 months.
Probal Sen: So, 42 months from the FID, sir, is that correct way to look at it?
Pankaj Kumar: So yes, that's right. So therefore, what's happening is -- now of course, we will have to reassess some of the preconstruction work was carried out before the Force Majeure was announced. So once the Force Majeure is lifted, around that time, the operator and the consortium will reassess

their plans and would actually reassess the time for the first cargo. But this is the timeline , which I'm indicating is at the time of taking of the FID. So around a similar time is what we can expect.
Probal Sen: Got it. Sir, one more thing is, given that the disruptions

that have happened and the delays that have happened, we read some reports that some of the subcontractors have been asking for a significant increase in the associated costs, and therefore, do you expect any major escalation in the overall project cost versus what the consortium had estimated maybe two years ago? Is that a fair way to look at it?
Pankaj Kumar: So as of now, the contracts with the EPC, EPCI contractors are preserved in so far as the contractual commitment is concerned. But yes, there is a possibility -- a strong possibility of reviewing the pricing of the commercial terms. And therefore, a price review would definitely be forming part of the entire review. It would also be encompassing in what phase and in what manner do we want to carry it forward. So, it will be a holistic review which will happen at the time of uplifting of the Fo rce Majeure. Obviously, the commercials also would be a consideration in that regard.
Probal Sen: Understood. Sir, one last from me. Out of the 260 billion therefore how much is basically the E&P, pure E&P capex for Brazil? And how much is for the contribution to the Mozambique project estimation?
V R K Gupta: Brazil requirement is small only comparatively. But based on the original FID approval, Mozambique the project cost is around 14.5, our shareholding 1.45. Around 2 billion $ would be Mozambique and 1 billion $ would be Brazil at a broad level actually.
Probal Sen: All right. Thank you so much for giving the opportunity. Really appreciate. Thanks.
Moderator: Thank you. The next question is from the line of Vipulkumar Shah from Sumangal Investment. Please go ahead.
Vipul Shah: Hi, s ir, can you give inventory gains in the marketing segment because I have not received your hand -outs?
V R K Gupta: The marketing inventory gain is INR1,497 crores, whereas comparative same quarter previous year it is minus INR384 crores. And for the full six months, it is INR427 crores for this year. But previous year it is INR755 crores for half year.
Vipul Shah: Okay, sir. Thank you.
Moderator: Thank you. Next question is from the line of Amit from Axis Capital. Please go ahead.
Amit Murarka: Yes. Hi, good afternoon. Just on capex, like you mentioned that the five -year plan is about

INR1,50,000 crores, but I believe FY '24 capex is just about INR10,000 crores odd. So, when can we expect the capex to actually scale up to a higher number to kind of achieve that five -year plan?
V R K Gupta: So, you see, out of INR1.5 lakh crores, the major project is Bina Petrochemical complex. Definitely, year one, the capex total is very small only, maybe around INR600 crores, INR700

crores for Bina, but the peak capacity happens from year three onwards, maybe from '24, '25 -- '25, '26 onwards significant capex we are going to see.
Amit Murarka: Yes. So, like if, let's say, next two years or three years, you're only INR10,000 crores, INR15,000 crores. So, does it mean that like, it will be like INR40,000 crores, INR50,000 crores capex in year four, year five?
V R K Gupta: Maybe from year three onwards actually the capex jump will happen. Every year th ere maybe rough numbers on around INR20,000 crores plus after that 30000 and peak year will be five, year five.
Amit Murarka: Okay, sure. And all of these are like Board approved projects just to kind of clarify?
V R K Gupta: Major projects Board is approved. Second, renewables -related projects, we are just working on it. So, some of the projects yet to be approved with the Board. But overall capital outlay estimations are INR1,50,000 crores, out of which refinery, petrochemicals, Bina is approved, and BPRL already Board has approved, and the CGD around INR26,000 crores Board has approved. Around INR1,10,000 crores already Board has approved for the projects.
Amit Murarka: Okay. Thanks fo

r the details. Also, like one small data question, like how much would the PDPP project be contributing Kochi Refinery now given that, this time all gaps will be stabilized and all?
V R K Gupta: Like it's PDPP in terms of physical, it is operating at 73%, good improvement in terms of plant reliability issue. And in terms of the profitability, it has added around $0.55 per barrel in terms of the GRM . But still, it is not sufficient to meet the operating expenditure of the PDPP. So, we need some more improvement in terms of profitability of PDPP.
But otherwise, at this point of time, in terms of physical performance, it has reached certain milestone. But profitability this quarter, even in the last quarter also due to the price margins are very low in terms of petrochemicals. So, this quarter also, PDPP, whatever we are and we have generally do not sufficient to meet the expenses.
Amit Murarka: Okay. Got it. Thanks. That's all from my side.
Moderator: Thank you. The next question is from the line of Vishnu Kumar from Avendus Spark. Please go ahead.
Vishnu Kumar: Good evening and thanks for the time. Sir. I just wanted to understand the opex cost per barrel across the three refineries. This could help us understand that?
V R K Gupta: Generally, opex, it ranges from $1.80 to $2.10. On an average, you can take all three refineries put together closer $2 this quarter.
Vishnu Kumar: Specifically for Bina, there is a pipeline related income and expenses, right? So, it should be -- if considering that it will be higher, if you could help understand that?

V R K Gupta: Even for Bina pipeline, which again, nothing is there data driven -- Bina pipeline we have added to our pipeline group, not with the refinery, if you see Bina Refinery, the operating expenditure for July to September is $4 mainly because the throughput is low this quarter because due to shutdown of almost 40 days shutdown, the operating expenses are higher.
So otherwise, if you see the six months average for Bina, April to September -- April to June, it is $1.84, July to September it is $4. Generally, it will be in the range $2 only. But only during this quarter, the refinery was shutdown, the throughput is n ot there and the operating expenditure is at $4.
Vishnu Kumar: So, this -- the pipeline related income and expenditure, it will go to the marketing side, is it? It's not part of the GRM?
V R K Gupta: Pipeline division, it's part of our Pipeline division. After the mid-year, after the Bina merger, it's part of pipeline division.
Vishnu Kumar: It is pipeline division. So, in our EBITDA, when you report since you have some GRM balance, it's between pipeline and marketing?
V R K Gupta: Yes, sure, definitely.
Vishnu Kumar: Understood, sir. And this INR22,000 crores debt number, if you could, sir, help us understand

where this number in terms of different entities, where exactly these numbers are sitting that will be a little helpful?

V R K Gupta: INR22,000 crores is in stand -alone only. So, when you talk about group borrowings at consolidated, it is INR48,000 crores. The major borrowings of around INR24,000 crores is for BPRL, one of our subsidiary. There, the entire investments are an exploration blocks, mainly for Mozambique and Brazil. So, the total borrowings at BPRL level is around INR25,000 crores. Standalone is INR22,000 crores, BPRL is INR25,000 crores. These two are the major borrowings.

Vishnu Kumar: And the other INR8,000 crores, which is Ind AS adjustment is also sitting only on standalone?

V R K Gupta: Yes. That is only ROI liability. It's only ROI liability.

Vishnu Kumar: Understood, sir. The next couple of years -- would you think the capex -- and -- EBITDA is a volatile number, but at least our estimates, you're going to match your cash flows and capex or how should we look at it?

V R K Gupt

a: Cash flow will not match with the capex number, definitely, but we have to take certain leverage. But the reasonable leverage we definitely we have to take more borrowings from the capex is peaking at year three, year four. There, we have certain plans of taking the borrowings. But at least based on our understanding of cash flow and maintaining reasonable debt to equity levels, we can compare these projects.

Vishnu Kumar: You mean year three, year four, we are at FY'24. So '26 or '27, '28, you're expecting higher capex?

V R K Gupta: Peak capex -- when the peak capex happens, our cash flow is generally the incremental cash flows only comes after the commitment of the project. But during that interim period, definitely, our cash flow will be at a normal level, whereas our capex numbers are at a very high level.

Vishnu Kumar: If you can help us understand what will be the normalized number and peak number of rough cash flow payout over the next couple of years? What would be that number?

V R K Gupta: We cannot give any guidance on that normal numbers, because everything depends on your crude prices, margins, cracks, many things are influencing on these numbers. So, we don't provide any guidance.

Vishnu Kumar: Got it, sir. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Nitin Tiwari from Phillip Capital. Please go ahead.

Nitin Tiwari: My question is related to the green hydrogen project that you mentioned that you'll be putting of 520 of the capacity. So, is that a capacity for internal consumption? Or there would also be a commercial distribution of this hydrogen? Related to that, what's our current hydrogen consumption?

V R K Gupta: There are two projects we are taking up for hydrogen. One is at Bina Refinery five megawatts, that is purely for our internal consumption. One more plant, we want to have at Cochin International Airport, that is for public purpose where we can refuel the b uses, certain buses. But that is a very small plant refuelling can happen.

Nitin Tiwari: So, the Kochi plant is a very small plant. You're saying the five MMT plant, you mentioned the green hydrogen plant is for internal consumption.

V R K Gupta: Internal consumption, right, right.

Nitin Tiwari: So, what's our hydrogen consumption across three refineries right now?

V R K Gupta: We will share separately.

Nitin Tiwari: Sure sir, a clarif icatory question, you mentioned that the current carbon emission is about 10 million tonnes, right, which will go up to 16 million tonnes with the new projects. So, the investment that you mentioned to mitigate this was INR1 lakh crores. Is that the right number that I know?

V R K Gupta: That is just a ballpark number. We have to yet to finalize the project and assess the project cost, but otherwise roughly this is a range we have to investment.

Nitin Tiwari: So sir, the capex that we have planned, the INR150,000 crores capex, does that not build in at least for the new projects of on commitment sort of carbon mitigation costs as well because these are the new projects we'll be putting ahead coming up in future so might as well build in the carbon mitigation costs as well and then assess the project?

V R K Gupta: We have started around INR12,000 crores for the carbon mitigation renewable projects in the

INR150,000 crores. But all other projects, we said our target is by 2040, we want to make it net zero. So, still we have time so that we can allocate certain funds subsequently after three, four years, not now.

Nitin Tiwari: And lastly, sir, in terms of refining capacity, are you going to look at any expansion refining capacity going ahead from here or it will be operating at these levels? Because I am talking and I'm asking this q

uestion in the perspective of like the carbon mitigation and the green major that always openly spoken about. So, do you foresee that this refining capacity would be sufficient to meet our requirement for petroleum products? Or do you foresee a need for expansion of the refining capacity as we're going ahead?

V R K Gupta: So, one of our projects already Bina Petrochemical Complex includes a little bit increase of our refining capacity. So there, our refining capacity, we are taking from 7.8 MMT to almost 11.2 MMT or 11.3 MMT. So, there is little bit refining additional capacity will come from Bina. In other refinery, as of date we are not planning any expansion at this point of time, we are working towards because we have a little bit deficit in terms of marketing requirement and refinery throughput at this poin t of time. So, we are working on it, how do we bridge this gap between our refining capacity and market requirements. We are not yet finalized anything.

Nitin Tiwari: Sure, sir. Thanks. That's all from me.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor & Co. Please go ahead.

Saket Kapoor: So firstly, regarding the advanced tax part, I missed your comment. We had made a higher tax payment in the cash flow. So, what should we take into account? What were you referring to, if you could repeat, sir?

V R K Gupta: I'm saying, on the balance sheet -- in the balance sheet the current tax liability March '23 it is 0 whereas September '23, we are showing INR4,300 crores. Just I'm explaining why this difference. In March '23, if you see '22, '23, the profitability, if yo u see the profits are very low. So there, the tax liability almost we have settled with the advance tax payout. Whereas current year, the advance payment is lesser than our tax obligations as of 30th September. That is the reason which has cre ated a current tax liability in the balance sheet.

Saket Kapoor: Okay. So, when we take this INR1,848 crores under the cash flow as direct tax paid. This amount is pertaining to, our income pertaining to for this year only or does it contain any prior period item also?

V R K Gupta: '22, '23 -year whatever tax liability, those tax liabilities we have settled against at advance tax almost. That is the reason there is no current tax liability.

Saket Kapoor: So, this amount is 45% of what the liability has to be, as on 15th September, we have to clear 45% of the tax liability?

V R K Gupta: 45% of our tax liability. Whereas we have not paid full advance tax liability. We have to wait and see full year; then accordingly we will settle the full tax liability

Saket Kapoor: Okay, sir. And for the capex part sir, we are also setting up, I think so, Oxo -Alcohol plant. What is the update on the same, sir? And how much capex has been involved for the same?

V R K Gupta: There is no such Oxo -Alcohol new plant. Already in the PDPP complex, there is a plant. We have two segments. One is Acrylates and Oxo -Alcohol. Both the plants are there. We don't have any plan of putting up a new plant for Oxo -Alcohol separately.

Saket Kapoor: Okay. So currently, we are selling, I think sir, the PP raw material to some of the Oxo -Alcohol players. So, are you directly competing, are we competing against now the end product also will be from our side?

V R K Gupta: No. We have our plant, but the feed availability is much more than the plant requirement. That is the reason we are selling into the market that PP. So, we are not planning any new plant for Oxo-Alcohol.

Saket Kapoor: Okay, sir. And lastly, sir as the other people have also mentioned about the distribution of the profits to the investing community. Sir, taking into account what the first half we have reported numbers, is it in the likelihood that we will adhere to the DIPAM policy of distributing c

ash to your investors either in the form of a buyback or dividend payout? Or is the right issue coming up is counterproductive to that view, how should one r ead into these profitabilities and your rights issue and the DIPAM policy. How should we align all these factors, sir?

V R K Gupta: I can brief about BPCL, even if you see in the last couple of years. We have always distributed dividend as a percentage of profit with good reasonable numbers. And our endeavour is always to comply with our DIPAM guidelines and as well as our own internal dividend distribution policy. It's only a timing, what time we distribute the dividend. And generally, we give good

amount as incremental and balance amount as final. As a practice, we give good amount, reasonable amounts as dividend at distr ibutions.
Saket Kapoor: But for tax incidence purpose, if we are coming up with dividend payout and then coming up with rights issue, how do these two things gel up, sir. So, if you declare a dividend on the tax recipient front, we as investors we'll be paying tax on the same. And then you come up with a right issue, we participate again with the amount. So why incurring it in, why is it not a tax neutral exercise being done. If you have proposed a rights issue, how do dividend payout work, sir, that is my point was?
V R K Gupta: We have taken your suggestion, accordingly, appropriate time we will come up.
Saket Kapoor: Thank you for this opportunity, sir. And all the best to the team. And we hope for the continuity of these calls, sir. These are very helpful for investors.
V R K Gupta: Thank you.

Moderator: Thank you. The next question is from the line of Varatharajan Sivasankaran, Antique Stock Broking . Please go ahead.
Varatharajan S.: Yes, just a question on the LPG surplus we are carrying in the suspension account. Is there any discussion around that. We get a possibility that this can set up again the under recovery on petrol and diesel which we had FY'23?
V R K Gupta: No such discussion. No such discussion. The practice is continuing what has been done in earlier years.
Varatharajan S.: Okay, sir. Thank you.
Moderator: The next question is from the line of Mayank Maheshwari from Morgan Stanley. Please go ahead.
Mayank Maheshwari: Just a follow -up question here. I just wanted to check when you were talking about the carbon investments, when you are putting up these new investments of almost INR150,000 crores or so, what are you taking into account in terms of your return calculation s on your carbon tax in your numbers? Is there a rough range that you can kind of help us with?
V R K Gupta: We are not taken any carbon tax numbers in the returns calculation. Only what we have worked out is that what is the current carbon emissions, what are our obligations in terms of reducing carbon emissions and in terms of what is the capital outlay require d. The capital outlay requirement is much beyond this INR1.5 lakh crores . This INR1.5 lakh crores only for the announcement projects. For carbon emissions of around 15 or 16 MMT carbon emissions, we need additional capital outlay of maybe INR9 5,000 crores to INR1 lakh crores. So, we are not factoring any carbon tax in our existing projects.
Mayank Maheshwari: Got it, clear. Thank you.
Moderator: Thank you. The next question is from the line of Amit Rustagi from UBS. Please go ahead.
Amit Rustagi: Sir, as per some market commentaries, GAIL was considering to merge some of their city gas assets with IG L, where BPCL is also one of the shareholders and the joint venture partner. So, do you think that this kind of moves are possible? And are you also considering to merge some of your city gas distribution companies with the larger players to monetize them?
V R K Gupta: We are not foreseeing any such need at this point of time.
Amit Rustagi: There

is no proposal similar to this kind of merge with IG L?
V R K Gupta: No.
Amit Rustagi: Okay, sir. Got it. And sir, second question relates to the current spreads with respect to the crude. So, which are the most opportunistic crudes we see as of now because in the last one year, there is a significant change in the discounts of the crude, which are available to the Indian refineries. So which crude as for you is the most profitable as of now, r ight now?

V R K Gupta: You see today, we are almost processing around 108 grades of crude. It all depends on what pricing they offer when we go to the market and purchase. So, every crude is important, every crude we value. Only thing at the particular point of month in case, which crude gives more commercial offer, currently, we take the decision in the process. Otherwise, our refineries can take almost 108 grades of crude. So, every month we go to the market for any spot requirements. We assess which grades or whic h suppliers can give more commercial offers, then accordingly we decide.
Amit Rustagi: Okay. But you will agree that the discounts have come down from the previous levels?
V R K Gupta: It depends market sometimes it gives more discounts, sometimes it gives lesser discounts. But

directional, yes, what you are observing is right.
Amit Rustagi: Okay. Great, sir. Sir, thanks for this and wish you all the best and happy Diwali.
V R K Gupta: Thank you.
Moderator: Thank you. Ladies and gentlemen, as there are no further questions, on behalf of Antique Stock Broking , that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

"Bharat Petroleum Corporation Limited Q 4 FY '24
Earnings Conference Call "

May 1 0, 2024

MANAGEMENT : MR. G. KRISHNAKUMAR – CHAIRMAN & MANAGING DIRECTOR - BHARAT PETROLEUM CORPORATION LIMITED
MR. V R K GUPTA - DIRECTOR , FINANCE - BHARAT PETROLEUM CORPORATION LIMITED
MR. PANKAJ KUMAR – EXECUTIVE DIRECTOR , CORPORATE FINANCE - BHARAT PETROLEUM CORPORATION LIMITED
MS. SRIVIDYA V - EXECUTIVE DIRECTOR , CORPORATE TREASURY - BHARAT PETROLEUM CORPORATION LIMITED
MR. RAHUL AGRAWAL - CHIEF MANAGER , PRICING & INSURANCE - BHARAT PETROLEUM CORPORATION LIMITED

ANALYST : MR. NITIN TIWARI – PHILLIPCAPITAL INDIA PRIVATE LIMITED

Moderator : Ladies and gentlemen , good day, and welcome to Bharat Petroleum Limited Q 4 FY '24 Earnings Conference Call hosted by PhillipCapital (India) Private Limited .

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressin g "*" then "0" on your touchtone phone. Please note that th is conference is being recorded.

I now hand the conference over to Mr. Nitin Tiwari from PhillipCapital (India) Private Limited .

Thank you, and over to you, Mr. Tiwari .

Nitin Tiwari: Thanks , Manav. Good morning , ladies and gentlemen. First of all , apologies for the slight delay that we just faced , because there was a technical issue , because of which we got disconnected. So, apologies for that again. And o n behalf of PhillipCapital , I welcome everyone to BPCL 's 4th Quarter and FY '24 Earnings Call.

We have the pleasure of having with us the Senior Management Team of BPCL led by the CMD of BPCL Mr. G. Krishnakumar .

Without much ado, I will hand over the floor to the management for their opening remarks , which shall be followed by a Q&A session. Over to you , sir.

Rahul Agrawal : Thank you , Nitin. Good morning. On behalf of the BPCL team, I welcome you all to this post - Q4 results con call.

Before we begin, I would like to mention that some of the statements that we would make during this con call are based on our assessment of the matter and we believe that these statements are reasonable. However, their nature involves a number of risks and uncertainties that may lead to different results. Since this is a quarterly result review, please restrict your questions to Q4 results.

I now request our Chairman and Managing Director – Mr. G. Krishnakumar who is leading the BPCL team for this call to make his opening remarks. Thank you , and over to you , sir.

G. Krishnakumar: Thank you , Rahul. Good morning everyone. Welcome to the post -Q4 FY '24 Results Con Call. Thank you for joining us today. I hope you were able to go through our Results for the Quarter and the Financial Year gone by.

Before taking you through the BPCL Results , let me touch upon the macros :

Consumptions of petroleum products in India has shown a resilient growth in the year gone by with an overall growth of 4.8%. Major products such as petrol, diesel, ATF have grown by 6.4%, 4.3% and 11.8% respectively. Brent prices for the crude oil averaged about $83 a barrel , which is about 13.6% lower than last year.
The year was marked by production cuts by OPEC+, Saudi and Russia along with a breakout of the Israel -Hamas war , which drove price uncertainty. Geopolitical tensions also caused disruptions in the Red Sea from November ‘23, increasing global freight rates and voyage time for shippers.
Global economy is forecasted to marginally strengthen in this year, supported by economic resilience in key markets like U .S. and China. However, escalating tensions and trade route disruptions present a downside r

isk on the demand side of growth. Our expectation is that global
supply and demand will be relatively balanced , and the prices would be range bound between 83 and 87. The factors that could impact prices is largely related to unplanned production disruptions, a risk highlighted by escalating tens ions in the Middle East.
If you look at India as a country, amidst the fiscal challenges faced by major economies, India continues to be an oasis of growth and stability. In FY ‘24, real GDP growth has been estimated about 7.6% year-on-year, driven by growth in manufacturing and construction sectors and a robust government CAPEX investment.
In ‘25, Indian economy is likely to grow by 6.2% to 7.5% and continue to be the world ’s fastest growing major economy. We expect petrol and diesel demand to grow in the near term. Growth in demand of petrol is expected to be around 5%, whereas diesel will be about 1.5% to 2%.
As far as energy transition is concerned, India has stuck the right balance between its energy security and climate goals. A rapidly expanding economy will inevitably lead surge in energy demand. The current demand is about 618 million tons of oil, and it is expected to grow to about 2,200 million tons of oil equivalent by 2047. So, there will be a growth in demand in BPCL s core and new businesses.
India has set a goal of attaining NetZero emissions by 2070. This will accelerate the adoption of green and low carbon energy solutions, opening up significant economic opportunities for companies operating in the broader energy sector, including for BPCL.
BPCL has an attractive set of opportunities across core as well as new growth areas like Petchem , gas and green energy. In the previous year, we launched “Project Aspire ”, our five-year strategic framework. Our strategy is based on two fundamental pillars, that is :
1. Nurturing the core .

2. Investing in the future big bets.
We remain committed to our core business, which includes refining , marketing of petroleum products and the upstream.
In addition, we are also focusing on big bets, which comprises petrochemicals, gas, green energy , non-fuel retail and digital .
The strategy aligns with the commitment to our Scope -1 and Scope -2 NetZero emissions by 2040. We have been actively working towards implementing this strategy within the set timelines to fuel our next wave of growth and enable us to create long -term value for our shareholders.
To begin with, on the refinery side, we plan to increase our capacities as we believe the fuel demand will continue to grow. Increased capacities will also cater to our diversification strategy into Petchem . Accordingly, we are planning to expand our refining capacity to 45 million metric tons per annum by FY ‘29, beginning with the brownfield expansion of Bina Refinery .
On the marketing side, our marketing strategy continues to be focused on strengthening our marketing infrastructure, which includes augmenting our network of 22,000 outlets with an additional 4,000 new outlets by FY ‘29. We will focus on driving profitable growth across aviation, lubes, LPG and I &C segments, along with premiumization across the board.
Our efforts towards premiumization will be centered around non -fuel retail, customer centricity and digital initiatives. During the year, we have relaunched our premium petrol Speed with Mr. Neeraj Chopra as our brand ambassador.
We had announced two new petrochemical projects during the last year. We are happy to share that the licens ors for all Petchem units have been onboarded and the preparation of process packages are in progress.
In line with the government ’s focus to increase gas share in the Indian energy portfolio, from 6% to 15%, we intend to increase our gas footprint by building optimal CGD infrastructure and acquiring h

igh opportunity geographic areas. We are also exploring enablers like diversification of sourcing, trading capabilities, storage facilities, and also looking at LNG regasification infrastructure, etc., to support our aspirations. We are happy to share that out of 27 GAs, 25 are in operation.

As far as upstream is concerned, BPCL 's share of production from its investment in Russia and its stake in Lower Zakum Construction, Abu Dhabi, and Indian blocks was 2.63 million metric

tons of oil during FY '24. In our exploration block Onshore 1 in Abu Dhabi, activities are progressing as per schedule and the block is expected to move to the development phase shortly. The security situation in Mozambique has been improving progressively and the project is gearing up for a restart. In the Madanam block where BPRL has 40% participating interest as non-operator, gas sales has increased from 13,000 SCMD to 53,000 SCMD resulting in reduction of gas flaring from about 70,000 SCMD to 25,000 SCMD. Flaring in the block is expected to be put off in the coming weeks.

In FY '24, we have impaired our investments in BPRL by 1 ,798 crores, primarily on account of BMC -30 concession in Brazil as the operator moved ahead with exclusive operation for the Wahoo development and the Arbitral Tribunal ruled in favor of the operator. We have challenged the Arbitral Award in the English High Court in London.

As far as green energy is concerned, we aim to build 10 gigawatts of renewable energy portfolio through organic and inorganic acquisition of operating assets by 2040. We are currently exploring various offers and will shortly be able to zero in on some of them.

We have strong competencies in the green hydrogen business given our experience in handling and storing hydrogen. We also have significant own demand in our refineries for hydrogen. We will produce 30 kilotons per annum of green hydrogen in our refineries by 2030 to meet 10% of our captive demand. We will also engage in pilots for green hydrogen fuel mobility and other applications.

Biofuels is another major focus area for us. We will operationalize our integrated 1G, 2G ethanol plant in the near term. We will set up about 26 CBG plants in the near term. The proposal of setting up a bio -methanation plant of 150 tons per day capacity at Kochi by converting bio - degradable waste into CBG has been approved by the Government of Kerala. The construction is in progress and we are intending to commission it by January of '25. We are also planning to set up a pilot SAF project.

In the EV charging business, we plan to reach a total of about 7,000 charging stations by FY '25. As of March 24, we have added 2,44 3 new charging and battery swapping stations, taking our total to 3 ,135 EV charging stations. Overall, we plan to invest about 1.7 lakh crores over a period of five years. Of this, 75,000 crores is earmarked for the refineries and Petchem projects. We also plan to undertake strategic pipeline projects with an investment of about 8,000 crores , of which projects worth 5,000 crores have already been identified and the approval process is in place. We will invest more than 20,000 crore for our marketing business as mentioned earlier.

We have also earmarked investments of 32,000 crores for upstream production mainly in Mozambique and Brazil depending on positive developments on ground. We will invest about 25,000 crores on gas business and another 10,000 crores on green energy business. All these investments will be subject to a positive business case and visibility of returns.

As of March 24, we are fairly comfortable and very low on debt with a consolidated debt equity of about 0.6 as on 31 /3/24. The debt equity at standalone gross borrowing lev

els is 0.25 and at net borrowing level excluding investment is about 0.14. We anticipate these investments not to put a strain on our balance sheet and the peak debt equity ratio at 1 on a standalone basis in the next five years considering current margin levels.

Now g oing to our performance for the recent quarter and the overall financial year, we have achieved our highest ever throughput for the refineries of 39. 93 million metric tons per annum during the current year. Throughput for the quarter was 10.36 million metric tons. Our distillate yield has been 84.67% in this quarter , which is one of the highest among the Indian refineries. This quarter evidenced a significant fall in international product cracks as compared to the corresponding quarter during previous year, despite this, our refineries recorded a GRM of $12.48 per barrel in the quarter and $14.14 per barrel in the financial year gone by at a premium to Singapore G RMs.

On the marketing side, our domestic market sales grew at 2.09% in the quarter to 13.18 million metric tons. We have continued to increase our market share in petrol and diesel retail segments among the oil companies with a share of 29.6 % and 29.8 % in MS and HSD respectively.

In the retail business, we continue to generate the highest throughput per retail outlet amongst our peers, the throughput of about 154 kilo liters per month against the average PSU sales of 139 KL, driven by access to strategic markets and locations and strong network amongst the highways. We have commissioned about 800 new retail outlets this year and plan to set up about 1,300 outlets in the FY ‘25, taking our total network to about 23,000 plus outlets.

In FY ‘24, LPG customer base was expanded to 9.35 crores. This year the LPG business saw a 3.4% growth with a market share of 27.4% in packed LPG. Aviation business achieved a growth of 9.4% in FY ‘24. We also signed an M oU with Yamuna International Airport for ATF pipeline from Piyala to Jewar for upcoming Noida International Airport.

The industrial business unit reached a market share of 23% amongst the oil companies and achieved 7.2 million metric tons in sales volume this year, the highest ever by I&C BU . With a strong brand positioning of MA K, the lubricant business achieved a market share of 24% amongst the oil companies and the highest ever sales volume of 421 TMT in the financial year ‘24.

We are also happy to share with you that we have commissioned new channel partners in Sri Lanka, footsteps in African continent in Kenya, Uganda, and Tanzania for our lubricants business.

In line with our focus to expand non -fuel consumer retailing in rural markets, we have started baby steps in retailing stores at our fuel stations in ‘22. Village level women entrepreneurs called Urja Devi s have also been associated to these outlets and professionally trained. They have started on -field activities and are improving our fuel sales as well as the serviceability of LPG, diesel, lubricants, and non -fuel assortment being catered from the vast BPCL network. They service gram panchayats and villa ges with a population between 2,000 to 5,000.

We have opened about 190 plus stores till date. To gain expertise in our own sourcing and to take the supply chain nearer to the store, we have set up our own warehouse in Lucknow during Q3. Looking at the success of our own sourcing model in Lucknow, we plan to set up such additional facilities in Madhya Pradesh, Maharashtra, Rajasthan, Andhra Pradesh, and Karnataka.

In the gas business, as I mentioned earlier, we have operationalized 25 of the 27 GAs with BPCL except the recently acquired Jammu and Kashmir and Ladakh GAs. BPCL along with O IL as a consortium partner has received the LOI for Arunachal Pradesh, making it our seventh JV in the gas bu

siness.

We are happy t o share, we have added 435 CNG retail outlets in FY ‘24, taking the total count to 2,034 stations, and plan to add another 300 outlets in the year 2025.

We also have supply security via long -term tie -ups for about 2.89 million metric tons per annum. Our supply agreement with Qatar Energy has also been renewed during the year for 20 years from 2028.

As far as green energy is concerned, we have currently an installed capacity of 64 M egawatts of RE, and a further 190 Megawatts is under construction. BPC L’s first green hydrogen plant of 5 Megawatt electrolyzer capacity is being implemented at the Bina Refinery.

A pilot green hydrogen refueling station project of 100 Nm3 per hour capacity in the mobility sector is under execution at CIL Kochi and is expected to be commissioned by January ‘25 and is based on an electrolyzer indigenously developed with BARC. We have achieved about 11.7% ethanol blending for the financial year and are aligned to meeting government objectives of 20% ethanol blending target.

Without further ado, let me guide you through the financial highlights :

We have recorded our highest ever net profit of Rs. 26,674 crores this financial year, a significant increase from the profit of about Rs. 1 ,870 crores in FY ‘23.

For Q4, the revenue from operations stood at Rs. 132,085 crores . The profit after tax stood at Rs. 4,224 crores. Against the CAPEX target of Rs. 10,000 crores for the financial year 2024, we have spent about Rs. 11,702 crores. We have now budgeted Rs. 16,400 crores for FY ‘25.

Our standalone net worth as on 31 .03.24 is Rs. 74,675 crores. The earnings per share for ‘24 works out to 125.21.

We are happy to have declared a final dividend of Rs. 21 per share pre -bonus in addition to Rs. 21 per share has already been declared as interim dividend. In order to reward our shareholders for their continued support, we have also proposed a bonus issuance of one bonus share for every existing share held subject to shareholder approval.

Overall, we are complementing our high -class assets with our high operational excellence, prudent capital allocation, disciplined project execution and delivering consistent shareholder returns.

These conclude my comments. And we will be happy to take your questions. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. We have our first question from the line of Probal Sen from ICICI Securities. Please go ahead.

Probal Sen: I just have a couple of questions. Thank you for the extremely descriptive run-down of the business outlook and every thing else. On the refining front, sir, the performance of the Bina Refinery has been especially strong. Can we just get a broad sense of the product slate of this refinery, just in terms of what is the yield of diesel and petrol ATF? Some of the major products, if you can get any color. That was my first question.

VRK Gupta : In respect of Bina , the product slate, for MS it is 15.5%, diesel is around 53 % to 54%, ATF is around 8%.

Probal Sen: Sir, just to try and understand, I mean, just the diesel, I mean, yield itself is responsible for the clear outperformance of this refinery versus virtually I think any refinery that is there in the country today. Anything you can sort of give us as a flavor of why this refinery is doing so well.

VRK Gupta : Two major contributing factors for this Bina higher GRM. One is the crude mix, if you see, the majority of the crude is coming from Russian Urals side. High sulfur crude we are processing in Bina as compared to any other refineries. And secondly, the product slate, if you compare the HSD streams in Bina is much, much higher than compared to other refineries. And you know

that diesel cracks were very good during the current financial year. So, these two have helped actually Bina generating higher GRMs.

Probal Sen: Sir, just to get a broad sense in terms of overall numbers, was the percentage of Russian crude slightly lower in this quarter versus Q3? Or has it been, I believe last quarter also you have given a broad guidance that I think was around 25 % to 30% of our overall slate. Is it similar this quarter?

VRK Gupta : If you see for FY ‘23-’24, our imported crude is around 36 MMT. Out of 36 MMT, around 39% we have procured from Russia . It is containing like Urals, ESPO s, CPC grades. We are expecting this year also similar grades still available from Russia. Then for ‘24-’25 also Russian crudes can play a significant role in total throughput.

Probal Sen: And on the marketing front, sir, you know, o ur increased crude prices, correct me if I am wrong, we are not really making any significant margins from retail fuels. So , what is the thought process about looking at the price or at the moment we are comfortable with our overall margin mix? How should we look at this?

VRK Gupta : Even earlier also we said as long as crude prices are hovering at 80 to 85 range, so we are comfortable even at this pricing. The margins may be short period of time, the margins may be squeezed for a short period of time. But as long as crude is hovering around $80 to $85, we are reasonably, we can generate the marketing margins.

Probal Sen: Last question from my side , if I may. In terms of Mozambique, sir said that it could be sort of the force majeure could be lifted and the project could be restarted. Is it reasonable to assume that restart will happen sometime over the next 12 months or in FY ‘25, we can see a resumption of operations or rather resumption of at least commissioning activity on the Mozambique asset?

G. Krishnakumar: Probal, w e are very hopeful that it will restart during this year. We are also very keen to see it and ensure it starts, but we are very hopeful this will start this year.

Moderator: Thank you, sir. We have our next question from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka : On CAPEX , could you spell out the target for FY ‘25 and broadly how will the CAPEX pan out over the next few years given the target of 1.5 lakh crore over five years?

VRK Gupta : For FY ‘24-25, we are estimating our CAPEX outlay will be around 15,000 to 16,000 crore. So, major amount will go around 4,200 will go to for refinery and petrochemical projects. And for marketing, we are going to allocate around 7,000 crore for various projects, mainly including the CGDs and our existing projects. And BPRL, we are planning to increase around 2,000 to

2,500 crore of equity during this year. So, with this, the total capital outlay we are planning for FY ‘24-’25 will be around 15,000 to 16,000 crore.

Amit Murarka: And how will that scale up to, let ’s say, ‘26-27?

VRK Gupta : We are expecting ‘27-’28 the scaling up will happen for Bina project . Maybe even for next year also, the CAPEX will be maybe around 16 to 20,000 crore range . The major CAPEX spending will happen for these major projects will be in ‘27-’28 onwards . The peak CAPEX will happen from ‘27-’28 onwards .

Amit Murarka: But I am just wondering like that still would not add up to the 1.5 lakh crore number I think what .

VRK Gupta : Over a period of five years we are planning , you know , the projects what we have announced already major projects for petrochemicals , two projects we have announced for 49,000 crore plus 5 ,000 crore and the CGD in various licensing we got around 52 CGD licensing areas where we have declared a CAPEX outlay of 25,000 crore in the first five years and over a period of the life will be around 45,000 crore . These two ar

e the already announced projects .

And there are small refinery projects, ongoing projects and marketing s ide ongoing projects , and we are expecting at least 2 gigawatt of renewable around 10,000 crore. With all this actually our capital outlay will be around 1.7 lakh for a period of maybe five years or five -and-a-half years , but otherwise our capital outlay we have a work ed out it will be around 1.7 lakh crore .

Amit Murarka: This is all till FY ‘28, right ? I mean , this, all of this CAPEX outlay?

VRK Gupta : ‘29’ starting from ‘24-’25’ five years to FY ‘29.

Moderator: Thank you , sir. We have our next question from the line of Mayank Maheshwari from Morgan Stanley . Please go ahead.

Mayank Maheshwari: Two questions from my . First was in terms of the petrochemical project at Kochi , can you just talk us of how has been the progress in terms of margin contributing in this year in this quarter and any improvement in terms of the overall profitability of that project ?

And the second one was more related to renewables. You are talking about 10 -gigawatt target in terms of renewable capacity. Can you just walk us through how it will lower your operating costs at the refinery level once you have this 10 gigs of capacity coming in in terms of renewables?

VRK Gupta : The first question related to the petrochemicals plants at Kochi Refinery, previous year the operating capacity was 60%, we have operated all these plants . This year it was 70%. The total production of the previous year, it is 197.15 metric ton TMT and currently it is 232. There is a significant increase of product operating capacity utilization. The gross margin during this year from petrochemicals is around 560 crore as compared to 364 crore the previous year.

And the second question regarding that renewable ambition. We have an ambition of around 10 gigawatt over a period of the next 15 years. By 2040 at least we want to create a 10 gigawatt of renewable capacity. It will significantly help in cost efficiency in terms of the energy consumption at our refinery.

Today if you see the RE, the power generation equalizer, the power generation is coming around Rs. 2.6, Rs. 2.7. Even including the landing , it will be around Rs. 5 or Rs. 5.20. So, with this , there will be significant savings. We have not work ed at this point of time , but when we create this particular portfolio of 10 gigawatt renewable, it will have a significant impact on energy savings for our refinery.

Mayank Maheshwari: Sir, just to follow up on that point, can you just tell us what is your total power requirement across the BPCL overall today, across three refineries and everything else that you use power for?

VRK Gupta : We will share it separately.

Moderator: Thank you. Ladies and gentlemen, due to time constraint we will restrict questions for participants to a strict ly one. We have our next question from the line of Sabhri from Emkay Global. Please go ahead.

Sabhr i: Just one question , regarding refining capacity, I mean Bina expansion is the only one, right? Are you planning something else also other than that?

VRK Gupta : Yes, one is we have declared about Bina expansion, and we are working towards some sort of creeping expansion from the existing refineries where maybe respective refineries can take up additional 1 , 1.5 additional capacities we can create by debottlenecking of existing units. So, that we are working on it . That is the reason in the next couple of years we want to take it out of refining capacity from the existing level to 45 MMT including Bina. The main capacity expansion happens for Bina and all of the refineries, the capacity expansion s will be maybe around 1.5 to 2 MMT range .

Sabhr i: And this NRL 15 -year deal , that is for like how much volumes ? Is it like ev

en the expansion is covered in that or any idea on that?

VRK Gupta : We have the first right of refusal for entire volume The commercial te rms are not yet finalized , but otherwise we have the first right of refusal for the entire volumes .
Sabhr: So, if you have any demand from the marketing side, NRL has to provide you first.
VRK Gupta : Yes, right.
Moderator: Thank you, sir . We have our next question from the line of Varatharajan from Antique Stock Broking. Please go ahead .
Varatharajan: Just wanted to check on this Brazil things , like, what exactly transpired , and why we are writing off at this point in time ? And is there a breach of contract there or what was the reason behind that?
VRK Gupta : Yes, we have one investment in BMC -30, one of the block in Brazil . In fact , FY '21-'22, it went to a dispute with the operator . So, accordingly , we have filed our appeal in the International Court of London . Last month actually unfortunately, we have not received any favorable order . The order has gone against Bharat Petroleum. So, with that background, whatever value we had in our books, we have imp aired, but however, yesterday is the last day for filing an appeal before the London High Court . Accordingly , we have filed an appeal.
There are two disputes . One is on the data sharing by the operator . They have not provided sufficient data to take any commercial call on that . Second is when they have demanded the handling charges for crude, which was significantly higher as compared to the market rates. So, that is the reason we have not participated in the ballot for development, but subsequently it went to the dispute . They have declared an exclusive operation without our consent. Accordingly, we went to arbitration , and now the case is pending before the Appellate Authority in the London High Court.
Varatharajan: And this write -off of 1 ,700-odd crores, out of the total investment in Brazil, how much does it constitute?
VRK Gupta : This particular block, we had an investment of 120 million, means roughly around 1 ,100 crores our investment size, but in the total impairment, the major factor is BMC -30 only.
Moderator: Thank you, sir. We have our next question from the line of S. Ramesh from Nirmal Bang Equities . Please go ahead.
S. Ramesh: Sir, if you can give us some direction in terms of how you see the standalone CGD ramp up in terms of CNG stations, volumes and capitalization of assets. That will give us some sense in

terms of how the revenues will shape up and when do you expect the CGD business to be visible in terms of the impact on your standalone, top line and EBITDA ?
VRK G upta: If you see the CGD network, in fact already we have crossed the network, CGD fuel stations around 2 ,000 stations we have crossed. Even this year also we are planning around 450 CGD stations. So, the network expansion is happening in a rapid pace. For FY '24-'25, we are allocating a capital outl ay of around 2 ,500 crore for further expansion.
In terms of the market sale point of view, around 73 TMT we have sold through CGD network. The margins are good, and we are hoping the volume will pick up further with the help of the network expansion and the stable prices of gas prices, it will help.
S. Ramesh: So, these numbers you have said, are they all in the standalone GAs or do they also include your CNG ?
VRK Gupta : Both put together . Both put together because in our network, in our network means where we have our retail outlet, where we have the CNG stations , some are within our GAs, some are the geographical area licensing is with others, but where the marketing stations are with our retail outlets.
S. Ramesh: If I may ask in the CGD , can you give us the numbers

separately for the 25 GAs you have started
in terms of the number of customers, number of...
VRK Gupta : We will provide separate break up.
Moderator: Thank you, we have our next participant from the line of Puneet from HSBC . Please go ahead.
Puneet: If you can talk about how much LNG or gas you are currently consuming and what is the peak volume consumption that you expect from your refineries?
VRK Gupta : Yes, for '23-'24, we have two refineries, we are consuming mainly RLNG. Around 400 TMT, 420 TMT for K ochi Refinery, around 300 TMT for Mumbai Refinery. Both put together our consumption during th is year is around 733 TMT.
Puneet: And once Bina comes, then what should be the number?
VRK Gupta : Bina, at this point of time, we have not configured, the base design is not configured for RLNG consumption. Only it's an optional flexible fuel. At that point of time, after commissioning, we have to wait and see how much gas we can pump it for, either fuel o r feed
Puneet : Can we consume more than 733 in the existing refineries ?

VRK Gupta : Existing refineries we can go up to a little bit more compared to based on the pricing. For example, if the Naphtha prices are costlier than RLNG, then we can shift our consumption some small quantity of Naphtha , we can shift it to the RLNG or sometimes RLNG is costlier then we shift it, very small quantity. Beyond that, we can take more RLNG. It depends on the commercial for Naphtha .
Moderator: Thank you, sir. We have our next question from the line of Somaiah V from Avend us Spark . Please go ahead.
Somaiah V: So, first question is on the Russian cr ude. So, you said 39% of the total imports . So, would it be possible to give at a refinery level , Bina, Kochi and Mumbai of the total 15 million tons roughly that you have indicated?
VRK Gupta : Generally, we don 't share individual refinery w ise break -up, but overall total imports 39% we have consumed in FY ‘23-'24. I can give an indication Bina will be highest in terms of the percentage, Kochi will be next, and the lowest percentage will be Mumbai refinery .
Somaiah V: So, second question, given that the product cracks and the crude sourc ing benefits have been quite volatile. So, what do we look at as a steady state GRM when we are going for, I mean 1.8 lakh crores of CAPEX in next four, five years, what is the kind of steady state GRM you think this business can give us which can help us in cash flows?
VRK Gupta : Very difficult to say, give any guidance for the GRM because entirely it depends on the crack movements, international crack mo vements. So, the last two years was very good in terms of the refining margin side, but recently in the last couple of months, the cracks have started becoming moderated. Even if you take a 10 -year average crack, it is very difficult to take a one -year average crack or two -year average crack . Even a 10-year average crack, even if you take our GRM, so maybe if it is in the range of $6 to $8, so whatever our CAPEX outlay when we have projected at 1.7 lakhs crore with a peak debt equity level of around 1, we are comfortable. That too broadly we are looking at it.
Somaiah V: With Bina Refining expansion, when it is expected to come and when it is coming online, the existing ops will be taking, I mean, will be impacted or is it, how do we look at it?
VRK Gupta : No, it is a completely new complex petrochemical complex. So, we are expecting FY ‘28, ‘29 the units will be commissioned. That is what we are expecting. I don't think it will have any impact on the existing refining or whatever throughput of products for Bina, it will continue. Additionally, it may give around 600 to 700 TMT of products, petroleum products beyond the petrochemical .

Moderator: Thank you. We have a next question from the line of Manikantha Garre from Franklin Templeton India . Please go ahead.
Manikantha Garre: Sir, wanted to check in your opening remarks , you mentioned that you are interested in LNG infrastructure facilities also. I was wondering, are you suggesting that along with the investment which you already got in Petronet LNG you are looking to invest in some other terminal ? Is there some stake acquisition there or do you want to set up a terminal on your own? Is that what you are suggesting there?
G. Krishnakumar: See, we are looking at opportunities and we will evaluate it and take it as it comes.
Manikantha Garre: So, both Greenfield and equity investment is what you are looking at?
G. Krishnakumar: Yes, both options. All options we are looking at it seriously and if something comes our way, we will look at it. We are open to suggestions.
Manikantha Garre: And what would be your total gas consumption across all businesses that you have got? I hear you giving number for both the refineries , but what would be your total gas consumption as of today?
VRK Gupta : Our total gas footprint will be around 1.5, 1.6 MMT including the refinery consumption, CG D network, everything put together as of current levels.
VRK Gupta : Total footprint. And w e have long-term agreements of around 2.9. We have signed already gas agreements.
Moderator: Thank you. We have our next question from the line of Yogesh Patil from Dolat Capital . Please go ahead.
Yogesh Patil: Sir, if you could share the crude inventory gains and the product inventory gain numbers for this quarter and whole year, that would be helpful. And the second one is, if possible, can you share the percentage of Venezuelan crude you have processed during the quarter and which refinery can process the Venezuelan crude?
VRK Gupta : Venezuelan crude actually we have not processed anything for our refineries. Secondly, in terms

of the inventory gain losses, we have not calculated anything separately for crude inventory gain losses in the GRM because even earlier also we have clarified that our average inventory w ill be less than 30 days for crude. In fact, most of the contract is the average pricing is monthly average. So, then there won 't be any significant inventory gain losses on account of inventory holding of crude. For marketing already, we have given in our handout. For the full year, the marketing

inventory losses are around 765 crore for the quarter and for the full year 707 crore for the full year losses both.

Yogesh Patil: Sir, you mean to say $12.5 per barrel GRM of the quarter does not include the inventory gains. Is that a fair assumption?

VRK Gupta : There won 't be any inventory gain losses there. Even if there is any gain losses, they are not significant. We don 't calculate separately. Once again, I am clarifying because our average inventory is less than 30 days, whereas our pricing is 30 days average. So, it will not have any significant inventory gain losses in the GRMs.

Yogesh Patil: And the last one, sir. In this quarter, in our reported GRM, we have seen a sharp fall in the premium over the Singapore GRM. So, what would be the major reason? That 's the one question. And for the period of FY '25, how much premium over the Singapore GRM one should build in for the projection?

VRK Gupta : So, I cannot give any guidance how much we can build in the Singapore GRM sort of as a premium. We can clarify how the Indian refinery, BPC L refinery GRMs are more than the Singapore GRMs, mainly two r easons . Our entire throughput processing, the Russian crude basket is compared to significantly higher. And secondly, if you see the product portfolio, our diesel stream is bigger as compared to what is the basket in Singapore GRM. So, these two are the

main r easons .

And the future, very difficult to say how the cracks will move, how the percentage of crude and what is the commercial terms available for Russian crude. Based on that, we can work out what would be the premium. Otherwise, on a standardized basis, very difficult to say how our GRMs, what premium we can work with the Singapore GRMs.

Yogesh Patil: But, sir, in the last few quar ters, that premium has started falling. So, that 's my question. So, in the recent quarter, quarter four FY '24

VRK Gupta : It actually depends on the cracks. If you see the d iesel cracks compared to Q3, Q4 of previous year, the current cracks are significantly eroded. So, you may not see that much of premium compared to Singapore GRM with our refinery GRMs as compared to previous years. Since the cracks have come down, so maybe the premiums also will be lesser.

Moderator: Thank you. We have our next question from the line of Kirtan Mehta from BOB Capital Markets. Please go ahead. As we are unable to get to Kirtan, we will move on to the next question. We have our next question from the line of Roshani from A rgus Capital. Please go ahead.

Roshani: So, the Kochi refinery was expected to go in maintenance in September -October. So, is there anything similar planned for the Mumbai refinery?

VRK Gupta : Yes, we have certain units we are planning a shutdown in the month of July and August Q2, but the period may be around , how many days?

G. Krishnakumar: 30 days.

Roshani: But any specific sections which will be undergoing maintenance?

VRK Gupta : Yes, Kochi CDU is going. CDU2, which is a smaller capacity train and Mumbai Refinery , there are certain units, NHGU and HCU , we are planning for shutdown.

Roshani: And for the Mumbai one, which you are talking about in July, August?

VRK Gupta : Yes, Mumbai only, that is what I am saying Mumbai.

Moderator: Thank you. We have our next question from the line of Nitin Gandhi from Inoquest Advisors . Please go ahead.

Nitin Gandhi: Sir, with the sanctions again st Russia easing out and other things, global condition improving, do you expect the discount which we g et in last year to comparatively be less and margins to be impacted?

VRK Gupta : No, compared to last year, actually last year it was in oversupply zone of Russian crude, but now it is not in oversupply zone, the demand supply for Russian crudes, it is moderated. So, we are expecting moderated discounts only, not a very aggressive discount for Russian orders.

Nitin Gandhi: How much is the average discount for last year?

VRK Gupta : It all depends on the consignment -to-consignment , because generally we procure on spot basis just two months in advance. So, every cargo, every trader, every cargo wise, it varies. Earlier, we used to get last year, maybe around $8 to $10. Maybe now we can give a range of around $3 to $4 or $3 to $6 range.

Nitin Gandhi: So, if compared to 39% of supply last year, are we expecting somewhere this time around 25%?
VRK Gupta : As of date, we are for seeing we will get the Russian supplies, but the only thing is most of the Russian supplies are not on term basis . It is on the spot basis. So, every two months, M -2 only

we can plan it. If there is no new geopolitical tensions or there is no new issues, at least we are estimating the supplies will continue at similar levels.
Nitin Gandhi: So, for the April till for the next two months average, will we be having at least 25% supply or it will be less than that?
VRK Gupta : Yes, we can assume.
Moderator: Thank you. We have a last question for today from the line of Vishnu Kumar from Avendus Spark . Please go ahead.
Vishnu Kumar: Sir, a couple of months ago, we had a lot of articles saying

that the Russian cr ude could not, I mean, in the High Seas , a lot of ships were docking and could not enter the Indian shores. Any particular reason why we were not able to take it and is that problem resolved?
VRK Gupta : Yes, there will be problems and there will be solutions. So, it is not that it is smooth ride, but we are getting the supplies. It is not that we are stopping any supplies. Maybe sometimes there may be a delay of loading and there may be a delay of unloading or transit t imes . But overall , if you see, the supplies are continuing.
Vishnu Kumar: Is that something to do with payment related problems or any other additional shipping related sanctions that are coming up?
VRK Gupta : Both, because if you see , regularly there will be some parties that are added into the sanction list. So, it creates some problems. So, it is a continuous process. It is not that the sanction list is frozen for a particular period of time. So, every three months or four months some new entities are added into the sanction list. It creates a little bit of problems.
Vishnu Kumar: Just one final question on the heavy crude sourcing that we do outside of Russian crude. Are the other grades that we are sourcing either from Middle East or are they at the premium to the normal benchmark? At least that is something we see. So, material delta over benchmark , let's say, a couple of years ago to now.
VRK Gupta : No, as of date Russian Urals are commercially comp arably better than any other grades. So, that is our preference will be Russian grades at this point of time.
Moderator: Thank you. Ladies and gentlemen , that was the last question for today. I now hand the conference over to Mr. Nitin Tiwari for closing comments.
Nitin Tiwari : On behalf of PhillipCapital, I thank everyone for joining this call , and since re apologies for frequent disconnection. Thanks again and have a good day.

Moderator: Thank you. On behalf of PhillipCapital (India) Private Limited , that concludes this conference. Thank you for joining us and you may now disconnect your line.

Call: Aug 2024

“Bharat Petroleum Corporation L imited
First Quarter Results Conference Call ”
July 20, 202 4

MANAGEMENT : MR. V.R.K GUPTA – DIRECTOR FINANCE – BHARAT
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MR. RAHUL AGRAWAL – CHIEF MANAGER , PRICING
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MODERATOR : MR. VARATHARAJAN SIVASANKARAN – ANTIQUE
STOCK BROKING

Moderator: Ladies and gentlemen, good day and welcome to Bharat Petroleum Corporation Limited Earnings Conference Call hosted by Antique Stock Broking. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch phone . Please note that this conference is being recorded.
I now hand the conference over to Mr. Varatharajan Sivasankaran from Antique Stock Broking. Thank you, and over to you, sir.
Varatharajan S.: Thank you, Michelle. Good morning, everyone. I'd like to welcome you all to this call, BPCL's First Quarter Results Call. We have with us the management of BPCL, Mr. Krishnakumar, Chairman, Managing Director, has not been able to join because he had an urg ent engagement in Delhi. We have Mr. VRK Gupta, Director Finance, leading the team. We have Mr. Pankaj Kumar, ED Corporate Finance, Ms. Srividya, ED Corporate Treasury; Ms. Chanda Negi, GM, Pricing and Insurance; and Mr. Rahul Agrawal, Chi ef Manager, Pricing and Insurance.
Without much ado, I would like to hand over the call to Mr. Gupta for his opening remarks.
Rahul Agrawal : Thank you sir. Rahul this side. Thank you, Mr. Varatharajan. Good morning. On behalf of the BPCL team, I welcome you all to this Post Q1 Results Con Call. Before we begin, I would like to mention that some of the statements that we will be making during this con call are based on our assessment of the matter, and we believe that these statements are reasonable. However, their nature involves a number of risks and uncertainties that may lead to different results. Since this is a quarterly resu lt review, please restrict your questions to the quarter 1 results.
I now request our Director Finance, Mr. VRK Gupta, who is leading the BPCL team for this call to make his opening remarks. Thank you, and over to you, sir.
V.R. K Gupta : Good morning, everyone. Welcome to the Post Quarter 1 Results Con Call. Thank you for joining us today. I hope you were able to go through our results for the quarter. During our last con call in May '24, we were in the midst of general elections. Since th en, the elections are over now and the new government has been formed, and there is continuing focus on net -zero emission and gas -based economy.
Further, potential RBI rate cut, above normal rainfall during monsoon, anticipated infrastructure spending are expected to provide medium -term growth impetus. As per different agencies forecast, Indian economy is likely to grow by 6.6% to 7.8% in FY '25 an d continues to be the world's fastest growing major economy.
On inflation front, India's inflation inched up to 5.1% year -on-year in June '24, driven by rise in food prices. During April, June '24, it averaged at 4.9% year -on-year. However, improved

private consumption in rural supported by a normalized monsoon and increased Kharif sowing is expected to boost agricultural output and ease food inflation to enhance spending in rural pockets.

Crude prices are stabilized around USD85 per barrel and are likely to remain range bound between USD80 to USD90 barrel range as the quarter usually witnesse s seasonal demand uptick on account of US driving season. Consumption of petroleum products in India has shown resilient growth in the f irst quarter with an overall growth of 5.5%. Major products such as petrol, diesel, ATF have grown by 7%, 1.6% and 11.4%, respectively.

BPCL registered a growth of 6.3% in MS, whereas HSD had a degrowth of 0.32% year -on-year. We expect petrol and diesel to grow in the coming years. The annualized growth in petrol is expected to be around 5% whereas in diesel, about 1.5% t

o 2% in the near f uture.

Performance in Q1 '24 -'25. Our refineries continued with stellar performance during this quarter, and we have achieved a throughput of 10.11 MMTPA that almost 116% of the nameplate capacity. Our distillate yield was 84.57% during this quarter, which is one of the highest among Indian refineries. This quarter evidenced a significant fall in international product cracks as compared to previous quarter. Despite this, our refineries recorded a GRM of $7.86 per barrel in the quarter at a premium to Singapore GRMs.

We had announced two new petrochemical projects during the last year. We are happy to share that the licensors and PMCs for all petrochemical units have been onboarded. Further site grading and groundbreaking activities have commenced at Bina Petrochemical Project.

On the marketing side, our domestic market shares grew at about 3.2% year -on-year during the quarter to 13.16 million metric tons. We continue to generate the highest throughput per retail outlet amongst our peers with a throughput of 163 KL per month vis -a-vis 149 KL per month PSU average, driven by access to strategic markets and strong network along highways. We commissioned about 170 -plus new retail outlets during this quarter and plan to take our total network to 23,000 by year -end.

Aviation business achieved a growth of 15% during the quarter against PSUs industry growth of 7% with an all -time high market share of 26.9% among PSUs. We have operationalized 25 of 26 GAs with BPCL, except the recently acquired Jammu and Kashmir and Lada kh GAs.

BPCL along with Oil India as a consortium partner has received the LOI for Arunachal Pradesh, making it our seventh JV in CNG business. We have added 41 CNG retail outlets in Q1 '25 taking the total count to 2,075 stations and plan to add another 3 00-plus out in '25.

We have an installed capacity of 77 megawatts of renewable energy and further 176 -megawatt capacity with both wind and solar is under construction. We have achieved highest ever 14.13% ethanol blending during this quarter. Our 200 KLPD 1G plus 2G Bioethanol plant at Bargarh in Orissa is nearing completion and we are targeting to start commencing activities soon. BPCL is evaluating to c reate joint ventures in establishing CGD plants with potential players and to create renewable energy assets across India. In terms of sustainable aviation fuel, Government of India has given an indicative branding target to blend 1%, 2% and 5% of SAF in intern ational aviation sector with effective from '27, '28, and '30, respectively.

Currently, there is no SAF plant commercially available in India. BPCL is conducting a market engagement study through consultant to assess feedstock availability for SAF production in India.

We are pleased to share that BPCL's MAK Lubricants campaign during Cricket T20 World Cup broadcast has significantly boosted our brand awareness and brand recall. Additionally, introducing the brand ambassador for our premium fuel speed during the T20 World Cup has further strengthened our brand presence. Moreover, BPCL associating with the Indian Olympic Association becoming the first PSU as the principal sponsor o f the Indian Olympic contingent underscores our commitment to supporting national sports and socially responsible organization, driving long -term growth and value.

Without further ado, let me guide you through the financial highlights. The revenue from operations stood at INR1,28,103 crores. The profit after tax stood at INR3,015 crores. Against an estimated capital expenditure for this year of INR16,400 crores, we have spent about INR2,438 crores during this quarter. Our standalone net worth as on 31st March '24 is INR78,054 crores. The earnings per share for the quarter is INR7.06 per share.

As of June '24, we are at fairly low levels of debt. The debt equity at standalone gr

oss borrowing
level is 0.19. Overall, standalone gross borrowings is INR15,210 crores as on 30th June 24.
Against these borrowings, we have current investments including oil bonds of similar levels
around INR15,235 crores. At group level, debt equity is at 0.54 with gross borrowings of
INR42,217 crores. This concludes my comments.
And we will be happy to take your questions now. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question
is from the line of Yogesh Patil from Dolat Capital.
Yogesh Patil: My question is related to buffer account for the domestic LPG. Sir, you have reported a negative
amount by the end of this quarter. And even in the current scenario, you are still losing some
money on the sale of domestic LPG. Is there any clause related t o buffer account that government
will reimburse the under recovery if the buffer account remains negative for 6 months, 12
months, 9 months down the line. That's one thing. And again, we wanted to understand when
government can give or consid er this amount for the reimbursement? Any thoughts on this side ?
V.R. K Gupta : First of all, let me clarify, LPG is still a controlled product. The pricing being decided by the
Government of India. Today, during this quarter, the sale price is less than the cost price. So as
per the current compensation mechanism, there is no budgetary support as of date, they have
anno unced. So since there is no budgetary support announced whatever be the incurrence in
terms of losses on account of sale of LPG to domestic customers that is what we have taken hit
to the P&L. And this will continue even subsequent months also. We are awai ting some sort of
compensation mechanism by the Government of India. So once we get the compensation
mechanism from the government of India, accordingly, we'll recognize that credit into the P&L.
Yogesh Patil: Do you expect the upcoming budgetary report at 23rd July, any kind of support?

V.R.K Gupta: We cannot comment anything because this is what government pricing. So what point of time
government will announce the budgetary support , we are not clear at this point of time.
Yogesh Patil: Okay. Sir, my second question was related to Russian crude. What was the share of Russian
crude BPCL process ed during the quarter?
V.R.K Gupta: 39% of our entire throughput is from Russian crude during this quarter.
Yogesh Patil: Okay. And one more thing regarding , we also want to know directionally the discounts on the
Russian crudes were lower compared to the previous quarter. And is that impacted on the GRM
to some extent during the quarter?
V.R.K Gupta: Compared to year -on-year quarter, significant reduction of discounts have happened. But on a
sequential basis, Q4 of last year and Q1 of current year, the trend is similar levels only, $3.5 to
$4 discount level. But previous year if you compare it the crude discounts are significantly on
the lower side.
Yogesh Patil: Sir, we also read about the Andhra based new refining unit and petrochemical unit, which will
be set up by the BPCL. Can you please elaborate on the same? And if possible, can you share
some capex during the quarter? What was the capex during the quarter? And what is the guidance
for FY '25?
V.R.K Gupta: Yes. Only on the refining side, if you see, today we are almost marketing our products around
53 -- 52.5 MMT of estimated sales for this year. Every year, we are purchasing from the private
refineries around 5, 5.2 MMT of products, around 2 MMT from the Nu maligarh Refinery 15
years rights we have the marketing rights. And around 3, 3.2 MMT we are purchasing from other
standalone refineries. So we are short in terms of products compared to our refining capacity
and our market share already there is a gap of around 5.5 million metric ton.
And even if we say a 3

%, 4% year -on-year growth, this gap will continue for a bigger amount.
So that is the reason we are exploring to create some new refining capacity. Some quantity from
the existing refineries we take 3 or 4 MMT extra refining capacity. And we are exploring a new
refining either in the East Coast or other places, just we are exploring. We've not yet concluded
which location we have to go for a new refining expansion and what is the configuration, we are
still studying. So once the config uration studies are over, then we can communicate what would
be the capex size and what would be the refining capacity and what is the location until we are
evaluating that.
And in terms of the capex for the current year guidance, we have an estimated capex of around
INR16,400 crores during this year. Already, we have spent around INR2,600 crores during this
quarter.
Yogesh Patil: Okay. Sir, if possible, can you share the total consolidated debt by the end of quarter 1 and cash
position?

V.R.K Gupta: Consolidated that is around INR42,700 crores consolidated group level, and we have the surplus cash around INR15,000 crores.

Moderator: We will take the next question from the line of Mayank Maheshwari from Morgan Stanley.
Mayank Maheshwari: Two questions from my end. First was more on market share. I think especially on an overall basis, you have grown a bit slower this quarter compared to the industry growth. So can you just comment in terms of how you are trying to defend your position cons idering the impact of private player's demand -- competition that's coming through? Any things that you're seeing there that you can kind of help us out?
V.R.K Gupta: Yes. This quarter, yes, I agree, we have grown at 3.2% compared to industry where we are not better than industry. There are 2 reasons, compared to previous year because when the crude prices are higher and we have not passed on the burden to the customers , the private sector volumes have come to public sector last year. Whereas current year since the pricing has improved, moderated and the under -recoveries have come down. So the private sector, as you are taking back have normal volume. That is the reason diesel we are not growing, diesel a little bit degrowth. However, MS, we are doing good and MS, we have a good amount of growth.
Mayank Maheshwari: So you think your diesel market share comes back to you? Or do you think this will be a new normal that you kind of expect now?
V.R.K Gupta: We are expecting in the coming quarters we'll become positive in diesel growth. Current quarter, there is negative growth, but we are expecting this will -- this trend will reverse.
Mayank Maheshwari: And sir, the second question is more related to industrial products and margins there. Have you seen some impact on margins in the last quarter because of competition even on the industrial side?
V.R.K Gupta: No. Competition is there, even earlier year also, not that this competition has come new in industrial segment. So we are not foreseeing any squeezing up of margins in the industrial segment. Similar levels of margins should continue.
Moderator: We'll take the next question from the line of Sumeet Rohra from Marks & Capital.
Sumeet Rohra: Thank you very much for doing this on a Saturday. Sir, my question more is on the LPG front, so as you mentioned that LPG is a controlled product by the Government of India. So, sir, can you first quantify is that -- what's the amount of LPG under recovery you have taken in this quarter? Is it INR2,900 crores. Am I right on that?
V.R.K Gupta: The LPG impact during this quarter is around INR2,300 crores because we have a positive buffer of INR280 crores beginning of the year. And the current year, the positive buffer becomes negative buffer of INR2,015 crores, that means the impact -- net impact during this quarter is

around INR2,300 crores on account of LPG. So currently, even if you take the current Saudi CP prices of around $570 per metric ton, we are expecting around INR600 crores per month is the LPG impact.
Sumeet Rohra: Understand. But sir, now -- I mean, as a matter of fact, is that, see my question to you is more as an investor rather than anything else. How do we look at it? Because since it is a controlled product, it's obviously going to be compensated to you as it's always been in the past. So

assuming that it's done, so you would reverse it immediately in this quarter? I mean, is the understanding correct? Or would you...
V.R.K Gupta: Yes, whenever the competition mechanism clarity comes from the government of India, immediately we take that to P&L credit.
Sumeet Rohra: Okay. And sir, secondly, I mean, on the pricing point of view, is there -- I mean, the matter of fact is that now crude is very well in the range between USD 80 and USD 90 as you highlighted. But are there any thoughts on the pricing mechanism or something of that sort?
V.R.K Gupta: No, no, such conversations are happening now. That crude is hovering at around $85. So as long as $80 to $85, we are comfortable with the current pricing.
Moderator: The next question is from the line of Sabri Hazarika from Emkay Global.
Sabri Hazarika: Yes. I have three questions. So first one is on this LPG losses only. So, I think, a couple of years back also you brought around INR22,000 crores that was like given as a onetime settlement. So who basically goes for this. Is it you or is it MOP&NG who goes to the Finance Ministry, what is the run up to this declaration of onetime compensation for loss in LPG?
V.R.K Gupta: No. You see that this is actually price movements. if the Saudi CP goes on a higher side, then we start incurring the losses. This quarter is around INR2,300 crores. We are awaiting some sort of government support. I'm not sure when that support will come either this quarter or subsequent

quarters. We are awaiting the confirmation from the Government of India only what subsidy mechanism we'll get.
Sabri Hazarika: Is it now with the Finance Ministry this request? Or is it just with…
V.R.K Gupta: It will be routed through our Ministry, parent ministry to finance ministry.
Sabri Hazarika: Finance Ministry , okay. Secondly, marketing inventory gains have reported around INR400 crores. So can you give some color on -- I mean, last year there has been some price drop on this, so how has this come from?
V.R.K Gupta: This marketing inventory generally we calculate because it's RTPs are changing on a fortnight -to-fortnight basis. So whatever inventory levels we have at the marketing locations, the differential between the price between the fort nights and we calculate what is the inventory gains.
Sabri Hazarika: Okay. So it is more to do with RTP rather than retail pricing, is that right?
V.R.K Gupta: No, no. RTP. Right. Nothing to do with the retail selling price. It is only RTP.
Sabri Hazarika: So whenever there's an excise cut that also affects the RTP rather than retail pricing, is that right?
V.R.K Gupta: Right. Whenever excise cut or excise changes happens, it will have an impact on inventory gain also.

Sabri Hazarika: And sir, last question, how many retail outlets you have added in Q1, you said 23,000 is the target for the year?
V.R.K Gupta: 171. During this quarter, 170.
Moderator: We'll take the next question from the line of Kirtan Mehta from BOB Capital Markets.
Kirtan Mehta: In terms of sort of the additional refining capacity that we are looking at either of the 2 locations, you have previously stated that you like to grow the refining capacity to 45 million tons. So is this new refining within the 45 million -to

n capacity target? Or are we looking to extend the refining beyond that?
V.R.K Gupta: The announced plans of 45 MMT is from the existing refineries. So what we are looking at is much beyond 45 MMT because our market share itself is, this year we are estimating around 52 MMT and we are purchasing around 5 MMT of products from the private ref inery. And if the growth around 4% or 5% growth year -on-year if you take it, by 2030 we'll have a shortage of good amount of refining capacities. So that is the reason we are exploring to look at it, additional capacity of refinery beyond 45 MMT.
Kirtan Mehta: Understood. In terms of the NRL, when it gets expanded, we will still have the right to market NRL products as well, so that would still remain our capacity and it will not necessarily be a shortfall?
V.R.K Gupta: Existing agreement is for the existing capacity. So we've not a signed any MOU for the additional capacity. We have the marketing rights, we have not yet signed any additional capacity MOU.
Kirtan Mehta: And would this capacity be of the order of 10 million ton odd? What would be the typical size that we will be looking here?
V.R.K Gupta: We've not yet concluded, maybe 9 MMT train or 12 MMT train which is commercially more viable accordingly we have to take a call till we are exploring what would be the best configuration and what product portfolio you have to take. So we are still studying this.
Kirtan Mehta: Sure, sir. And on the E&P side, could you update us on the status on the Mozambique as well as the Brazil block?
V.R.K Gupta: Mozambique still force majeure is continuing because our security situation has improved a lot compared to previous quarter. We are expecting maybe in another one quarter, there may be some good things can happen, that is what.
And secondly, the existing vendors or contracts are in place. Secondly, the project financing discussions are happening with the lender. Maybe we have to wait for one more quarter and see when the force majeure they are declaring for upliftment of the forc e majeure.
And the second is for the Brazil, the development plan has been submitted to the E&P, that we are yet to receive the approval from the E&P. Once that approval comes, then automatically our development program will continue.

Kirtan Mehta: In Brazil, this is related to BM -SEAL -11 block, correct?
V.R.K Gupta: Yes, SEAL -11 block.
Kirtan Mehta: And in terms of the Mozambique, do we have idea about the cost escalations that may happen with this delay, project?

V.R.K Gupta: Earlier project cost is $15.5 billion. Some indicative numbers they've shared. It may be around $19 billion. Maybe that means around $3.5 billion to $4 billion increase of the project cost. So we are expecting around $19.5 billion to $20 billion project cost will happen.
Kirtan Mehta: And is there any way we can sort of maintain the IRR on this project or this will translate into correspondingly deduction in the IRR value?
V.R.K Gupta: IRR definitely because the projects are still going up, the sale contracts are intact. So definitely, there will be an impact of IRR. But going forward, still the IRRs are commercially viable IRRs.
Moderator: The next question is from the line of Maulik Patel from Equirus Securities. Please go ahead. As the current participant has left the queue, we will move on to the next question from the line of Roshani from Argum Group .
Rosh ani: Do you have any turnaround plans this year for any of the refineries.
V.R.K Gupta: We have both Kochi Refinery and Bina refinery we have turnaround plan. Bina will be around 15 days we have a turnaround plan. And Kochi will be having multiple units, 30 days and 15 days from 45 days turnaround plan during this year. The turnaround will st art in the month of September to October, and Bina will be August to Septembe

r.
Roshani: Okay. Any plans for the Mumbai refinery then?
V.R.K Gupta: No plans shutdowns .
Roshani: Okay. which section units of this Kochi and Bina, any light on that?
V.R.K Gupta: Kochi will be CDU -II FCC U block majority of the units are going for shutdown.
Roshani: Okay. Bina?
V.R.K Gupta: Bina, HCU, DHT, HGU, SRU, all 4 major units, 15 days we are planning a shutdown.
Roshani: And sir, in terms of the -- are there any term deals that's being discussed with Russia? Are you exploring it on that side?
V.R.K Gupta: We are exploring. The discussions are continuing, but nothing has concluded for Russian term deals. But anyhow, we are getting spot, this is sufficient crudes from the market. But term deal still the discussions are going on, we've not yet concluded anythi ng on this.
Roshani: So right now, all the deals are on spot basis, right?

V.R.K Gupta: Right. Spot basis.
Roshani: Okay. So are spot deals more -- the discounts are better on spot than the term ones?
V.R.K Gupta: Similar levels only , term will give product security. Otherwise, discount levels will be similar levels only.
Moderator: The next question is from the line of Maulik Patel from Equirus Securities. Please go ahead.
Moderator: Sorry, to interrupt sir, your voice is breaking. We can't hear you clearly. Sir, may I request you to kindly use your handset.
Maulik Patel: Yes, I'm using the handset only.
Moderator: Sir, there is a network issue on your line, sir. We are not able to hear you clearly. Can you please rejoin the queue?
Maulik Patel: Sure.
Moderator: We'll take the next question from S. Ramesh from Nirmal Bang Institutional Equities.
S. Ramesh : So if you look at the Bina refinery expansion plan, when do you see the refinery expansion to be completed?
V.R.K Gupta: Our project scheduled completion will be FY '28, '29. May '28 is our target date for refining expansion and refining to petrochemical expansion. So we are expecting during FY '28, '29, the commencing will happen.
S. Ramesh: Okay. Now on the CGD business in the commercialized GAs, can you give us what is the year - to-date capex ? And what is the capex you're planning this year? And when do you see the visibility on the revenue and EBITDA from the commercialized GAs on a standalone basis?
V.R.K Gupta: Yes. On a standalone basis, we have 26 GAs where we got the licensing exclusive licenses. Out of 26 GAs -- already from 25 GAs the operations have started. During this year, we have almost CNG, during this quarter 28 TMTPA of sale has happened from this particular GAs. And in terms of the capex during this year for CGD we've spent around INR316 crores. Current year, the capex target for CGD business will be around INR2,800 crores to INR3,000 crores.
S. Ramesh: And what is the aggregate capex you've incurred to date on CGD?
V.R.K Gupta: CGD aggregate capex is almost INR5,857 crores on 25 GAs during -- for all 25 GAs, we spent around INR5,857 crores.
S. Ramesh: So when do you see the commercial impact on the P&L in terms of revenue and EBITDA from the standalone GAs?
V.R.K Gupta: So our target for the CGD expansion will be in the next 5 years, around INR25,000 crores, we have allocated the capital, so the volumes have started coming from the CNG and bulk business,

we are expecting maybe '26, '27 onwards a significant jump of volume which will happen.
Otherwise, the initial volumes and of the plan, it has started.
S. Ramesh: Okay. Now my last thought on the consolidated results in other matters under 6A as a mention of total loss after tax of INR490 crores, which I presume is for Bharat PetroResources. So would it have any cash flow impact? And does it need any additional funding support from BPCL for Bharat PetroResources?
V.R.K Gup

ta: Bharat PetroResources if you see -- Bharat PetroResources, the major 2 blocks are Mozambique and Brazil. Both the blocks, the investment equity infusion will continue because as per the project plan also we have to increase certain quantum of equity. And BPRL as of date, there is no cash -generating blocks are there. So whatever Mozambique and Brazil the required funds either through project financing or o ur equity route, it should go.
The only reason why this INR490 crores of major expenditure during this year is, the Mozambique project is under force majeure. So since it is in force majeure the borrowing cost we cannot capitalize it, everything we have to take it to the P&L. So that is the reason there is a loss of around INR490 crores BPRL. And there will be definitely equity increase will happen once the project restarts and the development work happens for the Brazil.
Moderator: Thank you. We'll take the next question from Saket Kapoor from Kapoor Company. Please go ahead.
Saket Kapoor: Firstly, if you could articulate towards the reasons for lower cracks for the current quarter and post the exit of June, how are the cracks behaving for the month of July?
V.R.K Gupta: Yes. During this quarter, the cracks are subdued. Spreads are on lower side compared to previous quarters. There are 2 reasons what we have observed is that the inventory levels of gasoline and gas oil are on a higher side. And we are expecting the demand will pick up once the U.S. driving season comes, already started picking up the cracks . Even in the July and August forwards you see compared to the earlier months the spreads have improved a little bit. And once the U.S. driving season goes, the inventory levels will be on a lower s ide, and we are expecting by Q3, the gasoline and gas oil cracks will be much better than the current levels.
Saket Kapoor: So post the June also, what are the current cracks, sir, for the gasoline and diesel currently?
V.R.K Gupta: we are looking at -- $8 gasoline and $15 is gas oil.
Saket Kapoor: Okay. And what was the average for the June quarter?
V.R.K Gupta: During this quarter, $8.58 gasoline April to June average and gas oil is $14.76, slightly around $1, it has been improved from the average current quarter of last year.
Saket Kapoor: Sir, and on the capex front, sir, what have been allocated in terms of our E&P activity. And in terms of also the -- if you could give the number for the pipe segment, seamless pipes and all which are required in the drilling E&P activity, what are the out lined for the current year in terms of the casing pipes and the similar segment?

V.R.K Gupta: Yes. Current year, we've estimated a capex of around INR16,400 crores. Out of which major investment is going to happen for refinery and petrochem is around INR4,300 crores. And exploration side, we are planning to have an equity increase of around INR2,250 crores for exploration activities. And marketing mainly for pipeline expansion and our infrastructure creation and marketing location, the total capex allocation will be around INR7,100 crores. And the CGD, we are allocating the capex of around INR2,000 crores.
Saket Kapoor: Right. And lastly, on the lubricant part, sir, what is our current market share? And what was our volume for this quarter?
V.R.K Gupta: That we will share it separately lubricants.
Saket Kapoor: We can look forward, sir, for investor presentations sir, I think so as I've not missed correctly there. We are coming up with our numbers, but press release and investor presentations do not form a part of our results. So can we look forward for these two also being a part and parcel along with the continuity of con call.
V.R.K Gupta: Yes, we will look at it. We will look at it.
Moderator: Thank you. The next question is from the line of Gagan Dixit , Elara Secu

rities. Please go ahead.
Gagan Dixit: Sir, my question is regarding this new refinery plan. So what are the key criteria that you look for setting up the refinery? I mean, is something the demand that's the reason that you want to see? Or you want to see some advantage on the petrochemical sid e? Or -- what are the -- I mean,

sir, the idea that you are evaluating, I mean, from this new refinery purpose?
V.R.K Gupta: Yes. Both things we are planning. In fact, our corporate strategy if you see, we want to take our petrochemicals portfolio from the existing 1% -- less than 1% today our petrochemicals portfolio. After Bina expansion and the petrochemicals project, we are planning to take our total portfolio of petrochemicals to 6% to 7%, but long term as a good diversification and having a good product portfolio we want to take petrochemicals at least 15% of our product sales would be petrochemicals. That is one criteria.
Second is even when we have a market share of around 50 to 53 MMT of market sales, we don't have sufficient refining capacity at this point of time. So even on the demand side also, India is growing at least 5%, 6% of energy demand. If the growth continue s even in the next 4, 5 years, we have a good amount of shortage in terms of refining for BPCL. So by keeping these 2 factors, we want to add some more refining capacities with a little bit more on petrochemical configurations. That is what broadly, we are looking at it.
Gagan Dixit: And sir, what I know that -- I think a long back, you had some land already purchased 2 decades back I think in the Allahabad. So that land is still there if you want to set up a refinery might be possibly the locations?
V.R.K Gupta: Land is in the name of BPCL only. There are small encroachments have happened. But anyhow, we are taking care to removal of the encroachment. Land is still with BPCL only at Allahabad.

Gagan Dixit: Okay. So that can handle that 10 million ton also refinery, if you want, I mean.
V.R.K Gupta: Yes, yes, it can handle. It can handle 9 MMT train or 12 MMT train it can handle that land parcel.
Moderator: Thank you. The next question is from the line of Sumit Rohra from Marks & Capital. Please go ahead.
Sumit Rohra: So I just wanted to get a sense of view on profitability because I'm just looking at this on a con call of nearly 1 hour we spend nearly 15 minutes on capex, which is actually a burden to our shareholders. So can you talk a bit on profitability? Because I understand that on this quarter, we have reported a profit of about INR3,000 crores after absorption of the LPG figure of INR2,300 crores plus we had a INR400 crores inventory gain. So technically, you reported about INR4,800 crores of profit in this quarter, which is absolutely astounding and good. So sir, I want to pick your brains on this. Is that -- so do you see this profit sustaining firstly?
Secondly, sir, you have something called Project Aspire, wherein you are looking to double profitability as well. So can you please talk a little bit about your Project Aspire on profitability? And how do you see the next few years shaping up in terms of PAT, sir?
V.R.K Gupta: Thank you, rightly you have observed our profitability. Whatever you say that is the correct number, this is a normalized profit if you remove the LPG and recovery in inventory gain, somewhere around we are at INR4,800 crores or INR4,700 crores profit generation during this quarter. So a couple of things. The refining margins are still commanding at a good level, even a 10 years average GRM compared -- even if you compare the current quarter, GRMs are better than a 10 -year average GRM. And the c racks we ar e expecting, this will continue for a longer period of time, even a short period of time the cracks are on the lower side. Within the next couple of quarters, the cracks will im

prove.
We are looking at a similar level of refining margins. And if the crude is at $80 to $85 range, whatever our profitability we are comfortable position in terms of whatever capex programs we have announced for the future.
In terms of our Project Aspire, yes, definitely, our aspiration to become -- for doubling the profits from the normalized profit of around earlier INR12,000 crores to INR13,000 profits of the company. So we are aspiring to take it at least 2x. That is the reason we have announced a major large project in terms of refining expansion and petrochemicals. By FY '28, '29, once all these projects commissioning is completed, then we can look at it a good amount of growth in profitability.
Sumit Rohra: And sir, I have just one very humble suggestion being in the best interests of our company. So henceforth we can spend a bit of time on profitability as well because that will inspire and give confidence to our stakeholders of exactly where we are headed. So because it is very difficult to digress numbers on our company, which is selling so many products across so many verticals. So sir, if -- as we talk about capex, talking about profitability will also help in a big way, and it will actually restore confidence among the stakeholders. So that's something which came to mind so I just thought I'll bring it up to your attention, sir. And wish you very -- all the best. And I

sincerely hope that you can deliver on this INR20,000 crores profit, which your company deserves.
Moderator: Thank you. We'll take the next question from the line of Vipulkumar Anopchand Shah from Sumangal Investments. Please go ahead.
Vipulkumar Shah: So my question is what is our cumulative investment till date in BPRL?
V.R.K Gupta: BPRL our total investment as of date, almost we have committed around INR37,000 crores in BPRL. Majority of the investment is through borrowings. We have invested in equity of around INR10,700 crores and the balance is through borrowings. Total, our commitment in exploration till date INR39,358 crores as of June '24.
Vipulkumar Shah: 39?
V.R.K Gupta: 39.
Vipulkumar Shah: Okay. And sir, one small suggestion if you can make hand out an d investor presentation as part of your results, it will be very helpful, sir.
Moderator: Thank you. The next question is from the line of Somaiya V from Avendus Spark. Please go ahead.
Somaiya V: Sir, on the Bina expansion, can you just help us out on the time line or in terms of milestones, what we are looking in the next 2, 3 years? And also for the current year capex, what you mentioned for refining, how much is that going towards Bina? And Also next 1 or 2 years, how we plan to spend on the capex progress for this product?
V.R.K Gupta: For Bina, the total project cost is INR49,000 crores. It is having 2 components refining expansion for Petrochemicals Board. It is an integrated project. Current year, the financial progress may not be much because at current year we are estimating around INR2,000 crores capex incurrence will happen for Bina. But physical activities, the major milestones of selection of licensor and selection of PMCs almost we have completed that milestone. That will be a biggest milestone we have ac hieved as per the schedule.
And second, the fieldworks in terms of ground leveling and roads and internal infrastructure works have been awarded to the contractors and the work has been started. The actual capex for this project happens from the year 3 onwards. So year 1, during thi s year, we are expecting around INR2,000 crores and next year will be around INR7000 crores, INR8000 crores, but year 3 will be the major capex and commissioning, we are planning the commissioning activities as per the project schedule, FY'28, FY'29, the p roject will be commissioned.
Somaiya V: So at the company level, what would be your

capex run rate. So this year, you mentioned INR16,500. So taking Bina's expansion requirements. So how it will be in year 3, what will be your run rate capex?
V.R.K Gupta: We will share separately that one 5 years breakup.

Somaiya V: Okay sir. Also this year, you mentioned INR7,100 crores capex for marketing. In terms of station additions, can you give some granularity in terms of how do you see?
V.R.K Gupta: Yes. Marketing infrastructure is mainly 4, 5 components, one, is we have large pipeline network, we are expanding product pipeline network, one is Krishnapatnam Hyderabad one pipeline. And Irumpanam some pipeline, Irugur Devangonthi one more pipeline we ar e planning. And we have certain projects at Rasayani for LPG import terminal as well as our infrastructure tankage creation at Rasayani.
And from retail outlet point of view, we are planning around 1,300 outlets during this year and 300 CGD stations. But all these will be a combination of both infrastructure creation and marketing locations -- expansion of marketing location along with cre ation of EV charging stations, around 3,500 EV charging stations we want to create during this year. With this, we are expecting around INR7,000 crores of estimated capex for marketing initiatives.
Somaiya V: Sir, on the refining front, in terms of Russian crude sourcing, so this 39%. So this is the max that we can take -up for our refineries or there is still some headroom in terms of increase?
V.R.K Gupta: Maybe 1% or 2% more headroom, maybe 40%, 41% we can take. Otherwise, on an average 39% to 40% only we can process. There is headroom, but technically we want to restrict at 39%, 40% level.
Somaiya V: Also in terms of Middle East crude sourcing premiums or discounts, how has your direction been in the last few months? Any thoughts on that?
V.R.K Gupta: No, compared to -- during this year, at the beginning, if you compare with April, May, current OSPs are moderated. And this OSPs will be further moderated because anyhow the cracks are not there. So cracks are on lower side. So I don't think OSPs premium w ill be on higher side when cracks are on lower side.

Somaiya V: Sir, any impact in the recent times because of the freight cost kind of going up, any impact to us in terms of either sourcing cost?
V.R.K Gupta: Slightly, it is better. Compared to previous year, the freight rates are comparatively better. The initial da ys of Russia, Ukraine the freights have picked up. Now it is comparatively better freight rates. And most of the cargos, if you see, we are purchasing and delivered basis. Most of the Russian cargoes are on a delivered basis. So there is not much impact of f reight on our account.
Somaiya V: Thank you.
Moderator: Thank you. We'll take the next question from Saket Kapoor from Kapoor Company. Please go ahead.
Saket Kapoor: Sir, for the Ethanol blending project, what have we outlined for the current financial year in terms of the procurement exercise. And also there have been talks about laying of separate pipelines for transportation of the same or setting up to reduce the transportation cost for Ethanol . So if you could give some update on the same, sir, what is our current year target?

Rahul Agrawa l: So Ethanol, currently, we are blending about 14%. This is one of the highest. Last year, we were blending about 12%, 12.5%. And our target is to achieve around 15% in the current quarter. And government has mandated about 20% from FY '25.
Saket Kapoor: Sir, in terms of crude liters can you mention what have -- how much have we ordered and what have been our procurement for the first quarter? And what would be for the full year?
Rahul Agrawal : Yes, we'll share it separately.
Saket Kapoor: Sir, two questions are pending . For the Lubricant p

art, you shared you will be sharing separately and now for Ethanol also you want to share it separately. So separately, sir, how will you share if you could just elaborate.
VRK Gupta : By e-mail our team will circulate.
Saket Kapoor: Okay. But our emails are not registered with you, sir, how will. Sir, I think these questions can be answered in the form of a release or submission to our website or through exchanges so that it could benefit investors at large and not pertaining to 1 or 2 specific investors.
Rahul Agrawal : We will be sharing it through the Antique Global.
Saket Kapoor: Through Antique Global. So we have to get in touch with them, sir. And lastly, on the procurement part, sir, in terms of cr ore liters you can give an idea last year how much we have procured and for the first quarter numbers. So you have the numbers with you?
V.R.K Gupta: We will share.
Saket Kapoor: And for the profitability part, sir, as one of the investor mentioned. So if you normalize the quarter as a whole, the PBT number for this quarter is INR4,800 crores has been confirmed by the management team?
V.R.K Gupta: I mean you can take at INR4,600 crores tax impact if you remove maybe LPG under recovery you add back and INR400 crores of inventory gain, you remove. So around INR4,500 crores to INR4,600 crores.
Saket Kapoor: And what would be the comparable number, sir?
V.R.K Gupta: Comparable what?
Saket Kapoor: Comparable number Q -on-Q and also last year, sir, if we take the similar parameters, what should be the June '23 comparable numbers look like if we compare like -to-like basis?
V.R.K Gupta: We have to workout.
Saket Kapoor: I didn't get you, sir.
V.R.K Gupta: We have to work out, what would the LPG and the recurrence at point of time or negative buffer we have to work out separately.

Saket Kapoor: If you could just summarize the questions and the unanswered part of during the call and if that could be just worked out for the coming quarters, that would be very helpful for investors and the analysts so that we can get the information right during the call. So I hope the team will be better prepared to look at it?
V.R.K Gupta: We'll look at it.
Saket Kapoor: Thank you.
Moderator: Thank you. The next question is from the line of Vikas Jain from CLSA. Please go ahead.
Vikas Jain: Just one question. Why are we adjusting the LPG under recovery because that is not anyways part of the income statement since we are using normalized margins to get to our reported profit, right? That's part of the buffer. So if anything, if we take the losses then, in fact, the reported

and go to the old accounting where losses were part of the base income statement, then profits will be lower by that INR2,800 crores or whatever num ber, right?
V.R.K Gupta: LPG -- once again, we are clarifying LPG is still a regulated product. The pricing is decided by the Government of India. So we have disclosed on account of LPG, what would be the negative buffer. With this negative buffer after absorbing this much of loss es, we have around INR3,015 crores of profit after tax during this quarter.
Now different ways of calculating what will be normalized profit, in case if there is no under - recovery on LPG, that is one way of calculating what would be the normalized profit. Otherwise, I think there is no co mpen sation mechanism, LPG losses have been observed by the company.
Vikas Jain: Sir, sorry. What I'm not able to understand when you say you have created a buffer account. So has that loss become part of your marketing profits as you have reported? Or that is something which is created beyond -- it's not part of the income statement r ight now because your profits are being calculated at the normal level of LPG margins and that has been kept out of income statement as a receivable, which you will take, rig

ht?
V.R.K Gupta: No. One again , I'm clarifying, the current practice, if there is no compensation mechanism. If there is any over -recovery of LPG prices, we create a buffer and we'll show that as a payable, we don't recognize any income. Whereas in case of if there is any LPG losses, there is no compensation mechanism. We take the hit into the P&L. That means the margins are lower on that particular to the recent of that sa le, we don't create anything as a recoverable.
Vikas Jain: Thank you so much.
Moderator: Thank you. We'll take the next question from Vivekanand Subarraman from Ambit Capital. Please go ahead.
Vivekanand Subarraman: Just one simple question. The sequential change of around INR750 crores to INR800 crores of oil bonds. What was that on account of? Can you explain that?

V.R.K Gupta: Yes, we have started because we have some cash surplus available during this quarter because overnight borrowings, you have to hypothecate certain G-Sec investments. That is the region we have acquired additional G-Sec investments during this quarter from the market.
Vivekanand Subarraman: Okay. Sorry, this is to have overnight borrowings, you have to...
V.R.K Gupta: We have to split certain investments. We have the cash surplus, so we have started investing in the G-sec and oil bonds, that is the reason incremental oil bonds have gone up.
Management: They are not oil bonds. They are government securities.
V.R.K Gupta: G-Secs, government securities, oil bonds all put together.
Vivekanand Subarraman: Okay. So these were issued by the government fresh? Or were you purchasing?
V.R.K Gupta: It is from the market. We bought it from the market.
Vivekanand Subarraman: Okay. It's like treasury operations.
V.R.K Gupta: Okay. It's only treasury operation, cash management.
Vivekanand Subarraman: Thank you.
Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to Mr. Varatharajan Sivasankaran for closing comments. Over to you, sir.
Varatharajan S.: Thank you, Michelle. I wish to thank all the participants and the management of BPCL for taking time out to join this call and discuss all the issues. Thanks, everyone. Have a nice day. Thank you.
Moderator: Thank you, members of the management. On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2024

"Bharat Petroleum Corporation Limited
Q2 FY '25 Earnings Conference Call"
October 28, 2024

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ANAGEMENT : M R. V.R.K GUPTA – DIRECTOR FINANCE – BHARAT
PETROLEUM CORPORATION LIMITED
MS. SRIVIDYA – EXECUTIVE DIRECTOR , CORPORATE
TREASURY – BHARAT PETROLEUM CORPORATION
LIMITED
MR. RAHUL AGRAWAL – SENIOR MANAGER , PRICING
AND INSURANCE – BHARAT PETROLEUM
CORPORATION LIMITED
MODERATOR : M R. V. SIVASANKARAN – ANTIQUE STOCK BROKING

Moderator: Ladies and gentlemen, good day, and welcome to Q2 FY '25 Earnin gs Conference Call of Bharat Petroleum Corporation Limited hosted by Antique Stockbroking. A s a reminder, all participant lines will be in the listen-only mode and there will be an oppo rtunity for you to ask questions after the presentation concludes. Should you need any assistanc e during the conference call, please signal an operator by pressing star, and zero on your to uchtone phone.
Please note that this conference is being recorded. I now hand the conference over to Mr. Varatharajan Sivasankaran from Antique Stockbroking. Please go ahead, sir.
V Sivasankaran: Thank you, Shifa. Good morning, everyone. And I would like to e xtend a very warm welcome to all the participants to this call and the management of BPCL led by Mr. V.R.K. Gupta, Director Finance. I will now re quest Rahul from BPCL to introdu ce the Management and make the disclosures before we start our initial remarks. Rahul, ple ase.
Rahul Agrawal: Yes. Thank you, Mr. Varatharajan. Good morning. On behalf of th e BPCL team, we welcome you all to this post Q2 results con-call. Before we begin, I wo uld like to mention that some of the statements that we would be making during this con-call are based on our assessment of the matter, and we believe that these statements are reasonable. Ho wever, their nature involves a number of risks and uncertainties that may lead to different re sults. Since this is a quarterly results review, please restrict your questions to the Q2 result s.
I now request our Director Finance, Mr. V.R.K. Gupta, who is le ading the BPCL team for this call to make his opening remarks. Thank you, and over to you, s ir.
V.R.K Gupta: Good morning, everyone. Wish you all a very happy Diwali in adv ance. Welcome to the post-Q2 results con call. Thank you for joining us today. I hope you were able to go through our results for the quarter. On the macro side, the global economy is expected to maintain an annualized growth of 3.2% through 2024 and 2025. However, geopo litical and trade tensions pose risk to inflation. Indian economy continues to be the worl d's fastest-growing major economy and is likely to grow in the range of 6.5% to 7.2% in F Y '25 as per various forecasts. But geopolitical situation remain s complex and present signific ant challenges to global economic stability. As conflicts evolve, they not only impact o il prices, but also create uncertainty in trade routes and investment climate. Oil prices have remained volatile, driven by the geopolitical risk, uncertain demand from China and macroeco nomic factors like low inventories and easing inflation. These factors are expected to keep prices sensitive to further developments in the near term.
Consumption of petroleum products in India has continued to gro w with an overall growth of 4% during H1. Major products such as petrol, diesel and ATF hav e grown from 7.2%, 0.9% and 10.4%, respectively. BPCL registered market share gain of 0.1% in MS retail and 0.12% in HSD retail among PSUs during first ha lf of current financial year. Retail volume for MS has grown by 6.5%. However, HSD saw a degrowth of 0.64% during H1 year-on -year.

We estimate that retail demand will grow by about 6% for MS and 1.5% for HSD during financial year 2024/'25. HSD demand in urban market is likely t o witness relatively slower demand than rural and highway market due to largely transition to CNG. Performance in Q2

'24/'25, our operation side, our refiners continued their stron g performance and achieved a throughput of 10.28 MMTPA that is almost 114% of the nameplate capacity.
Our distillate yield was 84.33% in this quarter, which is one o f the highest among Indian refineries. This quarter, eviden ced a significant fall in inter national pro

duct cracks as compared
to previous quarters. Gasoline Singapore crack fell to $6.83 ba rrel in Q2 from $8.58 barrel in Q1, and gas oil crack fell to $13.69 barrel in Q2 from $14.76 b arrel in Q1.
Despite this, our refineries is recorded at GRM of $4.41 per ba rrel in the current quarter and $6.12 per barrel for half year, which is a premium to Singapore GRM. Singapore GRM is at 3.58 barrels for the quarter a nd 3.56 barrel for H1.
The PDPP plant at Kochi achieved operating capacity of 80.2% in H1 against a 68.3% in previous year. GRM for petchem was INR421 crores. It's almost e qual to $0.79 per barrel for H1 2025 compared to INR235 crores and $0.46 crores per barrel d uring the previous year.
On the marketing side, our domestic market sales grew at about 1.6% year-on-year during the quarter to 12.39 MMT. We continue to generate the highest throu ghput for retail outlet amongst our peers with a throughput of 151 KL per month versus 137 KL p er month PSU average, driven by access to strategic markets and strong network along highway s.
We commissioned about 540-plus new retail outlets in H1 FY '25 and plan to take our retail outlets record to 23000-plus by year-end. We have added about 9 0 CNG retail outlet during the first half, taking the total count to 2120 stations and plan to add another 300 outlets for FY '25.
We have achieved highest-ever, 14.97 percentage of ethanol blen ding during this quarter. We also provide E20 blended fuels at around 4,400 retail outlets.
During the quarter, BPCL had entered into future fuel segments with commissioning of our first LNG station at one of the company-owned company-operated outlet at BP Avinashi Coimbatore. We will shortly commission another LNG station at Pananchery Ke rala. We have commissioned 16 BeCafé's during first half of '24/'25, taking the total BeCa fé network to 22. At BeCafé, we aspire to provide state-of-the-art cafe experience at value-for -money price range with a world-class product inside our retail outlet.
We are also participating in NHAI's wayside amenities plan. BPC L has commissioned 2 wayside amenities during H1 '24/'25 at Vadodara and in Haryana on Western Peripheral Expressway.
About new projects, BPCL Board has recently approved to enter i nto a JV agreement with Ms. Sembcorp Green Hydroge n India Private Limited in the domain of renewable energy and green hydrogen subject to regulatory approvals. Ms. Sembcorp Green Hy drogen India Private Limited is part of the Sembcorp Group headquartered in Singapore, one o f leading urban solutions provider and renewable player in Asia.
Ground-breaking ceremony for Kochi and Bina CBG plant was condu cted virtually by Honourable Prime Minister on 2nd October 2024. BPCL plans to se t up 26 such CBG plants in

the near future. BPCL Board has approved to enter into JV agree ment with Ms. GPS Renewables Private Limited for setting up of compressed biogas plants acro ss India.
Without further ado, let me guide you through the financial hig hlights.
The revenue from operation stood at INR1,17,952 crores for this quarter. The profit after tax stood the INR2,397 crores. This is after absorbing of LPG losse s of around INR2,104 crores, and the marketing losses around INR1100 crores.
Against an estimated capex of INR16,400 crores for the financia l year '24/'25, we have spent about INR5662 crores during April to September. Our stand-alone n e t w o r t h a s o f 3 0 t h September is INR76,245 crores. W e have distributed around INR4, 447 crores of dividend during this quarter.
The earnings per share for the quarter is INR5.61 per share. As of September '24, we are at fairly low levels of debt. The debt equity at stand-alone gross borrow ings level is 0.28, overall stand-alone gross borrowings is INR21,529 crores as at 30th September . Against these borrowings, we have current investments, includ

ing oil bonds of about INR11 ,719 crores. At group level, the
debt equity is 0.64 with gross borrowings of INR49,187 crores. This concludes my comments,
and we'll be happy to take your questions, now. Thank you.
Moderator: Thank you very much sir. We will now begin the question and ans wer session. The first question is from the line of Probal Sen from ICICI Securities.
Probal Sen: I have three questions. One, in terms of the inventory impact, is it possible to quantify the inventory impact in the refining margin for this quarter?
V.R.K Gupta: We don't calculate what is the impact of the inventory losses o n refining side, even earlier also in the calls, we have clarified, on average inventory is less t han 30 days, our pricing is on an average of monthly average of prices. So generally, there won't be even much impact even if there is an impact, insignifican t impact. That is the reason we don't generally calculate any inventory losses for refining side. However, we have marketing inventory losses. This current quarter, the marketing inventory loss is INR1,113 crores. For 6 months, it is INR706 crores.
Probal Sen: Understood, sir. Sir, with respect to this LPG negative buffer, you mentioned that INR2200-odd crores losses for this quarter, assuming that the prices stay a t similar levels, is it then fair to assume that we should be building this loss every quarter for t he remaining part of the year?
V.R.K Gupta: No. What we are expecting is during the winter period, the Saud i CP will be on a higher side. Even if we assume the Saudi CP gets $620, $630 level per metric ton, we are estimating our absorption of losses will be per month, around INR900 crores, I NR1,000 crores.
Probal Sen: So it will increase to about INR3,000 crores per quarter.
V.R.K Gupta: INR3,000 crores per quarter. But anyhow, we have approached the government of India for providing necessary budgets in the RE exercise. So let us hope.

Probal Sen: Sir, in terms of the increase in debt that has happened, if I l ook at your reported -- I mean, the analyst information from about INR25,000 crores, it's gone to a bout INR31,000 crores. This is purely on account of the capex and losses of LPG will get captu red in the working capital borrowings, I would believe, right?
V.R.K Gupta: Actually, the ma i n w h a t h a p p e n e d i s t h a t w e h a v e d i s t r i b u t e d a r ound INR4,500 crores of dividend in the month of September. That is a major and some so rt of advance that we have paid subsequent to that. That is a major reason and a little bit of changes in the inventories, which have gone up there around INR3,000 crores. So other way, they a re more or less same only.
There is no major -- capex is per the plan, only INR5,600 crore s we spent, and we have internal generic also much more than the capex spending. So whatever inc rease in a little bit borrowing is mainly on account of dividend distribution and a change for a small working capital, inventories have gone up a little bit.
Probal Sen: One last question, if I may. Is the kind of capex plans that we have, do we have any peak debt or peak leverage number in mind over, let's say, FY '26 or '27, what kind of peak debt and peak level you are targeting?
V.R.K Gupta: In the next couple of years, we are not forcing any debt levels will be a significant increase. Maybe in FY '27, '28 onwards, we are foreseeing the borrowings will increase. As at the capex, even in the next 1 or 2 years, we are expecting around INR18000 crores to INR20000 crores capex plan.
So with the estimated internal generation, we are not foreseein g any big jump off the borrowing. But '27, '28 onwards peak capex will happen for both the major projects of Bina and Kochi. That point of them our project financing withdrawal will go up and b orrowings will go up.
Moderator: We have the next question

from the line of Sabri Hazarika from Emkay Global.
Sabri Hazarika: So firstly, on your GRMs, you mentioned that inventory is not a significant impact, but there is like a lot of volatility. I mean t he cracks that have said they have fallen but not that much say sequentially, but your GRM was down from, sir, almost like $8 t o $4.4. So it's like still inventory only or there are some other adjustment also, because your GRMs have been much higher than your peers for the previous few quarters. So anything specific on this?
V.R.K Gupta: A couple of things. One is our Russian product throughput perce ntage has come down slightly. Earlier quarters, it is almost 39% to 40%. This quarter due to some shutdowns of our Bina units and Kochi, so our Russian throughput has come down from 39% lev el to around 34%. That is one reason, small impact.
Inventory impact will be there. I'm not saying inventory will n ot be there, but it is not a very significant jump. But the fact is that the cracks have come dow n during this quarter, even on a sequential basis, significant direction for gasoline. Gas oil a round $1.5 has come down, but gasoline have come down drastically.
Sabri Hazarika: And this Russian discount levels have also compressed or it has remained same only?

V.R.K Gupta: No, more or less, same only. No major change around same level in first quarter and second quarter, there is no major change. Only volumes may be differen t
Sabri Hazarika: $2 to $3 that's the number or...
V.R.K Gupta: Some cargoes, some cargoes, you w ill get 3, 3+, some cargos may be 3 that range only.
Sabri Hazarika: Secondly, I mean, given the petr ol/diesel ma rketing margins now a n d L P G l o s s e s i n o n t h e contrary, going up. So your working capital right now will rema in more or less stable? Or do you see this going up, I mean short-term debt and working capit al?
V.R.K Gupta: Working capital, we are not foreseeing any major changes, maybe i n v e n t o r y f o r 1 o r d a y s additional inventory if we keep it because the prices are lower side. Slightly the working capital may go up, otherwise, working capital, we are not foreseeing an y significant jump of the working capital. Once we get the LPG subsidy from the government of Ind ia, then it helps a lot in the working capital.
Sabri Hazarika: Right. And one small question, you mentioned capex was around I NR5,600 crores, right, H1?
V.R.K Gupta: Right. Right. Right.
Sabri Hazarika: And full year, you are still like maintaining INR16,000 crores, INR17,000 crores or?
V.R.K Gupta: Our plan is INR16,000 crores. Maybe somewhere around we will en d up around INR15,000 crores to INR16,000 crores range.
Sabri Hazarika: INR15,000 crores to INR16,000 crores, that's your overall run r ate. Okay. Fair enough.
Moderator: We have the next que stion from the line of Amit Murarka from Ax is Capital.
Amit Murarka: Sir, my first question is on capex. So I think you mentioned IN R15,000 crores to INR16,000 crores this year. Next year, we will go up to INR20,000 crores. And then after that, could you just simply give a broad range of how capex will escalate '27, '28?
V.R.K Gupta: So we are expecting this year, we will be around INRcrores 15,0 00, INR16,000 crores. Next year, we have a plan of around INR18,000 crores. Subsequently, we are expecting INR20,000 crores to INR22,000 crores end o f '28. '29, we are not worked o ut exactly maybe somewhere in the range around INR25,000 crores. Exactly, we have not worked well, but we are expecting it that way, in '28 -- '29.
Amit Murarka: Okay. But you would still fall short of your 5 year plan, right it is INR1.5 lakh-odd crores.
V.R.K Gupta: No, our plan is INR1.5 lakh crores, but we have to see how much CGD, how much we are going to spend, what is the minimum required for our minimum work pro gram. Maybe there, we may not have 10

0% capex investments with it. There may be a shortfa ll in CGD networks. Otherwise, major projects you are going to spend, except the CGD. CGD we h ave approved around INR48,000 crores of capex, but the actual capex may not be to t hat extent, maybe around 80% or 90% will be there.

Amit Murarka: Also, a question on marketing margin, like where LPG losses is understandable. But even otherwise, if you calculate the marketing margin, at least it s eems to have dropped like order fuel margins are very strong in Q2. So it seems margins on othe r products have actually dropped in the quarter. So could you just help understand that a bit be tter?
V.R.K Gupta: No, margin loss mainly on account of only the inventory losses of around INR1,100 crores during this quarter. Otherwise, there is no inventory losses, w e are not seeing any reduction in the marketing margins. Only the volumes of diesel is not grown this quarter, otherwise, margins are stable, better only.
Amit Murarka: Sir, last question from me. So I mean, you've generally seen th e product cracks have been quite weak in the last few months and LNG has gone up to $13 plus. So even though you have bottom upgradation at some of the refineries now. Is it making more se nse to you refinery fuel rather than LNG now at these kind of prices and lower cracks?
V.R.K Gupta: Actually, every month, we compare whether LNG or alternative to naphtha, which is a better hedge. Every month, this thing happens, naphtha to LNG, but fue l oil, generally, we have because we need to have a larger emission. So we prefer either naphtha or RLNG as alternatives.
Amit Murarka: Yes, sir. I understand that, but currently, is it making more s ense to use alternate fuels than take LNG?
V.R.K Gupta: We can use a little bit. We can use but at the same time, we ha ve a long-term agreement for the our RLNG offering, but also we have to take that RLNG offtakes. So in case of very good market for our RLNG, slightly some consignment we shift to the market and we use in naphtha. But our long-term commitments, we have our RLNG that will continue.
Moderator: The next question is from the line of S. Ramesh from Nirmal Ban g Equities.
S. Ramesh: The first thought is in terms of the potential growth for, say, FY '26, '27, do you have any

visibility on the capitalization of the CGD asset? How much wou ld that be? What is the kind of
upside you can expect on volumes and EBITDA per SCM and broadly in terms of profitability?
V.R.K Gupta: Let me explain about the capex first. CGD from this year onward s, we are targeting around INR3,000 crores, INR3,500 crores capex target for CGD business that includes for our CNG stations, our last mile connecti vity for PNG connections and th eir network for the CGD. In terms of the volumes, this year, we are expecting around 120 TMT volu me from the CGD sales retail. Maybe this growth will continue, maybe. We are expecting 15% to 16% CAGR will continue for the CGD side because the net working we are expanding every year, we are creating 300-plus of CNG outlets, we are adding to our network. And these volumes will go around 15% to 16% of growth subsequent year.
S. Ramesh: Sir, in terms of the number of CNG stations in your stand-alone GAs, can you give us a number? And how do you see that grow in the next 2 years?

V.R.K Gupta: So we are expecting this year CNG stations, 150 CNG stations, w e are expecting this year. Next year, 165 per plan. '26, '27 182 we are going to add. And '27, '28 around 200, maybe around 800 CNG stations in the next 2, 3 years, we are going to add.
S. Ramesh: And how many do you have now as on date, which are in commercia l operation?
V.R.K Gupta: 600 plus we have in our own GAs.
S. Ramesh: Sir, second part is if you look at the refining business, what is your

reading in terms of any
potential growth levers like cap acity reduction or improvement in petrol and diesel demand globally in India? So where do you see the outlook for spreads? I understand it's volatile, but in terms of the fundamentals of demand, supply, is there any visib ility on supply reduction through capacity rationaliz ation? What is your take on that?
V.R.K Gupta: Supplies side what we are at least estimating is this whatever steps have been moderated in the last couple of quarters, this w ill continue for another couple of quarters because instead of supply side, actually we are expecting from the demand side. Once the China demand picks up, then demand/supply gap will be corrected in terms of gasoline and ga s oil both. We are expecting at least half of the winter will be next year, beginning of the qu arter, the -- that will improve.
S. Ramesh: So one last on petrochemical, how do you see the outlook for Ko chi petrochemicals? And how do you see the outlook for your Bina cracker because right now, margins are at multiyear trough? So there's an expectation that may not improve till CY '27 or ' 28 according to global consultants. So would that have any impact in the terms of timing of your Bi na petrochemical project? What is your read ing on that?
V.R.K Gupta: No. A couple of things, on PDPP, if you see our operating capac ity has gone up 80.2%, which is almost much better than the w orld average plants for such ty pes of petrochemicals. This, at least on the operating reliability side, we have achieved 80.2% in PDPP. On the profitability side, it is a international price dependent. So due to the Chin ese demand, the prices are moderated, but still, we have made a good amount of 0.79 of GRM barrel for PDPP.
In terms of Bina, anyhow, the commissioning will happen in FY ' 28, '29. So by the time the additional supplies or whatever price correction it is going to continue, but by the time, it will correct it. Long-term averages, if you see, it is a good spread for petrochemicals for Bina also. But anyhow that we commissioned the first consignment will come only in FY '28, '29. By the time, the price should correct.
Moderator: The next question is from the line of Kirtan Mehta from BOB Cap ital Markets.
Kirtan Mehta: I had a question on the auto fuel margin. They are at currently at quite high level as oil price hike corrected. Would we be passing this to the consumers in th e near future? Or is it sort of being held at the current level because of the lower refining m argin to keep the overall margin in a healthy bucket?
V.R.K Gupta: On the pricing side, actually, we cannot comment exactly at thi s point of time, at what point of time we can pass on the benefit. Still, we have to wait and see how the crude prices will stabilize

because any small geopolitical tensions are up are the prices w ill creep up again. So we have to wait and see for a longer period o f time. Once the crude price stability comes, then we can look at it on the pricing side.
Kirtan Mehta: So is it primarily linked to the crude price stability? Or is i t also linked to the lower refining margin as well?
V.R.K Gupta: No, both. Even spreads also, we have to look at it now, crudes price as well as spreads also.

Kirtan Mehta: Sure. And what would be sort of the longer-term comfortable aut o fuel margin that we can look at? Is it 3.5 per liter, 4.5 per liter which allows us to sort of make a sustainable margin in the session?
V.R.K Gupta: If I feel, around INR3.5...
Moderator: Ladies and gentlemen, the line from the management has been dis connected. Just give me a moment while I reconnect them. Please stay connected while we r econnect the management.
Ladies and gentlemen we have the management online.
V.R.K Gupta: Can you repeat the question? My line got disconnected.
Kirtan Mehta: Yes. Last, basically, I think I was

asking what we considered a s a sort of a sustainable good fuel within auto fuel margin? Would it be in the range of INR3 to IN R3.5 per liter, or would we require higher?
V.R.K Gupta: We are expecting around INR3.5 per litre. Marketing margins, it is sufficient for our capex needs whatever capex you have announced to the internal generation re quirement, INR3.500 per KL margins are required.
Kirtan Mehta: Right, sir. In terms of the new refinery plant, there has been several media articles in terms of finalizing the location and other stuff, would you be able to s hare more details or contours around this. At what stage of the collection we are in?
V.R.K Gupta: Still it is work-in-progress only because if you see we are sho rt in refining. And we want to enter in petrochemicals. We are continuously exploring opportunities wherever opportunities are available, we want to put to bridge the shortfall whatever refi ning side and a little bit investments more on the petrochemicals, but still work-in-progress. Once we conclude on that proposal, then we can explain the details.
Kirtan Mehta: And would it be 100% equity owned by us, or would we be also lo oking at some of the strategic partnerships as well on the refinery?
V.R.K Gupta: All options, we ar e looking at it.
Kirtan Mehta: Last question was on the CGD side, you mentioned that we will b e doing less than the -- our planned allocation of INR48,000 crores. So what results into th e change in the plan?

V.R.K Gupta: No, this is required for the minimum work program over a period of 8 years. Now, the only thing of when to invest is the question whether immediately in the ne xt 2, 3 years, we will have to invest or a little bit gap we have to take and subsequently aft er seeing the volume we have to invest that either we want to ta ke a call, anyhow the volumes h ave started picking up, a number of CNG stations are going up. Mainly in terms of the PNG connec tions, there actually, we have to wait and see how the capex requirement is there.
Kirtan Mehta: Right, sir. And with the recent deallocation of the gas for the CNG, the purchase price, and in that sense, the margin would have gone down for the CNG centers . So does that sort of alter the thinking? Or we think that the margin w ill still remain reasona ble?
V.R.K Gupta: No. If you see long-term finally, it's a deregulated product. E ven the margins are shrinking for a short period of time, some point of time, the pricing will corr ect and the prices will revise. So long term, if we see whatever cost of the product, we will pass on to the market, its a completely deregulated market. So short-term, there may be squeezing of ma rgins, but we are not foreseeing any such situation for a longer period of time.
Moderator: The next question is from the line of Sumeet Rohra from Smartsu n.
Sumeet Rohra: So sir, firstly, I mean, I would like to touch upon a couple of things from a clarity point of view. So I mean about INR2,400 crores of PAT, we have an LPG loss -- had some refining loss, which is not quantified by management. So sir, if I understand, -- of course numbers would be about INR5,000 crores of profitability. Am I correct on that?
V.R.K Gupta: Not clear your question, because in the middle you got actually disconnected. But overall, let me clarify. Our profit after tax after observing LPG loss is IN R2,397 crores. During this quarter, our LPG under recovery, we have around INR2,100 crores.
Sumeet Rohra: And you absorbed LPG loss of INR2,100 crores. Am I right?
V.R.K Gupta: INR2,100 crores, right, right. And the marketing inventory loss of around INR1,100 crores.
Moderator: I'm sorry, sir. The line from Mr. Sumeet has been disconnected. We will proceed with the next question. The next question is from the line of Mayank Maheshwa ri from Morgan Stanley.
Mayank Maheshwari: Two questions from m

y end. One, in terms of the Bina petrochemi cal expansion, can you just give us an idea of where we are in terms of FID, in terms of th e equipment ordering, etcetera, as well? And the second question was more in terms of the marketin g side. I think on the diesel front, I suppose, in the second quarter, specifically, we have seen your competition actually grow market share, you have been largely flat.

So anything that you're doing on that? And to your earlier comm ent in terms of, on the CNG side, you are seeing slower growth in, I think the metros and t he Tier 1 cities versus rural? Can you just talk to us about what's going on those?
V.R.K Gupta: First question about the Bina Pe trochemical project. Actually, the works are progressing well. The cumulative progress is 6.3% in physical terms, vis-a-vis sc hedule of 7.6%. And all licenses

for Bina petchem and refined expansion, units are onboarded, li ke ethylene cracker unit, HDPE, LDPE swing units, PP unit, all units, the licenses selection ar e completed and awarded. And the BDEP, the basic design and engineering package received for PP. And butanol unit in work-on-process packages of ECU, HDPE, LLDPE are in progress.
All EPCMs and PMCs for BPREP have been onboarded, all PMC consu ltants have been onboarded. All contractor for sit e enabling works have been onb oarded and site-enabling work such as construction for boundary wall, side grading, including rock blasting activities are already started in the month of July and progressing well in te rms of the Bina.
And second, in terms of diesel, if you see still, we are gettin g a good market share growth compared within the PSU framework, but overall, including PSU a nd private, we are losing a little bit of volumes in terms of diesel. But we are foreseeing at least for the next couple of months, we are fighting in the market, definitely we'll go back and get the volumes.
Mayank Mistry: Anything on CNG side?
V.R.K Gupta: CNG, we are expanding our retail network. CNG retail network de liver we said in the next couple of years, by '27, '28, we are expecting around 700 new s tations, CNG stations, we are going to add in our own GA network, currently around 600. With this, the volume growth we are projecting every year, 15% to 16% of every year, CAGR will be here for CGD business.
Moderator: We have the next question from Sumeet Rohra from Smartsun.
Sumeet Rohra: Sorry about that, I got disconnected. So coming back to my poin t. So you said that you reported a INR2,400 crores profit – or marketing loss. So effectively, o ur core number is about INR5,000 crores. Am I right, sir?
V.R.K Gupta: You can take that assumption because if you add that, the 2 num bers to the PBT and the profits will come around that level. Around INR4,700 crores something.
Sumeet Rohra: Sir, now my second point is that on the LPG point of view, now since it is a regulated product and controlled by the government, and it's mentioning the buffe r account. So sir, what is the -- I mean the communication of the di alogue you're having with the g overnment? Because clearly, one thing that is evident that today all marketing companies, B PCL being the the pioneer, is not being valued the way its true potential is? I mean, come to thi nk of it, right?
I mean if you could in use, our fuel outlets on a daily basis, but the way this company has been valued is stark contrast to what its potential is. So clarity o n the LPG point of view with the government would not only -- visibility. And overall, it would lead to value creation for all stakeholders, right? So if you can pursue this with the governm ent, then get them to figure it out that ultimately, clarity on this is basically the withholding s tep on building value because we are a consumer company, sir.
Today, which consumer company in India makes INR5,000 crores of profit on a quart

erly basis?
And in spite of that, you see the market cap where it is. So if you can pursue this matter very strongly, it would be very, very beneficial for all stakeholder s, with the government of India

being the primary owner of this company. So that's something, s ir, if you can look after, it would be best for all stakeholders.
Secondly, sir, there was a recent development on some news, bas ically, which the wires was sticking out Saudi Aramco and BPCL. Sir, today, I mean, it's a matter of prestige and honour for us to partner with such a big giant. So sir, these things shoul d be outwardly spoken about, right? Because even today, DIPAM also clearly says that all PSUs shoul d build market cap and value. And clearly, sir, such news has not been spoken about.
It's absolutely eye-popping that if you buy up with a company l ike Saudi Aramco, it is a matter of honour and prestige. So if you can please share some insight and more into this of what we are planning to do exactly, etcet era, etcetera, it will benefit everybody. And sir, lastly, I wanted to understand is that, what are the steps we are taking for bui lding shareholder value because, I get to understand that when DIPAM was also on road for the PSUs , they always say that weightage is given to market cap creation.

And today, what are the steps th at we are taking for building m arket cap, sir?
V.R.K Gupta: Yes, a couple of things. One is about the project. We continuou sly look for opportunities, and the discussions are at very nascent stage. Once you firm up cer tain plans, definitive will come and brief, that is on the new project side. And the second on t he market capital improvement, what we as a company, what we are doing to right investments so that to get better capital employed return capital employed.
And we have started communicating with all investors, regularly , we are interacting with investors, and we are briefing what is your plans, what are the future plans, how the company strategic aspirations. So those things, we are continuously sta rted explaining to the major investors not only in India when we are going outside also in I ndia, Singapore or Hong Kong. Major investors, we are meeting and we are expanding what is ou r strategic aspirations for the company. And what is the industry, how it is going to be evolve d in the next couple of maybe 5 years, 10 years period? And wha t are our net zero ambitions? Ma ny things, whatever initiatives we are taking, we are placing to the entire investor community. Now, it is up to the investors how much they can allocate for investments of BPCL.
Moderator: Sir, I think the line from Mr. Sumeet has been disconnected onc e again. We will proceed with the next question from the line o f S. Ramesh: from Nirmal Bang Equities.
S. Ramesh: Yes. So if you're looking at your capitalization schedule in te rms of your capex, how much should we assume you w ill capitalize in your gross block this y ear and over the next 2 years to assess the impact on depreciation? And to what extent will you be able to generate the return on capital employed over the next 2 years?
V.R.K Gupta: No. capex -- current year, our i nternal target is around INR16, 000 crores, but we will be ending up around INR15,000 crores to INR16,000 crores range. We will e nd up the capex plan. And the depreciation, what our current quarter depreciation is ther e, maybe slightly another INR100

crores, it will add up the major capex depreciation is now only once the Bina project commissioning, that is '28, '29. After the project, the signifi cant depreciation will jump. Otherwise, all small projects, whatever capitalization is happe ning, or there will be around INR100 crores per quarter depreciation incremental will continu e. And

next year, we are
expecting around INR18,000 crores of capex plan. This is a cape x plan for this year and next year.
S. Ramesh: No, no. How would the capitalization CGD in the stand-alone ent ity, Wouldn't that add to your gross book?
V.R.K Gupta: Around INR3,000 crores, we are investing every year. This year also, our target is around INR3,000 crores. Out of INR3,000 crores, maybe 75%, 80% capital ization will happen and that 20% work in progress will continue. Next year, also similar lev els, we are expecting around INR3,000 crores to INR3,500 crores for CGD.
S. Ramesh: So on this capitalization in CGD, when do you think you'll be a ble to get normalized return of maybe 10%, 12%, 15%.
V.R.K Gupta: Already returns are started from CGD side. Only PNG side, the v olumes are not picking up, but otherwise, CNG stations CNG returns are coming, the volumes alr eady this year, we are expecting around 120 TMT. Next year, also, it will have a good growth of 15% we are expecting. On the PNG side, the volumes are not picking up.
Moderator: The next question is from the line of Yogesh Patil from Dolat C apital.
Yogesh Patil: Sir, question is related to Mozambique asset. What is the updat e of the project status of Mozambique LNG project? That's one. Secondly, how much amount w e have invested till date in this project? And as a part, lastly, as you have mentioned t he capex plan for the next 2 to 3 years, Mozambique commitments are included in it or not?
V.R.K Gupta: So, Mozambique, whatever informat ion we got from the main opera tor, the ground level work has started, but officially they have not lifted the Force Maje ure. We are expecting maybe in the month of January or February officially they may announce Force Majeure. But otherwise, the – contractors have started coming back to the field and the sec urity situation has improved a lot compared to previous months. And we are expecting hopefully by January, February, they may uplift the Force Majeure and the project can progress further.
And second, in terms of the investments in Mozambique, as on 30 th September, we have invested around $2.15 billion, that is almost INR18,000 crores in our books. And we are expecting another INR20,000 cror es investment in the next 5 yea rs for the project.
Yogesh Patil: Is that already considered into the next upcoming capex plans o f next two to three? That is a part.
V.R.K Gupta: That is the part. Whatever we have 1.5 lakh crore our capex pla n. It includes for Mozambique as well as Brazil also.

Yogesh Patil: And if there is a further delay in the Mozambique investment or projects, then our capex can come down by that amount.
V.R.K Gupta: It can defer. Capex can defer. In cases, there in any delay, ca pex can defer. But otherwise, based on the current plans, the Force Majeure can -- lifting of Force Majeure can happen January, February, then project wil l be – as per schedule.
Yogesh Patil: Sir, lastly, sir, considering the current cracks on the middle distillate, mostly on the petrol and diesel, can we assume that GRMs will rebound more than $6 per b arrel in Q3, Q4 or more than that? Any indication you have?
V.R.K Gupta: Yes. It depends how the spreads will move because otherwise, wh atever current demand/supply for the products, we are not expecting any big jump of spread i ncrease in the next couple of quarters. Only in case if there is any slight improvement in Ch inese demand side, then definitely the cracks will improve from the current levels. But otherwise, we are expecting similar levels of cracks only for the next couple of quarters. Maybe after the winter slight improvement will be there. But otherwise, moderated – refinery especially modera te now.
Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Varatharajan sir for closing comments.

Please go ahead.
V Sivasankaran: Thanks Shifa. I had a couple of questions or points. One is about this market share variation we have seen this time around, we have had a market share gain. Is the source of the market share gain entirely the retail network expansion or is there any othe r reason why we have had an improvement in the share?
V.R.K Gupta: Mainly retail network expansion, only mainly because if you see the market share growth, it's representing from all the markets. It is not the only one speci fic market that is represented more or less majority of markets, it represented small growth, mainl y for network expansion and actually, we are adding continuously every year, 600, 700 outle ts we'll definitely add.
V Sivasankaran: And on the CGD front, are we in a position now to give on a qua rter-to-quarter basis earnings and EBITDA profitability separately? Or do you think it is stil l too early?
V.R.K Gupta: But profitability, we are not dis closing anything. Still it is a very small amount compared to the overall profitability of the company. So once we reach the scal e from the CGD volume because today the CGD volumes are only 120 TMT. Again, it's almost -- o ur sale is almost 10 MMT. Very small insignificant at this point of time.
V Sivasankaran: When you spoke about the number of outlets, you said 500-odd, 6 00-odd outlets. Does that includes the outlets which we ha ve given to the CGDs to operate as well as...
V.R.K Gupta: In our own GAs, these are our own GA.
V Sivasankaran: These are all own GA, okay. That is a pretty large number on a stand-alone basis, yes. Fair enough. Yes. Sure. Thanks a lot to all the participants for tak ing time out to join the call. I wish you to specifically thank the BPCL management for giving detail ed explanation as to the entire

question and answer as well as briefing and the plans as well. Thanks, everyone, and have a happy Diwali and have a nice day.
V.R.K Gupta: Thank you.
Moderator: On behalf of Antique Stock Broking, this concludes the call. Pl ease, the participant may disconnect your lines. Thank you.

Call: Jan 2025

“Bharat Petroleum Corporation Limited
Q3 FY '25 Earnings Conference Call”
January 23, 2025

MANAGEMENT : M R. V.R.K GUPTA – DIRECTOR FINANCE – BHARAT PETROLEUM CORPORATION LIMITED
MR. PANKAJ KUMAR – EXECUTIVE DIRECTOR , CORPORATE FINANCE – BHARAT PETROLEUM CORPORATION LIMITED
MRS. SRIVIDYA – EXECUTIVE DIRECTOR , CORPORATE TREASURY – BHARAT PETROLEUM CORPORATION LIMITED
MS. CHANDA NEGI – GENERAL MANAGER , PRICING AND INSURANCE – BHARAT PETROLEUM CORPORATION LIMITED
MR. RAHUL AGRAWAL – CHIEF MANAGER , PRICING AND INSURANCE – BHARAT PETROLEUM CORPORATION LIMITED

MODERATOR : M R. VARATHARAJAN – ANTIQUE STOCK BROKING LIMITED

Moderator: Ladies and gentlemen, good day, an d welcome to Bharat Petroleum Corporation Limited Q3 FY '25 Earnings Conference Call, hosted by Antique Stock Brokin g Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the present ation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star , then zero on your touchtone phone.
I now hand the conference over to Mr. Varatharajan from Antique Stock Broking Limited. Thank you, and over to you, sir.
Varatharajan: Thank you, Steve. A very good morning to everyone. I would like to extend a very, very warm welcome to all the participants and the top management of BPCL. W e h a v e w i t h u s M r . V.R.K. Gupta, Director Finance; Mr. Pankaj Kumar, ED, Corporate Finance; Mrs. Srividya, ED, Corporate Treasury; Ms. Chanda Negi, GM, Pricing and Insura n c e ; a n d M r . R a h u l Agrawal, Chief Manager, Pricing and Insurance.
I'll now hand over the call to Mr. R a h u l A g r a w a l f o r t h e i n i t i a l disclosure and then for the initial remarks. Rahul?
Rahul Agrawal: Thank you, sir. Good morning. On behalf of BPCL team, I welcome you all to this post Q3 results con call. Before we begin, I would like to mention that some of the statements that we would be making during this con-call are based on our assessmen t of the matter, and we believe that these statements are reasonable. However, their na ture involves a number of risks and uncertainties that may lead to different results. Since thi s i s a q u a r t e r l y r e s u l t s r e v i e w , please restrict your que stions to Q3 results.
I now request our Director of Fin ance, Mr. V.R.K Gupta, who is leading the BPCL team for this call, to make his opening r emarks. Thank you, and over to you, sir.
V.R.K. Gupta: Good morning, everyone. Wish you all a very Happy New Year. Wel come to the post quarter 3 results con-call. Thank you for joining us today. I hope you were able to go through our results for the quarter.
On the macro side, global economic growth is projected to stabi lize at modest levels over the coming years. The World Bank forecast flat growth of 2.7% for ' 2 4 t o ' 2 6 , w h i l e t h e I M F projects slightly higher growth o f 3.3% for the same period. In dia remains the fastest-growing major economy among emerging markets and developing economies. The World Bank has retained its growth forecast for India at 6.7% for FY '25-'26, reaffirming its steady growth trajectory over the next 2 years.
The Indian rupee hit an all-time low of INR86.71 against the US dollar in January, raising

concern about the inflationary pressures within the economy due to significant reliance on imports. It remains to be seen whether the RBI will opt for int erest rate cuts to boost economic growth while addressing the chal lenges of inflation and currenc y depreciation.

In terms of crude, the market is expected to remain adequately supplied this year. Global oil demand is projected to rise by about 1.2 million to 1.3 million barrels per day, underpinned by the expectations of the rate cuts in US and Europe and more sti mulus from China. Oil supply, on the other hand, is expected to increase by 2 million to 2.1 million barrels per day. The anticipated supply is e xpected to keep the prices in check in 2 025.
US Energy Information Administration projected Brent crude pric e to average $74 per barrel in 2025. However, in the short te rm, the market is impacted by the recent US sanctions and the Russian oil supply chain. The imp act of US sanctions on Russian entities and the global supply chain remains to be assessed. D emand for petroleum products in India has co

ntinued to grow
with an overall growth of 6.4% during Q3. Major products such a s petrol, diesel and ATF have grown by 9.6%, 4.8% and 8.9%, respectively.
Performance in Q3 '24-'25. On operations side, our refineries achieved a throughput of 9.5 4 million metric tons per annum during the quarter, which is 107% of the nameplate capacity, in spite of shutdown at Kochi refinery and Mumbai refinery during the quarter. Our distillate y i e l d w a s 8 4 . 8 6 % i n t h i s quarter, which is one of the highe st among Indian refineries.
The product cracks for gasoline in Singapore fell slightly to 6 .44 barrels in Q3 from 6.83 barrels in Q2, whereas the cracks for gasoil, Singapore have im proved to $15.05 per barrel in Q3 from $13.69 per barrel in Q2. Accordingly, our refineries re corded a GRM of $5.6 per barrel during this quarter.
On the marketing side, our domestic market share grew at about 4% year-on-year during the quarter to 13.43 million metric tons. We continue to generate t he highest throughput per retail outlet among our peers with a throughput of 154 KL per month ve rsus 140 KL per month on PSU average, driven by access to s trategic markets and strong n etwork along highways.
We commissioned 1,082 new retail outlets in the 9 months period FY '25, taking our total network strength to 22,921 retail outlets. To increase penetrat ion of CNG in the overall energy basket, BPCL is aggressively e xpanding its CNG fuelling infrast ructure with mechanical completion of 183 CNG stations during April to December '24-'25 taking total CNG network to 2213.
We have achieved highest ever 15.56 ethanol blending during thi s quarter. We have commissioned 2 LNG stations at our company-owned and company-co ntrolled retail outlets during the quarter and identified another 10 locations on strat egic highways for installing LNG facilities.
We are expanding our foray into non-fuel services at our ROs th rough our in-house state-of-the-art cafe brand, BeCafé, where customers can experience gove rnment coffee and snacks and as the propensity of EV charging gathers momentum. BeCafé would offer customers an upgraded convenience during thei r wait time. We have commission ed 44 BeCafés during 9 months '24-'25, taking tota l BeCafé network to 50.

Updates on new projects:
The ethylene cracker project at Bina is a crucial initiative fo r BPCL, driven by the growing demand for petrochemicals. The p roject is progressing as schedu led with technology licenses on board for all critical packag es, detailed engineering comple ted for a few units and others nearing completion.
A significant milestone has been achieved in this project with the successful completion of financial closure. BPCL secure d a loan facility of INR 31,800 c rores from a consortium of 6 banks, one of the largest singl e loan arrangement with a corpor ate entity in India. The agreement was finalized on January 16, 2025. The Board has appr oved INR 6,100 crores towards pre-project activities, including land identification, feasibility studies and environmental assessment for green field refinery-cum-petrochemi cal complex in Andhra Pradesh.
During the previous quarter, BPCL Board has approved to enter i nto JV agreement with Messrs Sembcorp Green Hydrogen India Private Limited in the dom ain of renewable energy and green hydrogen and joint venture with GPS Renewables Privat e Limited for setting up of

compressed biogas plants across India. We have received the nec essary government approvals for forming these joint ventures during this quarter.
Board has also approved formation of JV with Praj Industries fo r setting up of CBG plant. The company aims to set up 26 CBG plants across India in the near f uture. BPCL has taken major strides in the renewable energy by emerging as the lowest bidde r in NTPC tender for 1,200-megawatt solar PV project to

develop, generate and supply of 15 0 megawatts to NTPC. This project with a capit al investment of around INR750 crores will produce 400 million units of green energy. Further, BPCL also secured 30 megawatt in NHPC so lar PV project, tender concluded on January 21st.
Without further ado, let me guide you through the financial hig hlights for the quarter. The revenue from operations stood at INR1,27,521 crores. The profit after tax stood at INR4,649 crores. Against an estimated capex of INR16,400 crores for the financial year, we have spent about INR11,899 crores during April to December. Our stand-alon e net worth as on 31st December is INR80,305 crores. The earnings per share for this q uarter is INR10.88 per share.
As of December '24, we are at a fairly very low level of debt. The debt equity stand-alone gross borrowings level is 0.24. Overall, stand-alone gross borr owing is at INR 19,600 crores as on 31st December '24. And against these borrowings, we have cur rent investments, including oil bonds, about INR 16,098 crores.
At group level, the debt equity is 0.58 with gross borrowings o f INR46,500 crores. In order to reward our shareholders for the ir continued support, the compan y has declared an interim dividend of INR 5 per share.
This concludes my comments, and we'll be happy to take your que stions now. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Probal Sen from ICICI Securities.
Probal Sen: I have 3 questions. One, with respect to the Russian crude as p art of our sourcing portfolio with all that is going on in terms of the sanctions, what is th e mitigation strategy we have in place in terms of securing supplies in case Russian crude is di srupted? How much was it as a percentage of our sourcing in 9 months FY '25? And if I'm assum ing that the discount on crude will no longer be there, what is the kind of impact on crude co st effectively? That's my first question.
V.R.K. Gupta: Yes. If you see historically, we are in a position to process a round 34% to 35% of crude, which is coming from Russia. In fact, Q3 itself, the percentage of Ru ssian crude processing has come down to 31%. And after the recen t US sanctions, the supplies ar e coming down. We have finalized the Russian cargoes for the month of January and Febr uary. But in the month of March, we are yet to conclude on the Russian supplies. We are n ot getting sufficient cargoes for the month of March at this point of time.
As a risk mitigation policy, crude availability is not an issue . Only the commercial benefits, Russian crude generally, they used to offer around $3. So that commercial benefit may not be available in case Russian cargoes are not coming to India. We a re foreseeing at least a 20% cut of Russian cargoes for the month of March where these cargoes w e can source from Middle East or WTI in case of low sulphur requirement, we can take it from WTI or any other grade, we can take it from Middl e East on spot basis.
Probal Sen: Understood, sir. So is it fair to say that at 30% with the bene fit of $3, that's around a $0.90 impact on the overall crude cost on a blended basis that we hav e to sort of live with in the absence of Russian crude.
V.R.K. Gupta: Yes, in case if we are not getting any Russian cargo, but still we get some cargoes. There may be a reduction of Russian cargoes. It is not as zero -- we will reach to zero level. We have to wait and see. It take s a little bit time to rebalance the suppl y side.
Probal Sen: Right. Sir, secondly, on the capex project, you mentioned the B ina Petrochemical and the greenfield refinery in Andhra Pr adesh. I just wanted a little b it more granularity in terms of the petrochemical slate of Bina. What is the timeline we are lookin g at? What is the investment done till date? And what

is the overall investment for Bina, if I can get some sense?
V.R.K. Gupta: For Bina, we have approved INR 49,000 crores at gross level of total capex investment. This is an integrated brownfield refinery, refinery capacity expansion of 3 million metric tons with around 3 million metric ton of pet rochemicals. The project sche dule will be May '28 is our project schedule, completion schedule. As of date, as per the s chedule around 7.5% of milestones we have achieved.
In terms of the financial closur e, already INR 1,000 crores we have spent during this year. And

most of the licenses we have finalized and most of the units al ready the BDEP and basic
design engineering packages have been completed. Some units are pending. So work is going

on with speed, and we are expecting May '28, the project commis sioning schedule, we will be
in a position to achieve.
Probal Sen: Sir, in terms of phasing, the bul k of the capex w ill happen may be starting FY '26 or '27?
V.R.K. Gupta: It will happen in FY '26-'27.
Probal Sen: So FY '27 is when we will see the bulk of the cases...
V.R.K. Gupta: Right, right.
Probal Sen: And sir, in terms of the yield from the additional refining cap acity, you said 3 million ton of
capacity in refining and 3 million ton of petrochemical capacit y. Is that correct?
V.R.K. Gupta: No, no. Out of 3 million ton of refining capacity, the intermed iaries will go to petrochemicals.
Overall, the net refining capacity will be added by 3 million m etric ton. From the current 7.8
million metric ton, it will reach 11 million metric ton of refi ning capacity. But most of the
intermediaries will go for petrochemicals.
Probal Sen: So 7.8 million metric ton to the complex capacity will be 11 mi llion metric ton out of which
around 3 million metric ton would be essentially petrochemical output, Is that the
understanding?
V.R.K. Gupta: No, it's not like that. Out of 11 million metric ton, only, I t hink 1.8 million metric ton or 2
million metric ton will go as an intermediary. That intermediar y will do 3 MMT of
petrochemicals.
Probal Sen: Okay. One last question, sir, a housekeeping one. This quarter saw a sudden jump in terms of
the staff cost. Can we just get a sense of what happened in ter ms of because the quarterly run
rate was INR7 billion, INR7.5 billion? This quarter, we've seen INR1,200 crores plus in staff
costs.
V.R.K. Gupta: This is only one-time. Actually, there are certain dues perform ance-related paid to the
employees, which were pending since the last 2 years, this part icular quarter, it has been
settled. That was the only reason this sudden hike. It is not a repetitive in nature. For the year
'22-'23 and the earlier years, there were some dues which is pe nding to be distributed. This
quarter, we have dis tributed that.
Probal Sen: And how much was that, sir, was it about INR400 crores, INR500 crores, entire difference?
V.R.K. Gupta: INR370 crores.
Probal Sen: Around INR370 crores.
Moderator: The next question is from the li ne of Kirtan Mehta from Baroda BNP Paribas Mutual Funds.
Kirtan Mehta: I wanted to understand about the BPRL loan repayment, which is due this year. We have
around INR8,300 crores of repayment due. What's our plan? Are w e planning to roll over this

loan? Or are we planning to pay this? And how are we going to a rrange the funds for the same
in BPRL?
V.R.K. Gupta: BPRL, whatever existing loans, mostly we are refinancing only, rollovers only because we are
not getting any cash generation fro m BPRL venture. So whatever loan repayments, we are
repaying the loans and we are r efinancing. Mostly all our refin ancing is better terms, we are
refinancing maybe 10, 15 bps we are getting benefit only, at th e time of refinancing. But our
plan is rollover only because we don't have any suff

icient cash flow generation at BPRL
venture. Whatever loans, the l oans have to be rolled over.
Kirtan Mehta: Sure. And in terms of the Mozambique assets, would you also sor t of run us through the time
outlook in terms of the restart?
V.R.K. Gupta: Mozambique, we are still waiting for the official announcement of lifting of the force majeure.
But we are getting indications any time they may look at it and if the force majeure, then
accordingly, the work will start. But expected completion of th is particular project will be '28-
'29. The first gas we can see from Mozambique fields will be in FY '28-'29.
Moderator: The next question is from the li ne of Vivekanand from Ambit Cap ital.
Vivekanand: Recently, we saw that you won a tender to supply RE power to NT PC. Just trying to
understand what is the business model that you are envisaging i n renewable energy? Initially,
we thought that it was decarbonization of your own operations, but now it seems that you are
pursuing projects where you will supply externally as well. Als o, could you help us understand
whether you will reach the 2 gigaw att target for renewable capa city setup by FY '26?

Currently, you would be muc h less than that, right?
V.R.K. Gupta: Yes. Our renewable aspirations are mainly through 3 areas of bu siness we want to do. One is how do we make it net zero for our own internal operations, int ernal consumption. Second is we want to create a separate business revenue stream by caterin g the services to the utilities. And the third one is to create the renewable assets for our own green hydrogen requirements as well as to supply or cater to the market requirement for the gr een hydrogen. So all these 3 areas, we want to put capital allocation for renewables.
Particularly this particular tender is for the utility business . Around 150 megawatt, we are the lowest bidder in the NTPC tender. And we have one more option o f going for opting another 150 megawatt under greenshoe option. And another tender recentl y, we have won is 30 megawatt in NHPC tender. So with this already, we are going to create around 300 to 350 megawatts of renewable assets, mainly to cater the utility busi ness.
Vivekanand: Okay. Just to understand the targets that you have outlined, th e long-term targets for renewable capacity, this would include all 3 combined, right?
V.R.K. Gupta: Right, right. We have a very short-term target of 2 gigawatts w e want to achieve either on our own or through our JV companies. For that already, we have anno unced one JV in corporation with Sembcorp India Private Limited. This is a Singapore entity , 50-50 JV, we are going to incorporate. We got all the sta tutory approvals and Ministry an d Government of India

approvals. We want to create thi s renewable asset through this particular JV wherever business opportunities are there. And in a couple of years, we want to r each 2 gigawatts. And by 2030-35, at least we want to create 10 gigawatt of rene wable assets.
Vivekanand: Okay. And would you be able to comment on the capex outlay for F Y ' 2 6 a n d ' 2 7 f o r t h e renewable aspira tions you have?
V.R.K. Gupta: For renewables, overall capex for the next 2 years, we are allo cating INR10,000 crores. If you ask me split maybe '25-26, it w ill be around INR3,000 crores an d '26-'27 another INR3,000 crores. Meanwhile, if we get a ny tenders, then accordingly we c an allocate more capital.
Moderator: The next question is from the line of Yogesh Patil from Dolat C apital.
Yogesh Patil: Sir, our reported GRM of $5.6 per barrel was hardly $0.6 per ba rrel premium to Singapore benchmark. So apart from refinery shutdowns in Mumbai and the K ochi side, is there anything which impacted the B PCL reported GRM?
V.R.K. Gupta: Major impact, if you see, there are a couple of reasons. One is definitely both refineries on a shutdown. The pl

anned shutdown for 30 days for Mumbai refinery and 25 days for Kochi refinery. Kochi is 30 days and Mumbai is for 25 days. And beyon d planned shutdown, our Russian throughput during this qua rter is a little bit on the d ownside, maybe 31% we have processed compared to earlier quarters of 34%, 35%. And secondl y, this quarter, if you see slightly the refining spreads are on lower side, slightly, not major. But major impact is on account of shutdowns where our energy consumption is on a highe r side, the throughput is on the lower side.
Yogesh Patil: Our marketing inventory losses were closer to INR722 crores. An y particular reason? And I just wanted to know how many da ys of product inventory do we ma intain on a general basis?
V.R.K. Gupta: Generally marketing, we keep a round 25 to 27 days of inventory. T h i s i s a n o r m a l phenomenon whenever during any particular period, if the prices are coming down, the fortnight to fortnightly differential of the RTP is the main re ason inventory losse s. If price goes up, definitely, the inventory gain losses will be reversed.
It happens every quarter, depend s on the price trend. It is in tandem with the price trend only. There is no abnormal inventory positioning happened during this quarter. But whenever price trends on the downside, there will be inventory losses. When th e price trend is on the upside, there may be inventory gains.
Yogesh Patil: Sir, one more. Do we have any lo ng-term contracts with the Russ ian crude supplier? And if we -- if you could provide some details on the crude sourcing side , for the calendar CY '25, how much long-term crude sourcing we have and how much is short ter m? That would be really helpful.
V.R.K. Gupta: Generally, we are following a principle of around 55% as a long -term imported crude and balance 30%, 35%, we keep it for spot. And this year also, broa dly in the same range, we are keeping around 55% of our requirement of imports through long t erm, mainly the sources are

from Saudi Arabia, Abu Dhabi, U.S., Iraq, whatever normal sourc es of crude, we are allocating around 55% for long term. And we are keeping for short-term spo t basis for 30%, 35%. But Russian, we don't have any long-term contracts. M minus 2 gener ally we go to the market and we procure crude Russian side. There is no long-term Russian cr ude.
Yogesh Patil: Sir, last question. Sir, consider ing very weak GRM as of now $1 per barrel or even less than that, if the situation continues for a month again and on the t op of that, we have to procure spot crude a little bit costlier, let's say $2, $3 per barrel premiu m. So don't you think this will get a little bit negativity on the refining profitability at least in t h e n e a r t o m e d i u m t e r m ? P l e a s e correct me if I'm wrong.
V.R.K. Gupta: Current trends, if you see the gasoline cracks have come down t o almost zero or negative levels, it has come. But fortunately, still the gas oil cracks are still it is being maintained at $13, $14 level. With this background, definitely there will be a small impact on the GRM side. But in terms of the crude sourcing impact on the GRM, yes, Russ ian crude, if the weightage comes down in terms of the processing, there will be an impact. But the impact is not much. Today also the Russian crude i s available only $3, $3.2 discoun t.
The overall impact in case if the throughput comes down from 35 % of Russian processing, there will be an impact. But crude is available. It is not that crude, there is any tightness of crude. Crude is sufficient, crude is available and the only thi ng the different sources we have to find out. There may be an impact, small impact in case Russian crude, if we are not in a position to process fully.
Yogesh Patil: And sir, do you think in the long run, will you get Russian cru de supplies at a discounted rate

after 6 months, 12 months down the line? What is your in-house assessment on this sir?
V.R.K. Gupta: What we are foreseeing, it is only a temporary phenomenon becau se Russian crude, they have not cut down their production. Some point of time, again, the R ussian crude has to come to the market. Now only thing, because since so many vessels are on sa nction and some insurance companies are also on sanction, so some time it required to reb alance the market, the supply chain had to be resettled. Maybe another 2, 3 months, this rese ttlement can happen, new trader community can come into the market. So the flows will continue after some point of time.
Moderator: The next question is from the li ne of Iqbal Khan from ICICI Pru dential Life.
Iqbal Khan: Sir, just on the Russian disc ount, like you said in Q3, it was around $3, $3.5. And of lately, I've been reading a couple of news that Russian discount -- Russian prices have fallen down. So I mean -- and you said for the month of Jan and Feb, we are going to source with Russian crude. So are we enjoying this -- I mean, I believe the Russian discou nt would have increased. So are we enjoying this benefit for these 2 months? Or can you just th row a light on what is the current discount? And are we availing the benefit of this fall in Russian crude of lately?
V.R.K. Gupta: Generally, our spot procurement deals happens M minus 2 means 2 months advance we complete the deal. So for January and February, we have complet ed the deals in the month of November and December itself. So we are getting sufficient carg oes for the 2 months. Only we have to wait and see for the month of March, how many cargoes w e can get from the market.

And discount levels are similar -- we are expecting similar lev el of discount will continue. But the volumes, we are not expecting the way we used to get the vo lumes in earlier months.
Moderator: The next question is from the li ne of Amit Murarka from Axis Ca pital.
Amit Murarka: So my question is again on the capex side. So you said that on Bina expansion, most of the capex will start in '26 and '27. Are you providing any absolute guidance for '26 as well as '27 now?
V.R.K. Gupta: Guidance, just we are firming up the capex numbers for '25-'26. We have the ini tial indication, we have received numbers from all the units around INR18,500 cr ores to INR19,000 crores of capex for '25-'26. We are yet to firm up, but it will be indica tively the capex numbers for FY '25-'26 will be INR19,000 crores around.
Amit Murarka: Okay. And then '27, could it like go up to maybe INR25,000-odd crores?
V.R.K. Gupta: Yes, that is what we can take estimate on INR22,000 crores, INR 23,000 crores but we are yet to firm up the number for '27.
Amit Murarka: And the 5-year capex plan was a bout INR1.5-odd lakh crores, rig ht?
V.R.K. Gupta: Right, right.
Amit Murarka: So then that is still on, right? I mean, so in that case, you'r e saying that '28-'29 could maybe go up to a much higher numbe r than to meet that?
V.R.K. Gupta: Right. Our capex aspiration based on our project as per numbers are INR1.7 lakh crores, we would like to keep capex number, out of which already the Board has approved for the projects around INR1.3 lakh crores already committed, means the Board ha s approved the projects, mainly around INR25,000 crores, it will be coming from explorat ion side from Mozambique

and Brazil and around INR50,000 crores for Bina and around INR5 ,000 crores of our Kochi refinery petrochemical project and INR20,000 crores to INR25,00 0 crores, we are going to spend on CGD network expansion. These are the major components of our capex. Yes, definitely, next year onwards, next year will be around INR19,0 00 crores, INR20,000 crores. After that, '26-'27 onwards, every year, we may have to see aro und INR25,000 crores or INR30,000 crores of capex.
Amit Mur

arka: Sure. And on the GRM, you mentioned that the GRMs were a bit we aker because of shutdown and lower Russian crude sourcing . Was there some inventory loss as well?
V.R.K. Gupta: No. Generally, we don't calculat e any inventory losses for refi ning side because our average inventory is much less than 10 days. So our average procurement cycle is 1 month and average inventory processing cycle for refining each only 10 days or 11 days. So it won't give any impact in terms of inventory gain losses.
When you are keeping a 10 days inventory, your purchase cycle i s 1 month average prices. Only sometimes some cargoes, very old cargoes, if it is there i n the inventory, where the actual manufacturing and processing is not happening in the same fortn ight. There may be a small

impact, but that is the reason we avoid any calculating of inve ntory gain losses for our BPCL refinery.
Amit Murarka: Understood. And just the last que stion on the fuels. So the mar keting volumes generally, I think, have been growing lesser than the industry growth, I bel ieve, because of some gains by private refiners, private marketing companies. So recently, the re was some article as well that those refining companies -- those outlets who are getting impac ted are basically demanding better margins since the volumes are going down. So is there an y discussion going on, on that front to raise dealer margins?
V.R.K. Gupta: No, dealer margins already it has been implemented. The revised dealer commission has been implemented during last quarter itself. So there is no separate discussion. Yes, I agree this quarter, we are not number 1 in terms of market growth point of view, but only short term. We'll come back and we'll get back our position.
Moderator: The next question is from the li ne of Sumeet Rohra from Smartsu n Capital.
Sumeet Rohra: So sir, firstly, I mean, I would like to talk to you as an inve stor. Sir, I clearly see that you have done exceptionally well. You have made a profit of INR10,000 cr ores after absorbing INR7,100 crores of LPG under recovery. Now sir, it is -- of cou rse, we all know that LPG -- we also understand, sir, that LP G under recovery is borne by th e government.
But sir, clearly, I mean, one thing which you clearly must appr eciate from our point of view, is that this LPG under recovery is basically clouding the earnings overall for the earnings outlook or the earnings visibility basically for investors for us.
I mean, sir, I would just like t o highlight to you a few import ant things, which I really think are very important from an investor angle because, I mean, we spend a lot of time on metrics, on GRMs but the thing is that these things need to be priced by ma rket, right, which clearly is not being priced.
Now sir, I just -- I would like to highlight this to you that t oday, the market cap -- I mean, the price of Bharat Petroleum or wha tever you may say the market ca p is exactly what it was back in 2017. Now sir, back in 2017, we used to make about INR9,000 crores of profit. But today, sir, we are well making INR20,000 crores of profit. So clearly, when public sector enterprises in India are going through a massive re-rating, okay, companies l i k e o u r s , w h i c h a r e t h e highest quality compani es in terms of ROEs and ROICs are gettin g derated.
Now sir, I mean, it is something of -- for which you should tak e significant importance is that today, we make INR20,000 crores and tomorrow with Project Aspir e, we make INR30,000 crores. But if the market doesn't get confidence on earnings an d visibility, then how does it help an investor, right? I mean, because today, ultimately, inv estors also want to make return. And today, if you see that if markets are not going to value ea rnings and we are going to trade at 7, 8-year kind of low prices, it is clearly saying that

ther e is a disconnect between the reality of what you're doing versus the p erception, right ? I mean it cl early goes to show, right, because on ground level, you are deliverin g superb results. And there i s no question on t hat front, right?

But obviously, sir, the market needs to take cognizance of that and your PEs and your price-to-book ratios also need to adjust accordingly, right? I mean this is something which I really think that you, the ministry and ever yone should really give it a ver y serious thought because the right communication basically from you or the minister or the m inistry to basically investors will go a long way in rerating t hese companies because you are doing exceptionally well on financial performance. But sir, also, it is of significant impo rtance that markets realize this. So I really would much think if you can take a serious look at thi s, and please consider what I've said very seriously because it is in the best interest of all s takeholders.
Now sir, coming to your one question on this Russian thing, whi ch has been exaggerated beyond imagination is, in fact, you see today also Mr. Trump ha s come and asked Russia to end the war. So sir, if the war to be end, then it would be saf e to assume that nothing on the Russian oil gets impacted and everything remains status quo?
V.R.K. Gupta: Yes. One is first question related to LPG, just I want to clari fy. For the period April to December, we have a net negative buffer of INR7,228 crores, whi ch we have taken a debit to P&L. And LPG is a controlled pr oduct. The pricing is being cont rolled by the government of India. Even earlier year also, government has supported around INR22,000 crores for the industry.
We are hopeful by end of the year, definitely government will s upport the LPG subsidy because this particular LPG pricing is completely controlled by the government of India. And based on that advice only, we ma rket the product. We are hopefu l government will support for this particular under recovery of LPG.
Comes to Russian crude side, today, very short term, there may be a shortage of supplies of Russian cargo. If Russia-Ukraine war, if it ends, it is a good thing, more supplie s will come to the market. At the same time, if they remove the sanctions, the n it is well and good. Complete supplies will come to every market, and th ere will be a good am ount of supply compared to the demand growth. So if the Russia- Ukraine war ends, it is good fo r the industry.
Moderator: The next question is from the li ne of Sabri Hazarika from Emkay Global Financ ial Services.
Sabri Hazarika: So I have a few questions. The first one is basically in the cu rrent scenario, if I assume that diesel cracks remain at, say, around $11, $12 and petrol, say, let's assume around $5, $6 and assuming that Russian crude share goes down to, say, around 10% , 15% with possibly no discount. Then based on your conf iguration, what kind of GRMs y our company can report?
V.R.K. Gupta: We cannot predict the GRM because it has a very complex working , not only the Russian supplies and crack. It depends on the yield, what sourcing of c rude we take and what premiums we pay at the time of crude procurement. But on an ave rage, we are at least expecting the refining margins will continue at a similar level because as long as the gas oil cracks are there, gas oil cracks are $13, $14 because our total processing capacity, the gas oil is the maximum quantity we process. So as long as the refining spr eads are commendable at $13, $14 at gas oil, we can foresee th e similar level of GRM. There won't be much impact.
Sabri Hazarika: So around $6 to $7 GRM at $13, $14 diesel cracks is something w hich can be expected?

V.R.K. Gupta: Yes, we cannot give any guidance, but we

can safely we can assu me in case gas oil cracks are at $13, $14 and gasoline is at $5, $6, so it can give that much of GRM. Everything depends on what spreads internationally it c ommand for the next 2 months.
Sabri Hazarika: Right, sir. Second is basically on your -- this capex plan. So what is the peak debt that you envisage, which you find comfortable for the company once you a re l ike at th e peak of the capex cycle?
V.R.K. Gupta: We are not expecting the peak of debt will go up beyond 1. 1:1 is a comfortable zone we are expecting on a stand-alone basis, w h e n t h e p r o j e c t s a r e c o m p l e t ing by '28-'29, maybe our capex will reach at that level max 1. That is what we are targe ting.
Sabri Hazarika: One-time debt equity will be the peak levels that you have -- o kay, fine. And lastly, on this LPG thing only, so right now, I mean, Q4, I think there has bee n some reversals. We have seen oil prices go up, LPG prices als o seasonally have been up. So i n near term, do you have any -- and on top of that, the excise du ty payments and all, which als o comes at the end of the year. So are you comfortable in terms of working capital or there cou ld be a spurt in short-term debt and all?
V.R.K. Gupta: Even December also, when you see our debt equity at gross level is 0.24. But at the same time, we have almost INR15,000 crores of investment is in oil bonds w here we have investment. On n e t - n e t , i f y o u s e e t h e d e b t t o e q u i t y i s v e r y s m a l l 0 . 1 o r l e s s than 0.1. When we reach by March and if there is no major spike of crude oil prices, we ar e not foreseeing any big jump of working capital requirements because our capex also, we are end ing up with the capex estimated will be around INR16, 000 crores for this year.

We are foreseeing whatever inter nal generation that is sufficie nt to meet our capex requirements. And excise duty paym ent, yes, every year excise d uty payment, we have to pay before 31st of March to the extent we have to take additional b orrowings, working capital requirements.
Sabri Hazarika: Got it, sir. Sir, just a small bookkeeping question. Your ATF v olumes seems to have declined Y-o-Y. So anything specific on this?
V.R.K. Gupta: We have lost one customer in te ndering process. That is the onl y reason. But anyhow, we got back some other customers. Maybe in the subsequent quarters, we can make up that volumes.
Moderator: The next question is from the line of Nitin Tiwari from Phillip Capital.
Nitin Tiwari: My question is related to the Andhra refinery, if you can throw some more light in terms of what is the estimated size of this project and what is the tota l capex? And you mentioned something around INR6,000 crores that you've allocated, what is that for? And basically, what is the incremental capex and timeline we are looking at in this project? So that would be the first one.
V.R.K. Gupta: We have -- Board has approved INR6,100 crores of capex for pre- project activities. This is mainly for land acquisition. We are looking for around 6,000 ac res of land. There are a couple

of components in INR6,100 crores. One major component is for la nd acquisition and land development. And after that, there are certain DPR studies we h ave to carry out; certain FEED studies we have to carry out.
It takes time, maybe another six months to nine months period, we will complete the DPR and FEED study. So it requires a sign ificant amount of pre-investme nt before taking any financial decision and the final decis ion in the configuration.
Broadly, we are looking at it a nine million metric ton or 12 m illion metric ton crude train as we are looking at it, which will have a very large intensity of petrochemicals. For example, if we are going for a 9 million metric ton of refining capacity, w e are expecting at least 3.8

million to 4 million metric ton of petrochemicals.
That is where broadly we are looking for a configuration around 3 million, 3.5 million metric ton of products -- petroleum products and around 4 million metr ic ton of petrochemicals.
Roughly, the initial indication of capex requirement will be ar ound INR95,000 crores at gross level.
And government of Andhra Pradesh also, they have indicated a go od amount of capital subsidy incentives. Maybe we have to wait and see once the DPR and FEED studies are over, the final numbers we can firm up and reach to the FID level. By end of De cember, we can expect this final number.
Nitin Tiwari: Sure, sir. Sorry, I missed on the total investment number that you mentioned.
V.R.K. Gupta: Around INR95,000 crores at gross level.
Nitin Tiwari: INR95,000 crores. All right. And sir, the location is confirmed or you're yet to decide on the location? And is it goi ng to be a coastal r efinery or inland re finery?
V.R.K. Gupta: It will be coastal refinery. It will be definitely coastal refi nery. Location is als o almost land we have identified. Now the acquisition process, we have to start. We have approached government of AP also fo r land acquisition.
Nitin Tiwari: Understood, sir. Sir, my second question is relat ed to a news i tem which was published around, excise duty exemption that Supreme Court has given to you for M oU sales of product between the oil marketing companies. So if you can just elaborate a lit tle bit on that? And would that in any way be accretive on t he margin side for us?
V.R.K. Gupta: Referring the recent Supreme Cour t judgment on one of the old c ase for excise duty -- on excise duty calculation?
Nitin Tiwari: Yes, I suppose that is the one. There was this news item which said that I think it was related to the sales which happens between the oil marketing companies on...yes.
V.R.K. Gupta: Yes. There is a valuation dispute because tribunal level, we ha ve not got favorable order. They have raised certain demand. It went up to Supreme Court because when we purchase or sell any product between the OMCs, the transaction value is based on the purchase price. Whereas

department contention is that it should not be a purchase price , it should be based on some other measure we have to derive because the RSP is different th an the purchase price.
Because this dispute is going on since a long time. It went to Supreme Court and Supreme Court -- they have sent back to the tribunal to reassess the as sessable value. But we are going

to put a review petition and we have to wait and see how the tr ibunal recalculate that
assessable value.
Nitin Tiwari: Okay, sir. Because I think the news item mentioned something li ke that, that excise would be exempted on this sale and purch ase. And therefore, I thought li ke if there's any benefit accruing to us because of that exemption?
V.R.K. Gupta: There is no exemption of excise duty. There is no exemption of excise duty. It is a dispute on the valuation rule. It's a dispute on the valuation.
Moderator: The next question is from the li ne of Hardik from ICICI Securit ies.
Hardik: So as we have seen, the crude oil prices have taken a sharp ral ly and it has in recent week has crossed $80. So any thought on if price again crosses $80, any thought on price hike to be taken? Any initia l sense on that?
V.R.K. Gupta: If you see the demand supply of crude market, if you see, I thi nk we are expecting a good amount of supply of crude is there in the market. Only very sho rt-term knee-jerk reaction in terms of Russian crude supplies, there is a little volatility b ut we are not foreseeing that crude prices will come in at this level. They have to come back to $7 5 to $80 range only. It's only very short-term reaction, crude prices are at this level.
Hardik: Okay, and sir, one more thing. We have reported a marketing

inv entory loss, right? But at the end of the quarter, there was the spike in the diesel or petrol international product prices. So just want to understand what led the inventory loss? And if it' s a real inventory loss, would it get reversed in the Q4?
V.R.K. Gupta: Generally, how we calculate inve ntory losses, but the inventory loss gains are in tandem with the price trends. So during any particular quarter, if the pric es are on the down trend, definitely there will be inventory losses. If the price trend is on the hi gher side, there will be inventory gains. So this will continue eve ry quarter. It all depends on t he price trends. The Q3, there is a reduction in the price trend, that is the reason inventory loss es. In case if the crude prices continuously hovering at this le vel, $80, maybe you may see the reversal of this one.
Moderator: The next question is from the li ne of Somaiah V from Avendus Sp ark.
Somaiah V: A few questions. Sir, first thing is on the Russian crude sourc e. So you did mention M minus 2. So for January, you would have booked by, say, November. Ave rage price, the discount, that's how it will wor k? Or it will be a November price less di scount?
V.R.K. Gupta: No. We finalize the deals only on the discount. The price is al ways on the date of delivery month. For example, the crude we are receiving in the month of January, the January month

prices are applicable. If you ar e receiving the crude in the mo nth of February, the February prices will be applicable. Only t he discount and other terms, c redit terms are fixed. Otherwise, the price -- the base pric e of crude is variable.
Somaiah V: Understood, sir. So, second que stion on the crude sourcing. So what would be on a blended basis a non-Russian crude sourcing cost on a premium? What are the premium Russian crude that we will be paying?
V.R.K. Gupta: No, we cannot compare actually e very grade-to-grade because eve ry grade of crude will have a d i f f e r e n t C A V . M e a n s w h a t t h e c r u d e w i l l g i v e a v a l u e o f o u t p u t . So it is very difficult to compare which crude is better, which crude is cheaper. Every cr ude is cheaper or costlier depends on the refinery configuration, what type of products it can give. It depends on that every crude will have a different value.
So we cannot compare every crude, what is the cost, whether it is good or bad. Everything we have to see in terms of refinery configuration and what is the value of output this crude gives to the refinery. So from there, we compare and we accordingly s ource the crude.
Somaiah V: Understood, sir. I was just tryin g to understand for the same q uality of crude that we have to replace the Russian crude via the other crudes. So would it be like in the current prevailing rates, whether it will be on par to Brent or we have to pay a p remium to Brent. I just want to understand?
V.R.K. Gupta: No, Russian crude, generally, they offer a discount, whereas ot her crude, they don't offer a discount. That is the only differential.
Somaiah V: Okay, sir. Plus it is on long-term basis. So what would be the tenure of this long-term basis?
V.R.K. Gupta: Long-term crude generally go for one year only. Every crude ter m contract we signed for one year.
Somaiah V: So we have a one-year volume off take agreement and then every year.
V.R.K. Gupta: Yes, yes. Not for Russian cargoes. But other cargoes, around 55 % of our import requirement generally we sign up for one year, term contract.
Somaiah V: Got it, sir. Sir, also on this AP -- Andhra Pradesh refinery, s o how do we -- how are we generally looking at it? So once we are almost close to complet ion of Bina, we will start work

on this. How are we just trying to understand the capex cycle?
V.R.K. Gupta: Broadly, we will come to a conclusion only in the month of Dece mber. By December,

we will
have the DPR, the configuration studies, the FEED studies will be over. There, we will come
to know what would be the capex side. Then we are -- parallelly we are exploring to form a JV
partner.
After that only, we'll come to know what will be the broad sche dule. But otherwise, the
commissioning period we are expecting around 48 months from the date of FID. We may have

to start parallelly along with Bina. By the time Bina, we reach the mid-stage, maybe AP
refinery project will kick start.
Somaiah V: Okay, sir. Sir, also, Bina, the Petchem, can you give the produ ct slates of the 3 million ton
output. Can you give a rough cut?
Rahul Agrawal: Yes. So it's -- PE is 1.2, 0.55 is PP and the remaining is BTX.
Somaiah V: Okay. Sir, also for FY'26, you kind of roughly set around INR19 ,000 crores of capex. Any
split that you can give on th is number across segments?
V.R.K. Gupta: We will share it. Broadly -- mainly, it will go for CGD expansi on and Bina expansion. A little
bit of amount will go for exploration activity. We will share s eparately a gap breakup.
Somaiah V: Okay, sir. Sir, also the LPG under-recovery number that we are reporting includes the normal
marketing margin that we would ha ve made that is also considere d as part of under-recovery or
that is over and above?
V.R.K. Gupta: This is, for example, if we get to this entire amount, that mea ns we are ensured our normal
marketing margin.
Somaiah V: Okay. Sir, also on the CGD performance, can you give any update in terms of what is the
current volumes like? And also any thoughts on given that the r ecent gas allocation cuts. So
anything changes for us in terms of how we are looking at it in terms of investments in this
part of the business?
V.R.K. Gupta: Y es . CG D i f yo u s ee CG D , w e are on tra ck in t erms of M WP p rogra m, mainly in terms of
CNG stations, we have achieved 739 stations almost 200% of our MWP. In terms of pipeline
laying, we have almost completed 21,555 kilometer -- inch kilom eter of pipeline we have
achieved. This is almost 137% of MWP. We are a little bit short in terms of PNG domestic
connection. Our target is INR1.11 crores, whereas our estimate is only 463, only 20% only we
have achieved in terms of MWP in PNG connections.
In terms of the sale, this quarter, CNG almost we have achieved 96 TMT for 9 months period
and the volume growth is good. We are expecting good amount of EBITDA incremental
growth from the next year onwards from this particular CGD busi ness.
And CNG stations '24-'25, our target is 150 stations and '25-'2 6, our target is 165 stations and
subsequent years, every year, around 200 CNG stations. That is where our broader target. And
we spent around INR1,200 crores of capex in terms of CGD expans ion during this 9 months
period.
Moderator: Mr. Somaiah, does that answer your question?
Somaiah V: Yes, it did sir.
Moderator: The next question is from the line of Vikash Jain from CLSA.

Vikash Jain: I have just one on this Russian discount, you're talking of a n umber like $3 a barrel. I'm sure
this is mandate to us in India. How has this number changed ove r the last few months or say,
through this calendar ye ar? What was the broad range that it ha s moved at?
V.R.K. Gupta: During this year, 9 months period, there is no much change. We have started beginning of the
year around $3.5 to $4 range of discount. Now it has come down to $3 to $3.2 of discount.
During this year, there is no major change. But compared to pre vious year, earlier, we used to
get around $8.5 discount during FY '23-'24. But during this yea r, it is almost at the similar
levels of $3 to $3.5 in th e beginning of the year.
Vikash Jain: Sir, just for the sake of clarification and confirmation, this is when you negotiate with the

m,
this is the discount that you negotiate for and this is for cru de that they will deliver to India.
We obviously do not take any re sponsibility on shipping insuran ce, etcetera, etcetera, right?
V.R.K. Gupta: Delivered, delivered, delivered and as a pre-condition that the y should not move the product in

any of the sanct ioned vessels.
Vikash Jain: Okay. And sir, when you come to the point of maybe your guess t hat it will fall from 30% of slate to 20%, is that because roughly if we look at the fleet t hat has become more challenging for them to use. That is somewhe re around 20%, 25% of the fleet t h a t i f I r e m e m b e r t h e numbers correctly. So is that how you're guessing? Or that's ju st a kind of a very guesstimate number that you're saying that i t can fall from 30% to 20% or s omething?
V.R.K. Gupta: No. January, February, we have sufficient cargoes -- Russian ca rgoes. March window, we have not yet received any offer, but our guesstimate maybe around 20 % reduction. That means from the month of March, we may get around 20% of our requirement. M aybe instead of 30% processing, we may end up with 20%, but these are all only gues stimate numbers. Once we go to the market, once the window open, then we have to wait and s ee how many cargoes are available.
Moderator: The next question is from the li ne of S. Ramesh from Nirmal Ban g Equities.
S. Ramesh: So if you look at the CGD business, my calculation shows that y ou're doing about 3.5 million kgs per day. Is that correct on this 96 TMT you have done year- to-date?
V.R.K. Gupta: Yes, 96 TMT, so per day, I have to work out accordingly, yes.
S. Ramesh: So if you look at the peaking of the capex in the CNG business in your stand-alone GAs, how do you see the capex in F Y'26-FY'27 and FY'28?
V.R.K. Gupta: We are allocating around INR3,025 cr ores of capex for CGD busin ess for FY'25-FY'26 and around INR3,050 crores for FY'26-'27. That is our broader capit al allocation for CGD business.
S. Ramesh: So when you say you are expecting EBITDA positive in FY'26, so on the current infrastructure and the addition you expect in FY'26 and this capex, you will b e able to generate positive EBITDA based on the current gas cost because especially the red uction in the APM gas.

V.R.K. Gupta: Yes. So we are expecting FY'25-FY'26 onwards, the CGD business will have a positive EBITDA margins. And even the gas allocation had come down signi ficantly from the APM gas to market gas. But temporar y basis, we are not passing on t he burden to the customer, but long term, definitely the burde n has to be passed on the custom ers. But FY'25-FY'26, we are expecting good amount of EB ITDA margin from CGD.
S. Ramesh: So is it possible to share what kind of gas sourcing you're pla nning for the CGD business based on the current APM gas allo cation between APM gas and the market price gas and LNG?
V.R.K. Gupta: No, today, even for the latest quarter, if you see around 49%, we are getting allocation and 50% is deficit CNG, we are gett ing it from markets only. Mostly on spot basis, we are buying RLNG. But we are exploring certa in long-term contracts anyhow i t's a long-term trend, APM gas, we may not get 100%. Whatever shortfall of APM gas, we hav e to meet through open market. So we are exploring some long-term deals, either Henry Hub based or some other index-based cargo share planning.
S. Ramesh: Yes. So just two more thoughts. O ne is, if you look at your LNG and biogas plants and the overall CNG business, how do you see your rollout of LNG retail outlets in terms of capex and the volumes you are targeting? And similarly in biogas, what is the kind of volume we expect?
V.R.K. Gupta: L N G , w e h a v e s t a r t e d c o m m i s s i o n i n g . I t h i n k t h e t w o L N G s t a t i o n s already we have commissioned and 10 are in pipeline. In

itial years, we may not get a good amount of volume,
but we are creating an infrastructure so that whenever the vehi cle movement happens, definitely, we are there in the particular business vertical.
The cap ex requ i remen t is v ery s mall co mpar ed t o the over all c a p ex size. Around 10 RLNG stations, maybe it will be around INR150 crores to INR200 crore s. Capex is not a big thing for RLNG fuelling station.
In terms of biofuels, our plan is we want to complete at least 26 CBG plants, either on our own or through JV. We have already announced for incorporation of 2 J V s ; o n e i s w i t h G P S Renewables and one more JV we are in the process of getting app rovals that is with Praj Industries.
The capital outlay for 26 CBG plants will be around INR2,500 cr ores. Maybe another two years or three years' your time fr ame, these projects will be c ompleted. The size of the volume will be around 100 TMT, if you ta ke maybe 200, 300 TMT of gas w ill get from the CBG.
S. Ramesh: Okay. So in your renewable energy plants like ONGC is planning a listing, HPCL may also go for a listing. So are you planning to hive off your renewable e nergy business to a separate entity? Is there any thoughts in t erms of value unlocking in th e renewable energy business?
V.R.K. Gupta: We are in very initial stages of creating the renewable assets. Once we reach a particular scale, then we can look at it whether hiving off is a better option or keeping within the balance sheet

is a better option because certain tax advantages we will have if you keep it the assets within the balance sheet.

So we have to wait and see once it reaches a scaling up, then w e have to wait -- we have to see listing gives a better shareholder value or keeping in the same balance sheet gives a better value.

S. Ramesh: So one last question, if I may squeeze in. So in terms of the r efining capacity in the globe and Asia, do you see any capacity closures that you expect based on the data you are getting from consultants? And what is the trend you expect in terms of refin ing capacity, say, over the next one, two years or any clos ure you're expecting?

V.R.K. Gupta: Whatever information what we are receiving from the consultant, there will be definitely there will be close downs of refining capacities outside India, not i n India, outside India. Instead of meeting the net zero ambition, so many people are expecting the re will be close-down. We don't know exactly what quantum of refinery close downs will ha ppen. But as a trend away, everyone is expecting outside Ind ia, there may be some capacity close-down.

Moderator: Ladies and gentlemen, this was th e last question for today's co nference call. I now hand the conference over to the management for their closing comments.

Rahul Agrawal: Thank you, everyone, for participa ting in the call, and thank y ou, Mr. Varatharajan.

Varatharajan: Thank you for that.

Moderator: On behalf of Antique Stock Broking Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

“Bharat Petroleum Corporation Limited
Q4 FY '25 Earnings Conference Call”
May 02, 2025

MANAGEMENT : MR. V.R.K GUPTA – DIRECTOR FINANCE – BHARAT PETROLEUM CORPORATION LIMITED
MR. PANKAJ KUMAR – EXECUTIVE DIRECTOR, CORPORATE FINANCE – BHARAT PETROLEUM CORPORATION LIMITED
MS. SRIVIDYA V – EXECUTIVE DIRECTOR , CORPORATE TREASURY – BHARAT PETROLEUM CORPORATION LIMITED
MS. CHANDA NEGI – GENERAL MANAGER, PRICING AND INSURANCE – BHARAT PETROLEUM CORPORATION LIMITED
MR. RAHUL AGRAWAL – CHIEF MANAGER, PRICING AND INSURANCE – BHARAT PETROLEUM CORPORATION LIMITED

MODERATOR : MR. VARATHARAJAN SIVASANKARA – ANTIQUE STOCK BROKING LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Bharat Petroleum Corporation Limited Q4 FY '25 Earnings Conference Call, hosted by Antique Stock Broking Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star, then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Varatharajan Sivasankara from Antique Stock Broking Limited.

Varatharajan Sivasankara: Thank you, Sejal. A very good morning to all the participants and the management. I would like to extend a very warm welcome to all the participants for taking time out to be on this call and the management for taking the time out to present us the scenario for Q4. We have with us Mr. V.R.K. Gupta, Director Finance; Mr. Pankaj Kumar, ED Corporate Finance; Mrs. Srividya V, ED Corporate Treasury; Ms. Chanda Negi, GM, Pricing and Insurance and Mr. Rahul Agrawal, Chief Manager, Pricing and Insurance.

I want to hand over the floor to Rahul Agrawal for his statutory announcement followed by the initial remarks from the management. Rahul please.

Rahul Agrawal: Thank you, sir. Good morning. On behalf of the BPCL team, I welcome you all to this post Q4 earnings call. Before we begin, I would like to mention that some of the statements that we would be making during this con-call are based on our assessments of the matter, and we believe that these statements are reasonable. However, their nature involves a number of risks and uncertainties that may lead to different results.

Since this is a quarterly results review, please restrict your questions to Q4 results. I now request our Director Finance, Mr. V.R.K. Gupta, who is leading the BPCL team for this con-call to make his opening remarks. Thank you, and over to you, sir.

V.R.K Gupta: Thank you, Rahul. Good morning, everyone. Welcome to the post quarter 4 results con-call. Thank you for joining us today. I hope you were able to go through our results for the quarter.

On the macro side,

IMF has revised global growth projections downward to 2.8% for 2025 from an earlier projection of 3.3% and 3% for 2026, citing rising geopolitical tensions, trade disruptions and associated spill-over effects, particularly in the context of intensifying US -China dynamics.

Despite global headwinds, India is expected to remain the fastest-growing major economy with projected GDP growth of 6.2% in FY '25-'26 and 6.3% in FY '26-'27, reflecting continued resilience and domestic demand momentum. India's GDP growth is expected to range-bound between 6.1% to 6.5% in FY '25-26 as per different agencies' forecast. In '24-'25, India's inflation rate moderated to 4.6% with global oil prices easing, the RBI has also lowered its inflation projection for '25-'26 to 4% from earlier estimate of 4.2%.

The INR and USD exchange rate fluctuated between 85.58 and 87.59 during Q4, averaging at around 86.62. In April 2025, the same averaged at 85.57 aided by a weaker US dollar, China's currency devaluation, new tariff announcements and sustained FII inflows. In terms of crude, the IEA forecast a supply surplus of 840000 bpd in 2025 and 2026, the second largest in the recent years.
Meanwhile, global oil demand growth forecast for 2025 has been revised downward by 0.1 to 0.4 mbpd by major agencies, including the EIA, IEA and OPEC, largely due to economic uncertainty from rising trade tensions. Brent crude witnessed the sharpest 7-day of swing in April 2025, triggered by fresh US tariff announcement and an unexpected OPEC plus production hike.
Prices are expected to remain volatile with Brent likely

in the range of $68 per barrel for 2025.
The EIA projects India to increase its liquid fuel consumption by 0.3 mbpd in both '25 and '26, up from 0.2 mbpd in '24, underscoring India's leading contribution to global oil demand growth, primarily driven by rising transport fuel consumption. Domestic petroleum products demand grew by 4.3% in Q4 with petrol up by 5.9%, diesel up by 1.2% and ATF up by 6.5%.
Performance in Q4 of '24-'25.
On operations side,
Our refineries processed 10.58 million metric tons of crude, achieving 121% of nameplate capacity and recorded the highest ever annual throughput of 40.51 million metric tons. The distillate yield stood at 83.59% and product cracks for gasoline in Singapore moderated to $6.02 per barrel from $6.44 in earlier period and for gas oil, $14.26 barrel from earlier $15.05 per barrel. Accordingly, our refineries recorded a GRM of $9.2 per barrel in the current quarter at a premium to Singapore GRM of $3.16 per barrel.
On the marketing side,
Our domestic market sales grew by 1.82% year-on-year during Q4 to 13.42 million metric tons with record annual sales of 52.4 million metric tons. We achieved highest ever sales for lubricants of 472 TMT including sales from our retail outlets during the year.
Under Gas business, we have achieved a total sales volume of 2.2 MMT, up 13.9% year-on-year during the year for CNG, PNG and bulk sales. We also commissioned 2 LNG stations at company-owned and company-controlled retail outlet in BP Avinashi Coimbatore. This particular retail outlet has generated a sale of 71 metric tons. We continued to lead our peers in retail outlet throughput averaging 146 KL per month compared to the PSU average at 130 KL per month, enabled by strategic market access and robust highway presence.
In April 2025, domestic LPG prices were increased by INR 50 per cylinder. This resulted in decrease in under-recoveries on domestic LPG. The current under recovery per cylinder is

estimated around INR 170 per cylinder. The total negative buffer as on 31st March 2025, INR 10,446 crores.
We commissioned 1,805 new retail outlets during FY '24, '25, expanding our network to 23,642 outlets. During the year, 5,546 outlets were solarized bringing our total solarized ROs to 12,000 ROs. We are aggressively expanding our CNG fuelling infrastructure with mechanical completion of 340 new CNG stations during '24 '25, taking total CNG network to 2,370. We added 3,313 EV charging stations during '24 '25, taking total EV network into 6,563 numbers.
We commissioned the Dimapur depot in Nagaland. This is our first POL depot in the Northeast, enhancing supply network connectivity in the region. In line with the government's aim to achieve energy security of the country with a target of reducing import dependence by adopting biofuels as one of the measures, we have achieved highest ever 19.35% of ethanol blending during Q4 '24-'25.
We are expanding our foray into nonfuel services at our retail outlets through our in-house state-of-the-art cafe brand, BeCafe, where customers can experience gourmet, coffee and snacks and as the propensity of EV charging gathers momentum. BeCafe would offer customers an upgraded convenience during their wait time. We have commissioned 105 BeCafe during '24-'25, taking total BeCafe network to 111.

Updates on new projects –
Bina Petrochemical and refinery expansion project has made steady progress, achieving an overall progress of 11% against scheduled target of 10.9%. All technology licensors and consultants have been onboarded and process package for all units have been received. Detailed engineering activities are in progress. Key tenders have been floated and site enabling works are nearing completion.
During the last quarter, the Board has approved INR 6,100 crores towards pre-project activities, including land identification, feasibility

studies and environmental assessment for greenfield
refinery cum petrochemical complex in Andhra Pradesh. Land procurement is in process.
In continuance to the Board approval in the previous quarter, BPCL and Sembcorp Green Hydrogen India Private Limited, a wholly owned subsidiary of Sembcorp industry has entered into a joint venture agreement to jointly pursue opportunities in renewable energy and green hydrogen and its derivatives projects across India. The strategic partnership aims to support India's energy transition and developmental goals.
Further, BPCL and GPS Renewable Private Limited have entered into a joint venture agreement to establish compressed biogas (CBG) plants across India. The joint venture will focus on converting organic biomass waste into compressed biogas by leveraging advanced waste-to-energy technologies.

The joint venture plans to establish 8 to 10 plants across Bihar, Orissa, Punjab, Uttar Pradesh and West Bengal over the next few years, which offer significant agri biomass potential for CBG production and aligned with BPCL's existing geographical location of city gas distribution.
In a positive development for BPCL Mozambique project, US EXIM with the largest project financing commitment of $4.7 billion approved the decision to continue its participation in the project. Operator has informed that onshore main contractor, CCSJV has issued full notice to proceed effective 18th April 2025 to 3 key subcontractors to commence full scope of work. This action is intended to facilitate full restart and force majeure resolution not later than by July 2025.
Without further ado, let me guide you through the financial highlights for the quarter.
The revenue from operations stood at INR 1,26,865 crores.
The profit after tax stood at INR 3,214 crores. Against an estimated capex of INR 16,400 crores for the financial year FY 2025, we have spent about INR 16,967 crores during this year. The capital expenditure expected for FY '26 is about INR 20,000 crores.
Our stand-alone net worth as on 31st March 2025 is INR 80,960 crores. The earnings per share for the quarter is INR 7.52 and for the full year is INR 31.07.
As of March '25, the debt to equity at stand-alone gross borrowing level is at 0.29. Overall stand-alone gross borrowings are INR 23,278 crores. We have current investments, including oil bonds of about INR 12,490 crores. So, the debt equity net of current investments at stand-alone level is 0.13. And at group level, the gross debt to equity is at 0.63 and net of investments, it is at 0.45.
In order to reward our shareholders for the continued support, the company has declared a final dividend of INR 5 per share in addition to the interim dividend of INR5 per share.
This concludes my comments and will be happy to take your questions now. Thank you.
Moderator: The first question is from the line of Probal Sen from ICICI Securities.
Probal Sen: Firstly, on the refining performance. I just wanted to understand the components of this $3 plus premium that we have done. Is it fair to assume that there is some inventory gain that was there in the quarter? And the second part of this question is, did we have -- if we can just tell us what kind of Russian crude percentage was there even in fourth quarter in terms of overall crude sourcing? That was my first question.
V.R.K Gupta: Yes. From the refining side, we don't generally calculate what will be the inventory gains because our average inventory is less than 1 month only. Generally, in the same month we procure and we -- our throughput will be completed in the same month. So, we don't calculate inventory gains separately. But however, yes, definitely, the impact is mainly on account of Russian crude and better refining margins.

For Q4 we have processed Russian cru

de of 24% out of the total throughput. Because in Q4, the
availability of Russian cargo was restricted due to the new sanctions. However, we are positive of getting sufficient cargoes in the current quarter.
Probal Sen: So that number has basically gone up in Q1? Right?
V.R.K Gupta: Yes, Right, right.
Probal Sen: Sir, the second question was about the expansion projects. In terms of the thought process behind setting up yet another greenfield refinery, can we just get a little bit of sense of what the configuration could look like? What is the -- what kind of crude sources will be there for the refinery and what sort of timelines we are looking at for commissioning for the Andhra Pradesh greenfield project?
V.R.K Gupta: Let me clarify this Andhra Pradesh project is refinery cum petrochemical. It is not only greenfield refinery. Refinery with petrochemicals with large petrochemical intensity. We are working 2 configurations, either 9 MMT or 12 MMT 2 trains, we are working on it and DFR studies are going on. With 40% petrochemical intensity we are planning broadly with 4 or 4.5 refinery products and around 3.4 to 3.8 petrochemicals.
That's the basic configuration at 9 MMT train, we are planning. And parallelly, we are working for 12 MMT train also. Based on the final detailed feasibility reports, we will take a call by the 9 MMT or 12 MMT. So still the work is going on.
Probal Sen: One, and one last...Timelines ?
V.R.K Gupta: Yes, timelines we are working 48 months from the date of FID.
Probal Sen: 48 months from FID as and when it will be done?
V.R.K Gupta: FID we are expecting maybe end of '25, maybe in the month of December or November.
Probal Sen: Okay. Okay. One last question, if I may, sir. With respect to Mozambique, thank you for sharing that there is progress, and there is forward movement, but we have also taken an INR 17 billion impairment. Can we just understand which projects this impairment relates to in this quarter?
V.R.K Gupta: Every year, we do the impairment testing against our investments. Generally, if there is any project delay expected because, in fact, we were expecting the removal of the force majeure in the last year itself. But due to various reasons, the operator could not uplift the force majeure.
So due to which actually, there will be slight impairment in the cash flows and valuation of mainly for Mozambique only, and a little bit from Brazil also. This has resulted into impairment.
Probal Sen: So now, sir, we are expecting the force majeure to be lifted sometime in this calendar year. There's a decent probability?

V.R.K Gupta: That is what even in the recent announcement by TotalEnergy's CEO also, they were expecting in the month of June - July, we are expecting because all contractors are onboarded, they have agreed for continuing of the project financing and there are no hurdles now. And local level, particularly situation is much improved. So, any time the work can restart.
Moderator: The next question is from the line of Sabri Hazarika from Emkay Global Financial Services.
Sabri Hazarika: Congratulations on a good set of numbers. So just a bit more on the refining margin side. So, we could understand, I mean, you have less than 1 month of inventories. But is it the same across all the refineries or for Bina it is higher? Because I think Bina reported GRM was close to $15.
And if I look into the various cracks and all, so sequentially, it has come down only.
And OSPs have also expanded. Russian discounts have also fallen to 24% like you have said, Russian crude share. So, it's the same impact across all 3 refineries or there could be like something related to inventory, especially on Bina?
V.R.K Gupta: No, no. Actually, 3 refineries configurations are totally different. Like, for example, if you take Bina, Bina can take more high sulphur crude and more Russian crude. Whereas in

terms of
Mumbai refinery, Mumbai refinery, we cannot take more than 15% of Russian crude. So that all depends on the refinery configuration. So that is the reason always our Bina refinery GRMs are higher as compared to our Mumbai refinery. That is one reason.
And second is even the yields, if you see the Bina diesel yield is more in terms of percentage compared to other refineries. So, this always results into higher GRMs for Bina. And it is an inland refinery. Inland refinery if you see the structure - RTP structure, the realization will be slightly higher in Bina, as compared to Mumbai refinery.
Sabri Hazarika: Right, sir. So, in terms of refining margin guidance, so if we consider these Q4 yields to, say, sustain over the next 1 year. So, are we seeing like $9 GRM or you think it could be like some other range, I mean some guidance on the GRM based on the current cracks?
V.R.K Gupta: It depends on various factors. One is definitely the crude prices and spreads. Even if we assume the spreads will continue at the same level, one can safely assume $7 to $9 range of GRMs. If the spreads are continuing like this, if the Russian crude is available at 34% with a discount of $3 to $4, which are the basic parameters, then definitely one can safely assume refining margins will be on a better side.

Sabri Hazarika: Right. And $3 to $4 is the current discount of Russia? Or is it like...
V.R.K Gupta: $3, around $3, around $3 you can, you can take $3.1, $2.8 around. Every month, it varies. In the recent month, it is coming around $3.
Sabri Hazarika: Right. And in this light, heavy sweet, sour that has also become more favourable now that OPEC is raising production or with respect to impact on Kochi refinery in particular?

V.R.K Gupta: Kochi refinery, no but definitely, it will have a good impact on Mumbai refinery. Kochi, we take more Russian crudes only.
Sabri Hazarika: Okay. So, in Mumbai refinery, we'll see some benefit from increasing OPEC production.
V.R.K Gupta: Yes, yes, right, right.
Sabri Hazarika: Right. And just one small question on the marketing side. So, you mentioned INR 170 is the current under recovery. And I think LPG prices have also been quite sticky. It's not fallen to the extent crude has fallen. So how do you see the overall cash flow scenario given that you'll be doing INR20,000 crores number? And of course, now you're making exceptional margins in petrol diesel. But any sense on - are we at a comfortable level? Or do we see debt going up or anything of that sort?
V.R.K Gupta: No, even if we see for '24, '25, even after absorbing of LPG under recoveries, our cash flow will be how much, around INR 22,000 crores is the gross cash inflow and INR 4,000 crores, we have distributed as dividends. INR 18,000 crores in cash flow and our capex is almost INR17, 000 crores. So, a similar level, even we have a good capex number for next year of INR 20,000 crores.
We are hopeful there won't be any pressure on incremental borrowings, maybe INR 1,000 crores, INR 2,000 crores here and there, there may be incremental borrowings. And at least this year, we are very hopeful there should be some mechanism in terms of LPG recoveries.
Sabri Hazarika: Right. Some extent you are expecting in terms of LPG, right? Okay.
Moderator: The next question is from the line of S Ramesh from Nirmal Bang Equities.
S Ramesh: Congratulations on your results. Sir, if you go back to the question on gross refining margins, sequentially, the GRMs have improved across all the 3 refineries. So, is it a function of the yields? Or is there some benefit from the secondary processing units or the crude slate? What exactly explains that increase in the Q4 margins compared to Q3 of FY '25?
V.R.K Gupta: Yes, a couple of things. One is, if you see Q4, our refinery throughput is almost 10.5. This is the highest ever throughput we have done. The plant

reliability is much better as compared to Q3.
There is no shutdown issues. There is no reliability issues. Our throughput is much, much better compared to any of the quarter.
And second is, even the yield is on the lower side, but overall, due to the spreads, good spreads, and good diesel output in the entire product portfolio, we could generate good GRMs during this year. And Russian -- definitely, Russian discounts have helped in GRMs.
S Ramesh: Okay. So if you look ahead to FY '26 based on the current retail spreads and the current refining margins, is there any other lever you have in terms of growth in your EBITDA and profitability

for FY '26 as you look at the portfolio, including the industrial products other than petrol and diesel?
V.R.K Gupta: No, FY '25, '26, everything depends on the crude prices, how it moves at least in the short term, 3 months or 6 months period, we are hoping the crude will be hovering at these levels only.
There is no reason to increase the crude prices much beyond 70 levels, maybe 65 to 70 range or 60 to 65 range, it will continue. As long as crude reaches this particular range, definitely, the margin side, it is helpful for the OMCs.
S Ramesh: Okay. So, on the CGD business, can you give us some sense in terms of what are the assets capitalized and how do you see the P&L for the CGD business moving on your standalone GAs over the next 1 to 2 years?
V.R.K Gupta: So our total capex - expected capex for all the 26 GAs put together is, total commitment is INR 47,000 crores. But this is over a period of 8 years. But already till date, we have spent around INR7,600 crores. And this year, for '25, '26, approximate INR2,000 crores we have capex for CGD business. One good thing is that in the CGD, the volume growth is very good. In the current year itself with '24,'25 the CNG sales itself is 81% increase, in terms of the volume.
So this is one particular segment, the volumes are growing, and our capex is also continuously as per the plan, Minimum Work Program, we are achieving at least in terms of CNG and

industrial customers. We are a little bit behind in terms of PNG connection. But, however, the overall, we are expecting good volumes and good expansion going to happen in CGD.
Moderator: The next question is from the line of Mayank Maheshwari from Morgan Stanley.
Mayank Maheshwari: Two questions from my end. One was related to fuel marketing. If you look at over the last year or so, you have seen a bit of a decline in your market share on retail fuel market, especially on diesel and gasoline and even on industrial side as well, I suppose you have lost some market share. How are you kind of thinking about from a strategy perspective in terms of the next few years on the market share? And where do you think you kind of settle it on the transportation side, specifically in terms of market share for fuel, sir?
V.R.K Gupta: Yes. In terms of market share, on a short term we have lost a little bit market share in the last couple of quarters. But if you see in the last 5 years, continuously our market share is growing because we are not competing in terms of offering discounts. We want to provide good service to the customers and our objective and our strategy in expansion of the market share is mainly network expansion. And what better services we can give to the customer.
That is the reason in the highways, mainly, we are focusing on the network expansion. And recently, we have acquired almost 100 WSA sites, wayside amenities. It is a very large site where we can give good customer services and that is where actually our focus. We are sure definitely the market share will come back and we'll get our market share expansion going to happen.

Because if you see in the earlier year, maybe 2 years back, the private secto

r participation was
not there when the margins are not there. Today, since the margins are very good, all private sellers are grabbing a little bit of market share. But our strategy, the long-term strategy is to expand our network and provide good customer services and take digital initiatives. And slowly, we will increase our market share.
Mayank Maheshwari: And the second question was in terms of Kochi refinery on the petrochemical side. Can you just give us details around how much EBITDA and earnings you made on the Kochi side on petrochemicals?
V.R.K Gupta: So PDPP, the production during '24,'25 is 251 TMT. It's almost 76% of capacity utilization. Last year, it was only 233 TMT, almost 10% increase in terms of the PDPP production side. And gross production margins for petchem was around INR579 crores means it is the additional $0.55 per barrel. PDPP petrochemicals unit has contributed $0.55 per barrel for the refinery for full year.
Moderator: The next question is from the line of Sumeet Rohra from Smartsun Capital.
Sumeet Rohra: And sir, I would like to start by telling you that it's been a commendable performance especially if you look at the LPG under recovery what you absorbed. Sir, I have a question very clearly, as an investor on this point. I mean, if you see in FY '24, we reported a profit after tax of about INR24,000 crores, INR25,000 crores. And in this financial year, you've reported INR13,000 crores after absorbing about INR10,500 crores.
So sir, is my understanding correct that how profitability including LPG because obviously, it's a control product so government will compensate you? It's just a matter of time. So can we say that now our profits have reset to a new standard, and we can assume that the profits which we reported over the last 2 years have sustainable profits over the next couple of years sir? That's my first question.
V.R.K Gupta: Let me clarify for FY '23, '24. The profits are high mainly because of the spreads. That year, if we saw the GRM of around $14 per barrel. That time during the particular year, the Russian discounts are around $8 per barrel and the spreads were very high. I don't think that, that particular ecosystem will continue for a longer period of time. But this year is moderated. In terms of spreads also, it has come to the closure to the last 10 years average spreads it has come to that.
And reasonably, the Russian discounts have come down to $3 per barrel. If these 2 parameters continue, definitely the refining margins will be better and the profitability we can say it has been maybe somewhere around a better level compared to the earlier years.
Sumeet Rohra: Okay. And sir, on the LPG under recovery and the compensation, can you throw some light on when do you expect some amount of compensation from the government, sir?

V.R.K Gupta: We are hopeful some mechanism definitely because after increase of INR 50, now the under recovery has come down every month, we are expecting around INR 650 crores to INR 700

crores per month for BPCL. And we are hopeful some mechanism will be put in place so that
maybe on a quarterly basis, we can get the reimbursement, whatever under recovery.
Sumeet Rohra: And sir, there is just one small point. When the Honourable Oil Minister had the press conference at that point of time, he said that the LPG prices will be looked at on a monthly basis. So can we assume that we are going towards a period where LPG prices would actually be controlled once its market aligned?
V.R.K Gupta: No such communication at this point.
Moderator: The next question is from the line of Somaiah from Avendus Spark Institutional Equities.
Somaiah: So first question is on the capex. Can you help us with the run rate? You said this year, it is INR 20,000 crores. How would it kind of move in the next 2, 3 years? And also, in terms of projects, if you can give

a broad split? Bina, where -- how much have we spent so far? How much is remaining? And for the greenfield, when will the capex start ramping up?
V.R.K Gupta: This year, our target for capex is around INR20,000 crores, maybe around INR17,200 crores is the direct investments, around INR2,700 crores is equity investment through our JV. Current year run rate, we are expecting around INR20,000 for Capex. But next year for '26-'27, we are expecting the capex will be INR25,000 crores. And in the subsequent year, we are expecting around INR30,000 crore. So from there actually the peak capex for Bina refinery will happen.
In other words, this year INR20,000 crores, next year INR25,000 crores and subsequently it will reach INR 30,000 crores. Broadly, the major capex investment will go for CGD and our Mozambique expansion and Brazil expansion and for expansion & petrochemicals. These 3 are major areas our capex allocation is going to happen.
And current year out of INR20,000 crores capex, we have allocated around INR5,900 crores for refineries and pipelines around INR2,400 crores. And marketing INR5,600 crores we have allocated, out of which INR 2,500 crores is for RO expansion. This is the broad capital allocation for this year.
Somaiah: Sir, one question. So this INR20,000 crores, INR25,000 crore and INR30,000 crores, within this, are we including anything for the greenfield or greenfield will come at a later stage?
V.R.K Gupta: AP refinery we've not yet included anything because once FID approved by the Board, then we will have the scheduled capex plan. But otherwise, whatever numbers we are giving, this is excluding the AP refinery project.
Somaiah: Got it, sir. Sir, also on your crude sourcing, you did mention about the Russian crude sourcing change Q-o-Q. If you could just help out with these other crude sources, let's say, Q3 versus Q4. Broadly, what was the mix change there?

V.R.K Gupta: Q3, Russian was 34% and Q4 it is 24% and from Saudi Q3 19% and Q4 is 21%, slightly 2% increase. And Abu Dhabi 18% to 16%, 2% down. And Iraq is around 10%. And Oman Q3 is 1% and Q4 is 7%. And US WTI Q3, it was 13%, whereas Q4, it is only 5% because this percentage varies every quarter on quarter depends on what is commercially viable and which crude is available.
For example, if the Russian crude discounts are better and more crude is available, we would be taking more Russian crude. If WTI discounts are available commercially, which is feasible for the refinery and which gives more value to the refinery accordingly, we take those sources. These sources varies every quarter-on-quarter.
Somaiah: Sure sir. The detailed breakup is quite helpful, sir. Just one small clarification on the petchem margin, gross margins that you said at EBITDA level would be positive, sir? At gross margin, you said INR579 crores. At the EBITDA level would it be positive ?
V.R.K Gupta: EBITDA level positive EBITDA level definitely positive.
Moderator: The next question is from the line of Vikash Jain from CLSA.
Vikash Jain: Sir, I have 2 of them. Firstly, on Mozambique, now that the project is possibly looking like it's coming back to life. What -- assuming that the July time line holds in terms of work starting? Could you please kind of give a sense of how things are likely to progress in terms of timeline? We're looking at how many trains by when they are likely to come? Also, we have to find fresh contracts or the old MOUs are still relevant valid plus very broad guess on how much is the cost escalation gone for the project?
V.R.K Gupta: Most of the contracts in the project side, it is valid as on date. And every contractor they have agreed and the major contractor, they have given notices to the subcontractor to restart the work any point of time. So, on the project side, the contracts are valid. On the sales side, all SPAs are valid. Certai

n SPAs have been revised, but some quantities, the operator has taken the commitment.

So on the SPA side also, there is no issue. On the project financing side, the major lender has also agreed US EXIM Bank. They have initially committed $4.7 billion. In the month of March, US EXIM Bank also, they have agreed for continuation of the project finance. So all the 3 are intact now any time they can restart the work.
And project timelines, the operator is still committed. Operator is confirming they can complete the project by July 28. That was the original schedule in the recent days what they have announced. Maybe we'll have to wait and see after the restart of the project, they may give the revised schedules if any changes are there.
Vikash Jain: And likely capex inflation, you would...

V.R.K Gupta: Initial project is approved at $15.4 billion. But after that, 1 year back, operator has indicated the revised costing will be around $19.4 billion. That was the latest estimation they have given.
Vikash Jain: That's for how many trains; that's 10 million tons?
V.R.K Gupta: 2 trains, 2 trains.
Vikash Jain: 9.6 million tons, right?
V.R.K Gupta: 13.1, 6.5 and 6.5 each.
Vikash Jain: Sorry, okay. 6.1 and 6.1, that's 12…?
V.R.K Gupta: 6.5, 6.5, 13.1 million tons.
Vikash Jain: 13 million tons, okay. And sir, just on this -- you're currently at about -- on Russian crude, you said about 24% is where you are. Now with crude prices themselves at $60 or so, the Russian crude price is now well below the cap and all of that. How does that really change pricing over there? Does that automatically since it is below the cap, it can be sold more freely without -- with less of trouble and less of the worries on insurance, et cetera? Does that typically impact the discount on Russian crude? I mean does it take it down, I mean over this period?
V.R.K Gupta: If the Russian crude is available less than the price cap, then there will be more buyers. So definitely, what we are expecting, there may be a reduction in the discount. But as on date, still discounts are there, $3 discounts are there. But definitely, new buyers are coming for Russian crude, even in fact, recently that Turkey is buying more Russian crude and Syria is buying more crude from Russia.
So the availability for Indian buyers slightly, it has reduced. That was the reason in the last quarter, it was 24%. But slightly this quarter, it has improved. We are expecting out of total throughput, maybe 30% to 32% Russian crude, we will be able to process in the coming months.
Vikash Jain: And sir, just last thing on -- and I'm cognizant of the fact that you do not -- you do not calculate inventory losses separately. But just for our understanding, since GRMs have been and the premium to Singapore has also been so volatile in the last few quarters, you clocked about $9 this time. In the current market environment, how should we -- I mean, are you in that ballpark even today in terms of how things have changed?
Because we are a little surprised from $5.6, how things have jumped to $9 where Singapore hasn't really changed that much. So I mean, just to kind of get a sense, is the current kind of margins tracking something similar? Or of course, there could be an element of inventory loss, which would have come up in April, but yes.
V.R.K Gupta: Reasonably, the spreads are good. Even today also, the spreads are hovering at good level and Russian product is available. Only everything depends on Russian discount. If Russian discounts

are still continued at $3, $3.5, refining margins will be better because our throughput of Russian is almost 34%. Other than that, everything is same.
Our yield is around 84%, the diesel volume weightage is higher. Everything is same. No major changes. Just inventory, there may be so

me cargoes of old inventory may come into this particular quarter, 1 or 2 cargoes. I don't know exactly what would be the impact. Otherwise, things are normal only.
Moderator: The next follow-up question is from the line of S Ramesh from Nirmal Bang Equities.
S Ramesh: So in terms of the impact of the increase in excise duty, which has been absorbed by the industry, how would it impact your marketing inventory accounting? And secondly, if you look at the CGD business once again, is it possible to tell us what will be the delta in terms of EBITDA over FY '26, '27? Will it be meaningful or will it be more like FY '28 in terms of the forward estimates?
V Srividya : So this revision which happened on the excise duty was post 31st of March. And hence, it will

not have any impact -- at least it did not have any impact on the results of the 31st of March. So
this is only a post-April event, and hence, that does not have any impact.
S Ramesh: No, I was asking more about the current quarter or for FY '26.
V.R.K Gupta: Because the sales price is the same, whatever excise duty additional excise duty we have
absorbed to the extent the margins will be lower.
S Ramesh: And on the CGD business?
V Srividya: CGD business, what was your question on the CGD business?
S Ramesh: So we just wanted to get an idea in terms of what is the delta in terms of EBITDA for the
company from the stand-alone GAs in FY '26 and '27? And when do you see that making a
meaningful impact in terms of your results?
V.R.K Gupta: See. As of date, the EBITDA contribution from the gas business is not very significant because
still we are in the capex mode and expansion mode. But we are getting volumes this year. So
EBITDA contribution wise is not very significant. Only we have to wait and see maybe '27, '28,
we are -- that is when we're expecting our entire MWP to be completed.
And significant volumes will come so that we can have a significant EBITDA contribution from
'27, '28 onwards. However, in terms of the volume, around 2.3 million metric ton of business we
have carried out either directly in our GAs or in our retail outlets of other GAs, including the
bulk sales. Not significant this year.
Moderator: The next question is from the line of Kirtan Mehta from Baroda BNP Paribas Mutual Fund.

Kirtan Mehta: After the write-off, what are the carrying value for the Mozambique project in our books? And
what is the capex that we will have to contribute after the project start? Could you also remind
on that?
V.R.K Gupta: For Mozambique, the total investment already, we have made $2.3 billion, somewhat INR
19,000 crores we have invested. And we have to invest around another $2.1 billion for the next
couple of years. Majorly, the investment comes through project financing mode. So with this,
the total investment in Mozambique will be $4.1 billion. Our impairment is against our
investments. These investments are in various locations, not only Mozambique, it will be Brazil,
Mozambique, Russian and UAE, 4 major investments. Against investments put together, there
will be impairment. Individual investment wise carrying value we will share it separately.
Kirtan Mehta: Sure, sir. And could you also update on the project status of the Brazilian project? When is the
FDP likely to get approved? And what are the activities which has happened there?
V.R.K Gupta: Tender, they have floated, but tender is still not yet completed. Maybe June, July, they are
expecting the tender will be opened. After that, maybe the FID will be approved.
Moderator: The next follow-up question is from the line of Sabri Hazarika from Emkay Global Financial
Services.
Sabri Hazarika: So 2 questions. Firstly, on Mozambique, like you mentioned $2.1 billion. So that is the gross
capex of which there will be a debt component, right? So that would be like around 70%. So
from your side, the equity wil

l be like, say, 25%, 30% of debt, right?
V.R.K Gupta: Right, right.
Sabri Hazarika: Okay. And regarding your LPG losses, so Q3 to Q4, the losses that you've reported is not that
significant, given the fact that Q4, the contract prices have gone up seasonally. So did the
company do some strategy in terms of like optimizing LPG sales volume, something of that sort
because it's coming INR3,100 crores, INR3,200 crores only for both the quarters. Have you done
something to restrict the losses or something of that sort?
V.R.K Gupta: No, no, similar trend, similar trend. Maybe it depends on the volumes, maybe more or less
volume would be there but otherwise, formula is same only.
Sabri Hazarika: Because one of your peers, I think they have reported much higher almost 20%, 25% increase
in LPG losses Q-o-Q.
V.R.K Gupta: It depends on the volume only. Maybe I don't know exactly others volumes, but it depends on
the volume only. Otherwise, same CP based formula only. Sale price is same across the industry
and the CP based landing is same for across the company.
Rahul Agrawal: So Sabri, the CP has been almost around 620, 630. That has been the range in the last 6 months.

V.R.K Gupta: And there is no big window for LPG for any optimization, doing any optimization.
Sabri Hazarika: Got it. And given the fact that oil has corrected to 60. We have seen LPG held up quite strong,
even the June contract prices are now just down $5. And there has been reports that because of

the US tariffs and all, there's a big like readjustment, which is happening on the LPG flows. So what is your assessment in terms of Arab Gulf, LPG versus US LPG and in order to like reduce your own cost of buying LPG and thereby reducing your under-recoveries?

V.R.K Gupta: Most of the LPG is on term contract, maybe AG based only, Arab Gulf based only. Yes, we are seeing a little bit opportunity in terms of US LPG. We are expecting a $20, $30 per metric ton opportunity in case if we can do any optimization from AG to US. We are exploring certain cargoes where we can do the optimization. Wherever it is possible, we are reporting the suppliers and do the optimization. So we are trying to do some cargoes under this optimization, shifting AG cargoes to the US based cargoes. So it will be share of $20, $30.

Sabri Hazarika: $20, $30 net benefit, including freight and everything you are getting?

V.R.K Gupta: Right. Right.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Varatharajan Sivasankara from Antique Stock Broking for closing comments.

Varatharajan Sivasankara: You mentioned 340 outlets added during the year. So as of now, like, what will be the net number in terms of our own CGDs based like CNG stations and the total like CNG stations, including the other GAs as well?

Rahul Agrawal: So we have total 2,370 CNG stations as on 31st March '25. So about 840 are in our own GAs and about 1,530 are in the retail outlets in other GAs - other companies.

Varatharajan Sivasankara: This 800-odd number, what you're referring to is like 20-odd GAs that we have.

V.R.K Gupta: That's correct.

Varatharajan Sivasankara: Fair enough. So I would like to thank the management and the participants for taking time out to join today's call. Always a pleasure to have you. Thanks again, and have a nice day.

V.R.K Gupta: Thank you.

Rahul Agrawal: Thank you.

Moderator: On behalf of Antique Stock Broking Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

"Bharat Petroleum Corporation Limited Q1 FY '26
Earnings Conference Call"

August 14, 2025

MANAGEMENT : MR. V. R. K. GUPTA – DIRECTOR (FINANCE), BHARAT PETROLEUM CORPORATION LIMITED
MR. PANKAJ KUMAR – EXECUTIVE DIRECTOR, CORPORATE FINANCE, BHARAT PETROLEUM CORPORATION LIMITED
MS. SRIVIDYA – EXECUTIVE DIRECTOR (CORPORATE TREASURY), BHARAT PETROLEUM CORPORATION LIMITED
MS. CHANDA NEGI – GENERAL MANAGER (PRICING & INSURANCE), BHARAT PETROLEUM CORPORATION LIMITED
MR. BALAGIRISH J. – SENIOR MANAGER (FINANCE), BHARAT PETROLEUM CORPORATION LIMITED
MODERATOR : MR. VARATHARAJAN – ANTIQUE STOCK BROKING LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Bharat Petroleum Corporation Limited Q1 FY '26 Earnings Conference Call hosted by Antique Stock Broking Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vartharajan from Antique Stock Broking Limited. Thank you and over to you, sir.

Varatharajan: Thank you. A very good morning to everyone. I would like to welcome all the participants and the BPCL senior management team to this call.

We have with us Mr. V. R. K. Gupta - Director (Finance); Mr. Pankaj Kumar - ED (Corporate) Finance; Ms. Srividya - ED (Corporate Treasury); Ms. Chanda Negi – GM (Pricing and Insurance) and Mr. Balagirish – Senior Manager Finance.

I would like to hand over the call to Bala for the disclaimer and then opening remarks by the team.

Balagirish J: Thank you, Mr. Varatharajan. Good morning, everyone. On behalf of the BPCL team, I welcome you all to this post-Q1 Results Con-call.

Before we begin, I would like to mention that some of the statements that we would be making during this concall are based on our assessments of the matter and we believe that these statements are reasonable. However, their nature involves a number of risks and uncertainties that may lead to different results. Since this is a quarterly results review, please restrict your questions to the Q1 results.

I now request our Director Finance, Mr. V. R. K. Gupta, who is leading the BPCL team for this call to make his opening remarks. Thank you and over to you, sir.

V. R. K. Gupta: Good morning, everyone. Welcome to the post-Q1 Results Concall. Thank you for joining us today. I hope you were able to go through our Results for the quarter.

On the macro side, global growth prospects have strengthened with the IMF in July 2025, upgrading its 2025 forecast to 3% and India's FY '25 growth outlook to 6.4%, reflecting resilient trade activity, robust domestic demand and sustained reforms. While the recent August 2025 US tariff measures introduced a degree of uncertainty, the underlying momentum in consumption and investments continues to support a positive medium-term outlook.

RBI has retained GDP growth forecast at 6.5% for the current fiscal in its latest MPC meeting, citing strong domestic demand and economic resilience. Despite risks posed by recent US tariffs, it expressed confidence that ongoing trade negotiations will help ease these pressures.
In Q1 FY '25-26, the rupee appreciated 1.2% quarter-on-quarter to 85.56 per USD from 86.62 in Q4, driven by strong foreign inflows, a weaker USD and easing geopolitical tensions. However, it now trades near historical lows amid US-India tariff concerns and sustained FPI outflows. After weakening to 87.79 USD on August 5, it recovered slightly on a softer USD ahead of US-Russia talks.
IEA forecasts global oil demand to increase by 2.5 million barrels per day between 2024 and 2030, with demand expected to reach 105.6 million barrels per day by 2029, followed by a slight decline in 2030.
Within this context, India is projected to be the largest contributor to demand growth, with its oil consumption rising by 1 million barrels per day at an average annual rate of around 2.8%, outpacing all other countries during this period. Oil prices have remained volatile amidst the recent tariff announcement and a series of OPEC plus production hikes. As per EIA's latest projection, Brent is likely to be 67-68 barrels in 2025. Domestic petroleum product demand grew in Q1 w

ith petrol by 7.1%, diesel 2.6% and ATF up by 3.9% as per PPAC.
Coming to the performance in Q1 of 2025-26:
On the operations side, our refineries processed 10.42 million metric tons of crude, achieving 118% of nameplate capacity. We have achieved a distillate yield of 84.96%, consistently above benchmark, owing to our complex refinery configuration and strong operational efficiencies. Product crack for gasoline was $9.88/barrel and for gas oil $15.81/barrel for Q1 during this period. Accordingly, our refineries recorded a GRM of $4.88 per barrel in the current quarter, as compared to $7.86 per barrel in Q1 of 24-25.
BPCL has always been evaluating crude grades from across global geographies, selecting those that maximize value in line with refinery configuration and product demand. In the current environment of narrowing discounts for Russian crude, the company's agile sourcing strategy has enabled procurement of alternative grades from Brazil, the US, West Africa and other regions guided by economic and market conditions, and maintaining a competitive edge in crude selection.
On the marketing side:
Our domestic market sales grew by 3.19% year-on-year during this quarter to 13.58 MMT. Further, as compared to Q4 of 24-25, we recorded a growth of 6.6% in MS and 3.2% in HSD in Q1. During the quarter, we commissioned 317 NROs and 99 CNG stations, taking total RO

network to 23,958 and CNG stations network to 2,607 stations. We aim to expand our RO network to 25,000 by the end of this current financial year.
We maintained our leadership in throughput per RO at 153 KL per month for Q1 2025-26, outperforming the PSU average, driven by strategic market access and strong highway presence.
In a positive development for the OMCs, the Government has announced Rs. 30,000 crore compensation towards the under-recovery and sale of domestic LPG, which is expected to be paid in different tranches. With further details awaited on the payout, BPCL’s total negative buffer before the impact of the said compensation is Rs. 12,523 crore as of June ‘25-26. We have not yet accounted anything against this particular compensation announced.
Through our industry-first digital initiative of a QR code-based payment mechanism at our RO-Ufill, which embodies our commitment to transparency and convenience. We have covered 15,000 plus retail outlets with a daily 6 lakh transactions valued at Rs. 30 crore per day. AI-driven IRIS platform is an intelligent system that enables us to remotely manage retail outlet operations, safeguarding both quality and quantity at the outlet. IRIS is activated at 19,000 retail outlets. Across businesses, BPCL is advancing digital transformation using real-time data under several initiatives to streamline operations, reducing turnaround time and enhancing customer experience.
In line with Government's energy security agenda and efforts to reduce import dependence through biofuels, ethanol blending levels of BPCL for Q1 25-26 stood at 19.62%.
Under the gas business, we have achieved a total sales volume of 338 TMT, 9% on quarter-on-quarter basis during the year, for CNG, PNG and bulk sales in our own GAs. Further, through our retail channels, we have sold 269 TMT in Q1 25-26. We also received our first cargo, under

long-term supply agreement with ADNOC linked to Henry Hub Index in Q1 25-26, diversifying our long-term sourcing strategy beyond Brent-linked term contracts. We added 839 EV charging stations during Q1, taking total network to 7,402 of EV charging stations.
Updates on new projects:
Bina Petrochemical and Refinery Expansion project, has made steady progress, achieving overall progress of around 14%, as against a schedule of 15.9%. We have incurred expenditure of approximately Rs. 1800 crores, with overall commitment of Rs. 6,800 crores. All technology licensors and consultants are onboarded, and proces

s packages for all units received and front-
end engineering design has been completed. Detailed engineering and procurement are underway, with tenders for critical equipment and EPC packages floated, and key long-term items such as ECU compressor and furnace packages have been awarded. Site enabling works are also nearing completion.
Further, as a step towards digitization, we launched Digi-BPREP, our industry-first digital platform for the project, enabling real-time progress monitoring and enhanced transparency. In

our Polypropylene project at Kochi, we have achieved a physical progress of 12.2%, as against a schedule of 16%, with an expenditure of Rs. 260 crores and overall commitment of Rs. 1,200 crores. Licensor selection and basic design engineering activities have been completed. Order for 6 major long-lead items have been placed. The EPC tender which is the major activity for the PP unit is underway.
The Board has also recently approved the Petro-Residue Fluidized Catalytic Cracking Unit and associated facilities at Mumbai Refinery, at a gross capital cost of Rs. 14,200 crores, with expected mechanical completion by May 2029. The project will replace the old CCU and FCC units at our Mumbai Refinery, which are over 40 years old. This will help MR achieve residue upgradation, increase transportation fuel production, provide flexibility of processing higher proportions of high-sulfur crudes, and reduce environmental impact, thus also increasing overall yields of BPCL group refineries.
During the last year, the Board has approved Rs. 6,100 crores towards pre-project activities, including land identification and acquisition, feasibility studies, and environmental assessment for the Greenfield refinery cum petro chemical complex in Andhra Pradesh. Detailed feasibility study of the project is in progress. Land acquisition is also in progress.
On green energy:
BPCL has awarded contracts for setting up 100 MW wind farm projects, 50 MW each in Madhya Pradesh and Maharashtra, as part of its strategy to transition to renewable energy and reduce reliance on imported fossil power. The LOAs have been issued to M/s Suzlon Energy Limited and M/s Integram Energy Limited with completion and commissioning targeted within 2 years.
As informed to you earlier, based on the approval in the previous quarters, BPCL has constituted joint venture NeuEn Green Energy with Sembcorp Green Hydrogen Private Limited for setting up renewable energy and green hydrogen assets.
Two projects, Ground Mounted Solar Project at Prayagraj and Integrated Green Hydrogen Plant and Hydrogen Refueling Station in Kochi are expected to be commissioned during the next 2-3 months. We have prioritized setting up of 26 CBG plants, out of which 10 in direct investment, the location has been identified and activities have commenced. Further, 16 CBG plants are proposed to be set up through our joint venture Bharat GPS Bioenergy Private Limited and the proposed JV with Praj Industries.
Let me now guide you through the financial highlights for the quarter:
The revenue from operations stood at Rs. 1,29,578 crore, the standalone profit after tax stood at Rs. 6,124 crore and the consolidated profit after tax was Rs. 6,839 crore.
Against, an estimated CAPEX of Rs 20,000 crores during this financial year, we have spent about Rs. 2,382 crores during Q1.

Our standalone net worth as on 30th June 2025 is Rs. 87,377 crore. The earnings per share for the quarter is Rs. 14.33 per share.
As of June '25, the debt equity at standalone gross borrowing level is Rs. 0.12. Overall, standalone gross borrowing is Rs. 10,709 crore as on 30th June 2025. Against which we have current investments including surplus funds in oil bonds of about Rs. 17,580 crore, placing us at a net surplus on a standalone basis. At

group level, debt equity is 0.44. With gross borrowings
of Rs. 39,452 crore, debt equity ratio net of current investments at group level will be around
0.25.
This concludes my comments and we will be happy to take your questions now. Thank you.
Moderator: Thank you very much. We will now begin the question-and-answer session. The first question
is from the line of Probal Sen from ICICI Securities. Please go ahead.
Probal Sen: Very good morning, sir. Thanks for the opportunity. Just to clarify the last bit that you just
mentioned, on the group debt level, you said the group debt equity ratio on gross is 0.4 and what
was the debt level at group level, sir? I didn't catch the number?
V. R. K. Gupta: It is Rs. 39,452 crores at group level debt.
Probal Sen: Rs. 39,452 crore and on a net level, it is around 0.25. That is what you said, sir?
V. R. K. Gupta: Yes. We have surplus funds invested around Rs. 17,580 crore.
Probal Sen: Understood. So I had a few questions. First was, you mentioned that due to the uneconomic
nature of Russian crude, we have procured from other sources. So can you just quantify what
the Russian crude percentage was in this quarter and also the inventory impact, if any, if you can
quantify for this quarter in the GRM?
V. R. K. Gupta: This quarter, Russian crude procurement is around 34% for April, May, June quarter. In terms
of inventory levels, we have kept a little bit more inventories in the month of March, April
because of geopolitical issues and concerns. So our inventory levels are on a slightly higher side.
In March 2025, our total quantity of crude oil and inventory levels is 2.9 MMT whereas
generally, we keep around 2.3-2.4 MMT. But this quarter, March and as well as June also, our
inventory levels are around 2.9-3 MMT levels of crude.
Probal Sen: And what does that translate to, sir, in terms of dollars per barrel impact in this quarter GRM?
V. R. K. Gupta: So, per barrel impact, we generally do not calculate. Generally, against normal standard
inventory, around 22%-25% extra inventory was kept.
Probal Sen: Understood, sir. The other question I had, sir, was if we look at this quarter numbers, despite the
decline in Q-o-Q, I am talking about on a sequential basis versus Q4, your GRMs have declined

quite sharply. And while retail fuel margins were fairly strong, even then the marketing earnings
seem to be very robust in this quarter, given the inventory loss also that was there. I just wanted
to understand, is this strength only from retail fuels or other product margins have also seen
some strength in this quarter?
V. R. K. Gupta: Mainly retail fuels only. Other products marketing margins are at standard level, normally same
levels. There is no big change in terms of marketing margin. But retail fuels definitely on account
of low crude prices and there is no change in the RSPs, our margins are better and LPG losses
have also came down.
Probal Sen: Right, got it, and the lower LPG losses would have. Sir, LPG on a per cylinder basis, what is the
kind of loss you have seen last quarter and right now, if you can just let us know?
Chanda Negi: For the month of July, it is around Rs. 100 per cylinder and going forward, July-August and
going forward, September, it is around Rs. 30.
Probal Sen: And what was it in Q1, ma'am?
Chanda Negi: Q1 is around Rs. 150 per cylinder.
Probal Sen: Last question, if I can squeeze, if you can give us the CAPEX guidance for FY '26 and FY '27?
V. R. K. Gupta: FY '26, our estimated Capex is Rs. 20,000 crores. Till June, we have spent around Rs. 2,300
crores. The progress is going on well. By the end of this year, we achieve this Rs. 20,000 crores
and phasing way, next year, we are expecting around Rs. 20,000 to Rs. 25,000 crores. We have
not firmed up the numbers, but we are estimating around somewhere Rs. 22,000 to Rs. 25,000
crores.
Probal

Sen: Right, sir. Thank you so much. I will come back if I have more questions.
Moderator: Thank you. The next question is from the line of Yash Nandwani from IIFL Capital. Please go
ahead.
Yash Nandwani: Thanks for the opportunity. Sir, the Bina Refinery reported GRM of only $4.5 per barrel in this
quarter, which is notably lower than its usual trend of outperforming the Kochi Refinery. So is
it just because of lower Russian crude and inventory losses or are there any specific reasons for
the same?
V. R. K. Gupta: Major reason is our inventory build-up has happened during this month due to the geopolitical
issues. So definitely, there is an impact of high inventory carrying cost in the subsequent months
processing. That is the major reason. Otherwise, Russian crude, in terms of the percentage of
Russian crude, there is no big change. Maybe every quarter-on-quarter, maybe 2%-3% here and
there it happens, but otherwise similar trends. And discount, Russian crude discount, compared

to earlier quarters, it has come down to almost $1.5 level. Maybe these are a couple of reasons. But major impact is an account of inventory build-up.
Yash Nandwani: And sir, with now crude prices now trending below $70 per barrel and OMC is also getting the compensation for LPG, are there any discussions underway regarding a cut in the auto-fuel prices?
V. R. K. Gupta: No. At this point of time, there is no discussion at all. If you see, still the geopolitical tensions are still uncertain. We don't know how the trend will change suddenly. We have to wait and see for some more time.
Yash Nandwani: And lastly, with respect to Mozambique asset, could you walk us through the expected timeline for the restart?
V. R. K. Gupta: We are expecting this quarter. Definitely, there should be some positive news. Because whatever the revised project cost, we are requesting the Mozambique Government to consider the revised project cost for allowing that expenditure. That audit work is going on. Maybe by the end of this month or next month, we are expecting certain positive news.
Yash Nandwani: Thanks a lot.
Moderator: Thank you. The next question is from the line of Yogesh Patil from Dolat Capital. Please go ahead.
Yogesh Patil: Thanks for giving me an opportunity, sir. Sir, what is your understanding on LPG compensation, which will be in 12 tranches? Is it a 12-month or some other time period? My second question is, how much share of LPG compensation you will account in FY '26 and FY '27? If you give some kind of clarity on this matter?
V. R. K. Gupta: Whatever information available through PIB, OMC has got Rs. 30,000 crore grant. We are awaiting the operating modalities, how the compensation mechanism happens. We are awaiting any communication from the MOPNG, we have not received any communication, whether it is over a period of 12 months or a period of 24 months. Exactly, those details are not available at this point of time. Once we receive the details, then accordingly we can share what is the impact of that. Otherwise, market share point of view, BPCL, we are expecting at least 25%-26% since we have the market share. So our compensation should be within the same level of market share percentage. That is what we are expecting for BPCL.
Yogesh Patil: Sir, my second question is again on the debt side, a sharp decline in the gross debt. Considering the EBITDA of this quarter Rs. 9,600 crores and the CAPEX lineup of Rs. 20,000 crores and the next year is little bit higher, any particular net debt to EBITDA or debt to equity levels we are targeting for the next few years considering our CAPEX is on the rising mode?

V. R. K. Gupta: We are not expecting any significant rise of debt equity even when we are seeing the peak CAPEX is going to happen in FY '27-28 and 28-2

9. Our expected debt equity will be around 1
because those years are where your cash inflow is lesser than your cash outflow in terms of CAPEX investments. But once the projects are commissioned, then subsequently the new cash outflows will come. Again, we are comfortable at 0.4-0.5 level of debt equity. So maybe subsequent to the project commissioning, we will come back to that 0.4-0.5 level of debt. That is where actually we are comfortable. This year and next year, since our CAPEX is reasonably at Rs. 20,000-Rs. 22,000 crores level, so we are not foreseeing any good improvement in the debt equity. Same levels of debt equity we can maintain 0.1-0.2 levels.
Yogesh Patil: And the last one from my side, what was the Russian crude share during the Q1? Sorry, I missed that part. And are we facing any issues on the financial payments related to Russian crude?
V. R. K. Gupta: No. At this point of time, since the prices are low only below the threshold price, so there is no issue in terms of the payment side. And our crude procurement from Russia side is around 34% during the 1st quarter. Only slightly it has reduced in the last month, but we are expecting again the flows will come back at normal level of 30%-35%.
Yogesh Patil: So it is expected that it will remain in the range of 30%-35% for the remaining period of FY '26?
V. R. K. Gupta: That is what we are expecting. As long as there is no new sanctions on Russian Oil, so our procurement strategy will be around 30%-35% of Russian crude.
Yogesh Patil: Thanks a lot, sir. This was really helpful.
Moderator: Thank you. The next question is from the line of Vivekanand from Ambit Capital. Please go ahead.
Vivekanand: Yes, hi. Thank you very much for the opportunity. I have two questions. So the first one, the impairment of Rs. 1,773 crores that has brought down your carrying value in BPRL to around Rs. 4,500 crores. Is that how one should infer it or was there any other subsidiary or joint venture where there was an impairment? That is question one? The second question is on your gas SBU. So some of the other players in the gas space, they are consolidating their gas assets. If I look at your gas vertical, you have the erstwhile BGRL and now being part of BPCL as an SBU. And

then you have shareholding in several large CGD entities, some of which are also carrying out investments. So I just want to understand from your perspective, you are going to invest a lot of money in the gas vertical. But let us say to shine some spotlight on that and perhaps for investors to get more comfort on the value creation that is happening, what are the steps you are taking? Because we understand there are three listed entities, right, there is Petronet, there is IGL. These are two prominent gas entities, but there are several others that are in varying stages and perhaps investors view gas more positively than oil companies. So valuation is higher there. Is there any concerted effort for you to look at the gas vertical any differently than the current structure and your broad thoughts there will help? Thank you!

V. R. K. Gupta: Yes, rightly, you said our focus in gas is significantly higher as compared to other fuel station. And we have a very good amount of capital allocation for gas. Mainly, our first strategy is to complete our minimum work program in terms of completing the CNG stations and PNG connections and whatever minimum kilometer length pipeline infrastructure we have to create. That is where our first focus is. In terms of certain JV investments, certain companies already we have listed. And couple of companies which has reached a stage where we can look for listing of those particular JV companies. So that is where actually initially we are thinking now one of the JV MNGL. We have given in principle approval for listing of this particular company and submitted our prop

osal to the Ministry and DIPAM. We are waiting for that. In terms of consolidation, we are not at that particular stage at this point of time. We have to reach a particular scale and we can look at the consolidation. We are also looking at it. There are some small JV companies. Instead of keeping the small JV companies, maybe consolidation is the right choice. We are working on it, but we have not concluded anything on this, but that exercise is going on.

Balagirish J.: And one more question was on BPRL impairment.

V. R. K. Gupta: Yes, on BPRL impairment, whatever impairment we have done in March '25 holds only this quarter. There is no further impairment. But in our entire impairment, the major portion is BPRL only. Other JV company investments impairment is very small, maybe Rs. 10-Rs. 15 crores where certain JV companies we are in the process of liquidation. But other majority portion of our impairment is mainly on account of BPRL.

Vivekanand: So the current state is that you still are quite confident of the carrying value of, sorry, Rs. 60 billion. I said wrongly initially. It was around Rs. 6,000 crores. So you are confident of that value remaining intact given the continuous delays in Mozambique?

V. R. K. Gupta: Right. Every year we do the impairment testing. Whatever is acquired, based on the circumstances and the particular reporting date, whatever additional impairment is required, every year we are providing. As of March '25, as per the impairment working, that is what is valid.

Vivekanand: Thank you very much and all the best.

Moderator: Thank you. The next question is from the line of S Ramesh from Nirmal Bang Equities. Please go ahead.

S Ramesh: Thank you and good morning and congratulations on your performance. So I have two broad questions. One is in your consolidated accounts, the JV share of earnings have gone up. So what has driven that? And to look at the segment results, there is a huge increase in the profits. In fact, there is a turnaround from loss to profit of Rs. 890 crores in the E&P business. So what is the reason for that? And then I have a few questions on the CNG business. So if you can address these two thoughts, then I will go to the CNG business?

V. R. K. Gupta: So this time, our group has given an incremental profit after tax of around Rs. 800 crores. Mainly, it is coming from Bharat Petro Resources, around Rs. 450 crores they have contributed in the group. The main profit after tax generation in BPRL is mainly on account of currency fluctuations. This particular quarter, the ruble against rupees is significantly appreciated, where some of our funds are parked in rubles only, because we are not in a position to take the money as dividend moved to India due to some taxation issues and certain controls. So that was the reason on account of ruble appreciation against dollar, this quarter significant currency fluctuations have happened. Positively, BPRL has generated a good amount of profit. And all other JV companies have performed well.

S Ramesh: So on the CNG business, in terms of the standalone numbers you shared, can you give us the number of CNG stations operating in the standalone GAs? And what was the number for the volume of CNG sales in the standalone stations for 4th quarter 2025 and 1st quarter 2025?

V. R. K. Gupta: Total stations 2464 of CNG stations in our network, which they are selling the CNG. And whereas the volumes, we have 339 TMT in our own GAs, plus through our retail outlet, we are selling at 269. Around 600 TMT we have sold gas from our own GAs as well as through our retail outlet network.
S Ramesh: Yes. So can you give the corresponding number for the standalone GAs in last year, 1Q 4th quarter 2025, just to understand the progress?
V. R. K. Gupta: That we will share separately.
S Ramesh: So if you look at the numbers, there seems to be

some traction in terms of positive EBITDA. So are we right in assuming that on this kind of run rate, we are already achieving some profits in your results in your standalone numbers?
V. R. K. Gupta: I am not clear. Can you repeat?
Management: EBITDA contribution from the CNG GAs.
V. R. K. Gupta: EBITDA generation is in the expected lines only. Once our infrastructure investments are completed, full volumes we are expecting. Otherwise, till date, we are getting only every year, maybe 120-130 TMT of sales through our CNG network. Once that entire CNG commissioning happens, then a good amount of volumes will come. EBITDA margins are as expected lines only from the gas.
S Ramesh: So on the depreciation run rate, now you have increased about Rs. 200 crores this quarter. So in terms of the capitalization on the CNG stations, what would be the total assets capitalized as on date in the CNG standalone GAs?
V. R. K. Gupta: As on date, it will be around Rs. 7,900 crore in the entire gas business we have invested.

S Ramesh: Thank you very much and wish you all the best.
Moderator: Thank you. Next question is from the line of Hardik Solanki from ICICI Securities. Please go ahead.
Hardik Solanki: Thanks for the opportunity. Sir, just want to know, as you said that we have processed 34% of the Russian crude. But still, if I look at the high sulphur percentage of the total crude, it has gone 200 basis points down. So can you just explain what has dropped the high sulphur crude processing?
V. R. K. Gupta: No, there is no specific reason because based on the product demand, we may take a little bit low sulphur grades. So WTI grades are a little bit more on the consumption side. That is 1% down in terms of high sulphur consumption. Last quarter it was 77%, whereas this quarter it is 76%, small change. Quarter-on-quarter, it may vary around 1% or 2% here and there.
Hardik Solanki: That is helpful.
Moderator: Thank you. The next question is from the line of Siddhesh Jain from Axis Capital. Please go ahead.
Siddhesh Jain: Thank you, sir, for the opportunity. Sir, I wanted to know how the unit economics work at the charging stations and how much EBITDA level it will be contributing in FY '27?
V. R. K. Gupta: If you ask me in terms of financial contribution, very insignificant. So investments also around Rs. 250-Rs. 300 crores, our total capital outlay in terms of this infrastructure creation because we have received a good amount of subsidy from the Government of India also. So the investment size is around Rs. 300 crores. We are not expecting very big EBITDA from the EV charging station, but only it gives a convenience to the customers, whoever is coming to our forecourt, whatever fuels they want included in the charging station, it is available at the retail outlet. If you ask me the total, maybe we can expect Rs. 10 crore or Rs. 15 crore of EBITDA from EV charging station.
Siddhesh: Also, the unit economic front, sir, is that something how much?
V. R. K. Gupta: Unit economics, if you ask me in terms of the number today, we are having 2% capacity utilization. So there is no profit generation from this particular thing now, because we have to wait and see, because we have to create infrastructure first, then once the vehicle population goes up, maybe in the subsequent next 2-3 years onwards, maybe there may be some good volume. Otherwise, today it is only 2% of capacity utilization.
Siddhesh Jain: Thank you.
Moderator: Thank you. Next question is from the line of Vikas Jain from CLSA. Please go ahead.

Vikas Jain: Hi, sir. Thanks for taking my questions. Firstly, your debt number is clearly a great surprise. This is the lowest debt number we have seen in at least 15 years or so, or even more. I just wanted to understand this Rs. 13,000 c

rore kind of a move down, how part of it would be, of course end
of the year excise duty and other linked payments that you have to make in advance. So part of that will be because of that. Where is the others coming from? Yes, of course, there is the cash profit that you have generated, but is there a release from working capital, which is perhaps a bit temporary or something like that? Where is this Rs. 13,000 crore decline coming from, broad breakups, if any?
V. R. K. Gupta: If we compare from March ‘25 and June ‘25, there are two major changes. One is definitely excise duty, because end of the year, we have to pay in the month of March, whereas during the year, you have 7 days’ time, maybe in the subsequent month, you can pay. That is around Rs. 7,000-Rs. 8,000 crores. And secondly, due to the low prices of inventory, even similar volumes, we are maintaining the value of the inventory is coming down around Rs. 3,000 crore. So it is release of the working capital to the extent. These two are the major reasons. Other current liabilities, financial liabilities, more or less, it will be in the same range. And second, by end of the year, for example, if we receive that LPG subsidy, maybe in the next 1 or 2 months, definitely, it helps a lot in terms of cash flow. So we are not expecting any big debt equity levels will go as long as crude is around $65-$70.
Vikas Jain: So your estimate, sorry, I am not sure if you repeated that, what is your estimate of the Rs. 30,000 crore that you would receive?
V. R. K. Gupta: 25-26 in between. Exactly, we don't have the number now. Once the communication from the ministry, then we will come to know. But otherwise, as per market share.
Vikas Jain: Rs. 7,500-Rs. 8,000 crores, basically?
V. R. K. Gupta: Maybe Rs. 7,500-Rs. 8,000 crores in the range.
Vikas Jain: Just one more thing. So other income is uncharacteristically high for 1st quarter number. Is there anything that is happening here? Because typically, the other quarters are higher?
V. R. K. Gupta: Mainly surplus funds. We have a good amount of surplus funds and we have made fixed deposit, one-year fixed deposit, which is at 7.5-7.8 level. During the March, we have made that investment. So that is the reason, mainly interest income only.
Vikas Jain: There is no real one-off or anything like that?
V. R. K. Gupta: No, nothing. This is only surplus funds.
Vikas Jain: The small forex gain, but that is very small. Will part of other income now?
V. R. K. Gupta: We don't have any foreign currency borrowings. Whatever it is, crude payments are related.

Vikas Jain: Understood. And should I say that for CAPEX, FY '26, you said is Rs. 20,000, FY '27, you said would be slightly higher, but FY '28 would be the biggest number of Capex?
V. R. K. Gupta: Yes. We are expecting around Rs. 34,000 crores FY '28, and 28-29 around Rs. 35,000 crore. Based on the current approved projects, in case if any new projects are added, the Capex numbers will vary. However, based on the current approved projects, FY '26-27, we are expecting around Rs. 20,000-Rs. 25,000 crore. But FY '27-28, we are expecting Rs. 35,000 crore and FY '28-29 also in the range of Rs. 35,000 crores.
Vikas Jain: Thank you so much, sir. Those were my questions. Thank you.
Moderator: Thank you. The next question is from the line of Mayank Maheshwari from Morgan Stanley. Please go ahead.
Mayank Maheshwari: Sir, thank you for the call. A few questions more from a marketing perspective on fuels. One in terms of diesel, especially on retail diesel, can you just tell us how your market share has trended on retail diesel? And the second question was in terms of industrial side, obviously, I think there is a reasonable amount of competition. Can you just say what is going on subjectively from a competition perspective? And how does the recent regulatory changes on ATF pi

pelines impact
you from a market share perspective on jet fuel? Thank you.
V. R. K. Gupta: One is HSD retail side, our market share during this quarter is 29.59. Compared to previous quarter, slightly it is a reduction side. And HSD direct, yes, we are facing a good competition from the private sector. Private sector has given good amount of discounts in the market, but we are not participating in the discount game. A little bit, we are behind in terms of diesel growth in direct segment. But however, it is only temporary. Once the margins are settled, this discount game will not be there. We are expecting our market share will come back even in the direct business also. So in terms of aviation, our market share during this quarter is 26.51. Last quarter, it was 21.78. But we have come back and we have taken back our own volumes from other customers and we are back to 26.51.
Mayank Maheshwari: And sir, does this change in the opening of the pipeline network impact you in terms of competition at all on ATF?
V. R. K. Gupta: Nothing. We are not expecting any big change in terms of any policy in terms of the pipeline. Whatever captive pipelines we have, even if there is any change in the policy, we are objecting because captive pipelines should be with respect to refineries only. Let us see how it happens.
Mayank Maheshwari: Got it. Thank you.

Moderator: Thank you. The next question is from the line of Kishan Mundra from DAM Capital. Please go ahead.

Kishan Mundra: Hi, sir. Just one question from my end. Sir, whenever this geopolitical tensions settle down and whenever you move back to daily fuel price revisions on petrol and diesel, sir, what is your estimate of what would the normalized margins look like on petrol and diesel?
V. R. K. Gupta: Today, I cannot say when the daily pricing is going to happen and other things. So everything depends on the crude prices, how the crude prices move. What we can see is that as long as crude prices are at 65-70 range, our margins will be better. So there is no standardized margin for MS & HSD in this scenario. It all depends on the crude prices. If the crude prices are on lower side, as long as our pricing RSPs are not changed, so our margins will be better. So if crude prices go beyond 70 or 75 level once it reaches, there is a little bit of pressure it creates on the margin. But what would be the standard margin? We cannot comment at this point of time because we are not in a daily pricing mode.
Kishan Mundra: Not now, sir, but let us say, theoretically in 3-6 months down the line, crude prices are at 60 and you move back to a situation where there is a daily pricing which is possible. In that scenario, can you guide us to what could the margins look like? Would it be Rs. 5, Rs. 4, Rs. 6 a liter?
V. R. K. Gupta: No, with this large CAPEX programs in hand, if the standard margin is around Rs. 2.5-Rs. 3 level, also we are comfortable.
Kishan Mundra: This Rs. 2.5-Rs. 3 you say, this is after deducting freight transportation?
V. R. K. Gupta: After expenses, everything. This is a net retention.
Kishan Mundra: Understood. Thank you.
Moderator: Thank you. The next question is from the line of Somaiah V from Avendus Spark. Please go ahead.
Somaiah V: Thanks for the opportunity, sir. Sir, my first question is on LPG under-recovery. So when we book LPG under-recovery, does this also include the normal marketing margins that we would have made? So for instance, if we say Rs. 100 is the under-recovery per cylinder, so this includes the normal margins that we should have or it is just that Rs. 100 is the break-even requirement and this normal margin is not included in that?
V. R. K. Gupta: No, when we calculate any under-recovery that is beyond our margins. Our margins we calculate on the margins plus whatever is actual under-recovery, actual under-recovery. So whate

ver
money it comes back, that is beyond our margin.
Somaiah V: So let us say, we get a Rs. 100 hike, so that will compensate or bring us back to the normal level of margins.
V. R. K. Gupta: Right. This under-recovery is including the margin.

Somaiah V: Understood. The second question is on the CAPEX. If you could give some break-up in terms of segments for this Rs. 20,000 crores this year and the Rs. 20,000-Rs. 25,000 crores next year and also an update on the Bina project?
V. R. K. Gupta: Yes. Currently, Rs. 20,000 crores, approximate around Rs. 6,500 crores we are going to spend in Refinery plus Petrochemical projects. And marketing side around pipelines Rs. 1,400 crores and RO expansions including the CNG network around Rs. 4,000 crores. Out of CGD, we are going to spend around Rs. 1,385 crores and BPRL this year, we are expecting around Rs. 2,500 crores of equity investments and LPG including the cylinders or marketing infrastructure, we are creating around for Rs. 2,000 crores. This is a broader break-up for Rs. 20,000 crores for 2025-26 and for 2026-27 similar level refinery plus petrochemicals around Rs. 11,000 crores we are going to spend and BPRL equity requirements for next year will be around Rs. 2,500 crores and CGD we are going to spend around Rs. 2,200 crores and marketing initiatives including the RO expansion and whatever marketing infrastructure related depots and installations will be around Rs. 6,000 crores. So overall, next year we are expecting around Rs. 22,000-Rs. 25,000 crores range.
Somaiah V: Helpful, sir. So this refinery and petrochemicals which we are seeing around Rs. 6,500 crores, this will predominantly be for Bina and also Bina progress in terms of completion and the CAPEX that has been earmarked so far and how much we have completed?
V. R. K. Gupta: Yes, Bina 14.2% we have achieved. On Capex - Rs. 600 crores PP at Kochi we are going to spend by end of this year and Bina, we are going to spend around Rs. 4,600 crore cumulative by end of this year for Bina.
Somaiah V: Sir, one clarification in the opening remarks, you did mention about an upgradation CAPEX in Mumbai refinery. Could you help us, any timelines around it when the project is expected to

start and some final details on that?
V. R. K. Gupta: Yes, our board has approved this project during this quarter. The mechanical completion by May 2029, this is that expected schedule timeline. This is having two parts, one is replacement of existing FCC and CCU unit with an upgraded version of Petro RFCCU. So it will have residual upgradation also. The total capital outlay will be around Rs. 14,200 crore on gross. We are expecting May 29 is the scheduled date commissioning.
Somaiah V: And work on this will start which year?
V. R. K. Gupta: Work has started already. Work has started. We are in the process of appointing the PMC. We are working on the license selection. Initial work has started.
Somaiah V: Got it, sir. Thank you.

Moderator: Thank you. The next question is from the line of Achal Shah from Ambit Capital. Please go ahead.
Achal Shah: Sir, am I audible?
V. R. K. Gupta: Yes.
Achal Shah: Sir, wanted to understand bit about the lubricant business. So can you give a sense of the lubricant volumes, EBITDA, EBITDA margin and market share for FY '25? Also, wanted to understand like what is the volume uptake we saw after the 2023 promotional scheme? How has volumes increased after that?
V. R. K. Gupta: EBITDA numbers, individual product wise we cannot share EBITDA number, but volume wise, this April to June we have total volume of 78.7 TMT, we have sold, other than retail. Last year, it was 83.4%. Slightly, the lubes volumes are de-grown by 6%. Mainly, there are certain technical issues in our lube oil blending plant, so that was the r

eason the production is a little bit
lower as compared to the plant production. So current quarter, it is 78.7 TMT lubricants.
Achal Shah: Sir, would it be possible to share the FY '24 and ‘25 numbers volume at least?
V. R. K. Gupta: Yes, we will share it.
Achal Shah: Sir, my second question is on as you mentioned that BPCL is doing like the best throughput per outlet OMC, but like we are lagging the private retailer on a throughput per outlet basis, so is it because of the high outlet count which OMCs have compared to the private players or is there any other way to look at it if they have more share of highway outlets or like can you make sense of this data?
V. R. K. Gupta: This quarter, they are getting good volumes mainly because of the high margins they are in a position to pass on a little bit more discount to the customers. So that discount game, we have not participated in the discount games, right. In some of the markets, we have extended certain schemes, but not in all the markets. And secondly, their concentration is mainly on certain areas, their concentration is not there in the rural segment. That may be one reason their RO volumes are comparatively better. But since we are a large organization presence across India, we have every market we have our presence including the rural segment, ABCD market, highway market, everywhere we have our presence. So it cannot be comparable per RO volumes with private sector and PSUs. So what we can compare is that within the PSU so where do BPCL stand.
Achal Shah: Understood. Sir, just one last question is like on the OMC trade margins, so on a per kg or per scm basis what is the trade margins which OMC outlet charges to the CGD like IGL, MGL when they are supplying gas, like on BPCL retail outlet?

V. R. K. Gupta: That will be around Rs. 2 per kg only. The retailer margin is around Rs. 2 per kg only where we are selling CGD in their GAs, the retailer margin is around Rs. 2.
Achal Shah: Sir, like that will be the margin which BPCL is earning or?
V. R. K. Gupta: Retailer whoever is retailing, the retailer will have, like BPCL if we are retailing in our forecourt, then we will get that margin.
Achal Shah: Understood. Thanks, sir.
Moderator: Thank you. The next question is from the line of Sucrit Patil from EyeSight Fintrade Private Limited. Please go ahead.
Sucrit Patil: Good afternoon to the Bharat Petroleum team. I had a specific question for Mr. Pankaj Kumar. So is Mr. Pankaj Kumar online?
Pankaj Kumar: Yes sir, I am there.
Sucrit Patil: Yes sir. Good afternoon, sir. My name is Sucrit Patil. I just want to understand a forward-looking question on regards to capital allocation. As BPCL is expanding its footprint in EV charging, biofuels and hydrogen, how is corporate finance evolving its capital deployment philosophy to support these new verticals and is there a shift towards the platform-based valuation models or

any JVs or partnerships that could unlock non-linear returns beyond the traditional refinery and marketing metrics?

Pankaj Kumar: Thank you for the question. I think the broad breakup of the CAPEX plan already Director Finance has shared. We have a broad roadmap of major projects which have already been announced about Rs. 1.5 lakh crore and you would have observed that we have actually been generating good cash flows from our existing operating business and that is giving us a good strength for funding these projects going forward. We are having very comfortable debt equity at this stage. So there are projects actually, some of these refinery project which we are going to do in our existing refineries will be on the balance sheet of BPCL and that would be with a debt equity of about up to 1:1 we are comfortable. At the same time, there could be projects that we would be taking up which would be in the joint venture format also, both orga

nic growth
potential as well as inorganic particularly in the new business areas like renewable, etc. So we are also planning to put up a CBG plant, 26 CBG plant in which we would have some, which would be direct investment project and some will be put up through JVs, about 16 will be put up through JVs. So therefore in both these cases, projects which are being put up on our own balance sheet strength, we have considerable leverage available at this point of time and we would be able to sustain that given that phased manner in which these projects are being implemented and the joint ventures also, our proportionate capital allocation will be considerably modest in that sense because the partnership also will be contributing and there would also be particularly in renewable etc., we would be actually be putting up on a high debt equity particularly renewable.

And we are targeting good IRR for all these projects in the range of 12%-15%. So therefore, we expect this to be quite comfortably funded from a capital allocation perspective.

Sucrit Patil: Great sir. Thank you very much for the guidance and I wish you the best of luck and looking forward to hear you on the next Q2 concall. Thank you very much.

Moderator: Thank you. Ladies and gentlemen, we will take this as the last question for today. I would now like to hand the conference over to Mr. Varatharajan for closing comments.

Varatharajan: Yes. Sir, if you have any closing comments, please go ahead, Mr. Gupta.

V. R. K. Gupta: We hope we have replied for all the questions. If anything is pending, our team will share the information.

Varatharajan: Great, sir. I wish to thank all the participants and the management of BPCL for patiently answering all the questions. Thank you, everyone and have a nice day. Thank you.

V. R. K. Gupta: Thank you.

Moderator: Thank you very much. On behalf of Antique Stock Broking Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2026

“Bharat Petroleum Corporation L imited
Q4 FY '2 6 Earnings Conference Call ”
May 20, 202 6

MANAGEMENT : MR. V.R.K. GUPTA– DIRECTOR FINANCE – BHARAT PETROLEUM CORPORATION LIMITED
MR. PANKAJ KUMAR – EXECUTIVE DIRECTOR , CORPORATE FINANCE – BHARAT PETROLEUM CORPORATION LIMITED
MR. ASHISH GOYAL – CGM CORPORATE TREASURY – BHARAT PETROLEUM CORPORATION LIMITED
MS. ANUYA VATSAL THAKAR – DGM FINANCE – BHARAT PETROLEUM CORPORATION LIMITED
MR. BALAGIRISH – SENIOR MANAGER , FINANCE – BHARAT PETROLEUM CORPORATION LIMITED

MODERATOR : MR. VARATHARAJAN SIVASANKARAN – ANTIQUE STOCK BROKING

Moderator: Ladies and gentlemen, good day, and welcome to Bharat Petroleum Corporation Limited's Q4 FY '26 Earnings Conference Call hosted by Antique Stock Broking Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions aft er the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that thi s conference is being recorded.
I now hand the conference over to Mr. Varatharajan Sivasankaran from Antique Stock Broking Limited. Thank you, and over to you, sir.
Varatharajan S .: Thank you, Michelle, and very good morning, everyone. It's my pleasure to welcome all the participants on this call as well as the BPCL senior management for the fourth quarter FY '26 BPCL's Results Conference Call. With us we have Mr. V.R.K Gupta, Directo r Finance; Mr. Pankaj Kumar, ED, Corporate Finance; Mr. Ashish Go yal, CGM Corporate Treasury; Ms . Anuya Vatsal Thakar, DGM Finance; Mr. Balagirish, Senior Manager, Finance. I request Mr. Gupta to deliver his opening remarks.
Balagirish J : Before we join the call with Gupta sir, let me just briefly start with the statement. Thank you, Mr. Varatharajan. Good morning. On behalf of the BPCL team, I welcome you all to the post Q4 results con call.
Before we begin, I would like to mention that some of the statements that we will be making in today's call are based on our assessment of the matter, and we believe that these statements are reasonable. However, their nature involves a number of risks and uncertainties that may lead to different results. Since this is a quarterly result review, please restrict your questions to the Q4 results. I now request our Director Finance, Mr. V.R.K. Gupta, who is leading the BPCL team for this call to make his opening remarks. Thank you, and over to you, sir.
VRK Gupta : Good morning, everyone, and thank you for joining the call today. I hope you have had an opportunity to review our results and earnings release uploaded on the exchanges. As you are all aware, we are meeting in turbulent times amid ongoing tension in West Asia, driving both global and domestic economies through an uncertain phase. There has been major disruption in the global energy supply chains with impact seen across all sectors and geographical segments. Crude and product prices, which remained broadly range bound for much of FY '25 -'26, witnessed heightened volatility towards the end of the year and disruptions to flow through the Strait of Hormuz. Forex fluctuations and geopolitical developments continue to remain the key drivers for energy markets.

Against this backdrop, we have continued to demonstrate operational resilience across our refining, marketing and infrastructure businesses, while remaining firmly committed to supporting India's energy security objectives and ensuring uninterrupted fuel a vailability across the country.

Although we witnessed short -term spikes in demand due to panic reactions, resulting in initial disturbances in market supply, we have been managing the situation to ensure sufficient supply security in close coordination with OMCs under the able guidance o f MoPNG. I'm happy to

share with you that despite mounting challenges amid the ongoing crisis, we have ensured smooth supply of all essential petroleum products, MS, HSD and LPG across the country.

While our financials for FY '25 -'26 have been strong since the large impact of the war is not fully realized in Q4 due to timing differences. Q1 '26 -'27 is going to be a challenging period.

Let me now take you through the operational and financial highlights for the quarter and the year.

Refiner ies - Even during th

e recent war situation, we continue to maintain crude supply security through flexibility in crude sourcing by diversifying procurement strategy and the ability to process multiple crude grades across geographies.

We have increased our Russian crude procurement from 25% in Q3 to 31% in Q4, and it continues to increase fill up our supply gaps in the light of the current situation. Further, we have diversified to 8 new grades of crude during the year, covering 4 geographical regions. I would also like to assure stakeholders that crude supplies have been secured through July 2026.

Our refining business delivered a resilient operational performance during the quarter, supported by optimized crude sourcing, robust refinery operations and disciplined execution. During the year, our refineries operated at 116% of utilization with refine ry throughput of 41.15 MMT, which is highest ever and distillate yield of 84.54%, reflecting the strength and complexity of our refining portfolio. Our gross refining margin for the year 2025 -'26 stood at USD11.74 per barrel.

On the marketing side, our business continued to maintain healthy momentum driven by steady demand growth across retail and commercial fuels. During the year, our overall domestic sales volume stood at 54.18 million metric tons at an overall growth of 3.5% , with petrol sales growing by 5.7% and diesel by 1% and ATF is 11.4%.

BPCL continued to maintain leadership in throughput per retail outlets among PSU peers with average throughput of 143 KL per month in Q4 '25 -'26, strengthened by strategic marketing access, strong highway presence and continued focus on customer experience and retail productivity. In the retail segment, we continue to expand our customer and infrastructure footprint during the year. BPCL commissioned 1,691 new retail outlets during this year, taking the overall retail network to 25,323 outlets.

Our EV charging network expanded to 6,823 stations, while the CNG network increased to 2,650 stations, achieving network leadership in CNG among PSUs. Digital customer engagement initiatives, including the SBI BPCL Octane Card and UFill continue to witness strong customer adoption and engagement. Further, in our allied retail businesses like Apna Ghar, BeCafe, Wayside Amenities, In & Out Stores, we continue to strengthen nonfuel offering through the expansion of convenience and customer -focused formats acr oss our network.

The latest April retail market share, we have achieved MS 30.02% and HSD 29.61% in retail segment. On the LPG segment, as of March 2026, the cumulative negative buffer towards LPG compensation stood at INR12,319 crores. This is after accounting for the 5 installments received

from Government of India from November 2025 against the announced compensation of INR7,594 crores. Our gas business continued to deliver strong growth momentum during the year.

The annual sales volume stood at 2.29 MMT, registering a growth of 26.5% year -on-year, while the CNG segment in our GS recorded sales volume of 248 TMT, reflecting a robust growth of 62.1%. The business also achieved 100% utilization of the regasification capacity booking with Petronet LNG, the first since inception of LNG imports by BPCL.

Let me now update you on the progress of our strategic growth projects and long -term value creation initiatives. The Dearomatized Solvent project at Mumbai refinery with an annual capacity of 200 TMT was commissioned during Q4 FY '25 -'26. This first of its kind Make in

India initiative is an import substitution and strengthens our presence in the niche specialty products segment.
The Krishnapatnam Hyderabad pipeline, a 425 -kilometer 2.6 MMTPA multiproduct pipeline was commissioned in Q4 FY '25 -'26. The project strengthens efficiency and provides critical evacuation infrastructure for the upcoming projects while ref

lecting on our br oader focus on
logistics infrastructure.
Further, during the year, we commissioned 2 retail depots, 2 LPG bottling plants, 3 aviation fueling stations and 2 gas pipeline to strengthen supply and distribution capabilities. In addition, projects such as the Irugur -Devangonthi and Mumbai -Rasayani pi pelines are under implementation to further strengthen supply chain resilience and network connectivity.
We successfully commissioned 1G and 2G ethanol plant of 100 KL per day capacity, each at Bargarh in Odisha in October 2025 and March '26, respectively. The project is aligned with the national policy on biofuels aimed at enhancing energy security, reducing crude oil imports and promoting cleaner and greener fuels. As part of our Project Aspire growth agenda, I would like to provide a brief update on our key strategic projects.
The Bina Petrochemical and Refinery expansion project has achieved 23% progress against a planned schedule of 32% with INR4,700 crores incurred and INR25,400 crores already committed. The schedule variance is primarily due to geopolitical developments and associated supply chain challenges affecting the manufacturing and delivery. However, critical long lead items remain on track and all major packages h ave been awarded by February 2026.
Additionally, recent Middle East conflicts have impacted supply pricing and execution time lines. We are actively monitoring the situation and implementing mitigation measures to minimize the impact on overall time lines. For the Andhra Pradesh refinery cu m petrochemical project, which is proposed to be a 9 million metric ton per annum refinery and petrochemical complex, key preparatory activities are progressing as planned.
Environmental and technical studies have been completed, while detailed engineering and financial appraisal activities are currently underway. This project is supported by strong incentives from the state government of Andhra Pradesh. Other major projects including the PRFCC project at Mumbai refinery, the polypropylene project at Kochi and the POL and LOBS

installation at Rasayani are also progressing steadily in line with the planned commissioning time lines.
On the upstream segment, I'm happy to share the following updates. On the Mozambique block, on 7th November 2025, the operator informed the Government of Mozambique that force majeure has been resolved. The work has resumed in full swing and the first LNG cargo is expected by mid -2028. Presently, around 6,000 manpower is in the site and around 42% project schedules have been completed.
Further, on the BM -SEAL -11 Brazil project, the FPSO tender has been finalized and to be awarded shortly. And work has commissioned for development and first gas is expected by 2031 and '32. The FID has been approved by the operator. Also, through our SPV U rja Bharat Private Limited, the first oil discovery in the unconventional Shilaif play has been made in XN -76 well in the UAE. BPRL has also witnessed the oil discovery during testing of the exploration well, XN-79 02S in the Onshore Block 1.
Such positive developments are very encouraging and certainly a significant achievement for BPRL as an international operator. On the green energy front, we are advancing the renewable push with 251 -megawatt installed capacity and additional wind and solar projects under execution for 100 megawatts. The overall capital outlay for the projects under renewables is INR1,570 crores.
On an overall basis, we incurred a capex of INR20,400 crores. The capex target for FY '26 -'27 is INR25,000 crores. Our capital allocation approach remains under prudent and disciplined manner with continued focus on project execution, balance sheet strength and sustainable returns.
Let me now guide through the financial highlights for the quarter. The revenue from operations stood

at INR134,896 crores. The stand -alone profit after tax at INR3,191 crores and the consolidated profit after tax was INR5,625 crores. Our stand -alone net worth as on 31st March 2026 is INR95,233 crore. The earnings per share for the quarter is INR7.47 per share.
As of March 26th, the debt to equity at stand -alone gross borrowings level is 0.11. Overall stand - alone gross borrowings is INR10,480 crores, and we have current investments, including the oil bonds of about INR18,465 crores, placing us at a net surplus on a stand -alone basis. At group

level, debt to equity is 0.43 with gross borrowings of INR43,482 crores. Debt equity ratio was
net of current investments at group level is 0.25. Given prevailing uncertainties in global energy
markets, we will refrain from providing forward -looking guidance at this stage.
With this, I conclude my opening remarks and would now be happy to take your questions.
Thank you.
Moderator: Thank you very much. The first question is from the line of Probal Sen from ICICI Securities.
Please go ahead.
Probal Sen: Thank you for the opportunity, sir. First of all, congratulations on a great set of numbers. A
couple of questions around the performance. One, if we look at the derived refinery margin for

the fourth quarter, is it fair to say that there has been some inventory positive impact in the
refining numbers for this quarter, given the timing difference between stocks used and the way
prices have behaved? Directionally, at least, can we assume that there has been a significant
inventory impact in this quarter?
VRK Gupta: Generally, we don't calculate refinery inventory gain losses because our average inventory is
less than the cycle - purchase cycle. But when huge price fluctuation movements are happening,
that particular point of period, definitely, there will be some gain. But we can't exactly give any
guidance what would be the inventory gains. But definitely, inventory gains is helping the
refining margins in Q4.
Probal Sen: Sure sir. That's useful, sir. The second question was with respect to the supply mix. You already
alluded to the rising share of Russian crude in our overall supply, and that has helped us offset
the shortage from the Gulf. Can we get a sense -- a little b it more granular sense of what kind of
supply sources are now there in terms of crude that we have tied up till July, as you mentioned,
other than Russia, what are the other destinations?
VRK Gupta: We have WT I is one destination. We have tried - Venezuelan crude, we have tried. And even
Middle Eastern spot grades also available like Murban and other things, in the market. these are
all available. We have tested -- last year, I think, 4 new grades we have tested, Venezuela, Brazil
and Angola. And in spot, many of the grades are available, but major source is coming from
Russian only. Until July '26, when you see the numbers, the major source on spot is Russia.
But term, we have - beginning of the year, we have allocated for term around 55% of our
requirement. But we are not getting the full term, maybe around 45% to 46% of our term
requirements we are getting, even there are constraints in the Strait of Hormuz, but we are getting
--around 45% to 46% of term we are getting, around 10% shortage, that 10% shortage, we are
moving to spot. Otherwise, beginning of the year, we have planned for 45% for spot. Now it is
happening at around 55% - 60% spot.
Probal Sen : That's very useful, sir. If I can ask a small follow -up. We know that the crude assay or the API
and other nature of WTI in Venezuela is very different. So assuming that we have to rely more
on those sources, will it have a impact on our distillate yield g oing forward if the Gulf crudes
actually reduce even more?
VRK Gupta: No, definitely distillate yield will change. But at the same time, it will have a commercial

benefit
also. Net -net, we see what is the CAV value addition at refinery and what is our product demand.
Accordingly, we balance it out over the product based on t he product demand, what is the crude
requirement and what is the profitability we can optimize. But we cannot take directly -
Venezuelan crude directly, with blend only we can take. So accordingly, we are planning small
cargo sizes we can take and blend it with other grades and we take it to the refinery.
Probal Sen : Right, sir. One last question. In terms of the capex, you already mentioned the overall number
of INR25,000 crores. Can we get a little bit more breakup in terms of segments or key projects
that are there in FY27?

VRK Gupta: You see our major projects are mainly Bina petrochemical projects, okay? That is for Bina, we
are allocating for '26 -'27. Refinery plus petrochemicals, we have allocated around INR11,000
crores, out of which 2 major projects -- 3 major projects, polypropyl ene at Kochi, PRFCC at
Mumbai and Bina.
For these projects and regular capex for refinery around INR11,000 crores. And the marketing
initiatives, our new retail outlet expansion and infrastructure expansion and whatever supply
logistics side expansion, we have allocated around INR10,000 crores.
And BPRL, we have planned around INR2,250 crores of equity infusion for the ongoing

projects. And CGD network -- as a continuous expansion of our CGD network, we have allocated around INR 1,700 crores. Overall, put together, it is a INR25,000 crores capital allocation for '26 -'27.

Probal Sen : That is very useful, sir. Thank you for the time. I will come back if I have more questions.

Moderator: Thank you. T he next question is from the line of Vivekanand S. from Ambit Capital. Please go ahead.

Vivekanand S.: Yes, thank you for the opportunity. Two questions. The first one is on the impairment that you booked this quarter. Now in your opening comments, you have mentioned that the production in Mozambique, the construction activity is underway, and you expect first LNG from Mozambique in 2028, mid of that. So why did you take an impairment even after the construction started in Mozambique or restarted in Mozambique? That's question one.

The second one is on the retail fuel operations. Do you see the current environment as conducive for yourself to gain market share, given that some of the private players, which were looking to expand, maybe now they rethink due to the uncertainty in the m arketing side. Yes, thanks, those are my 2 questions.

VRK Gupta: Coming to the first question, the impairment in our upstream venture is mainly for Brazil venture, not for Mozambique. Mozambique, there is no incremental impairment during this year because the work is going on as per the schedules and 42% good progress h as happened. It is not warranted at this point of time any impairment for Mozambique project.

The major impairment is for the Brazil project. In fact, actually, the FPSO tender, almost it took 3 years to finalize the FPSO tender. That was the reason the project completion schedules have been further extended to 2031 -'32. The oil will come in '31 and gas will come end of '31 -- '31-'32 financial year.

Initially, we thought Brazil, the gas and oil will come around '28 -'29 financial year , since the project has been delayed by around 1.5 or 2 years. So when you discount the future estimated cash flow to the current value, it is warranted for impairment, assuming all other parameters are at the same assumptions. But since project delay is happening in Brazil, that was the reason there is a need for impairment.

And secondly, retail segment, based on the current context, whether increasing the market share is good or not, generally, we don't see on a temporary basis increase of

the market share because
in some point of time, whether retail customers, they may come here and other thing. But otherwise, as a long -term strategy, always we -- our endeavor is to improve our market share. So these are all temporary time period we have to face the challenges. But otherwise, our market share initiatives are only for long-term. Sometimes, yes, based on the current market conditions, market share can go up, but our endeavor is to sustain the market share even on a long -term basis.

Vivekanand S.: Thanks. Just one follow -up. As far as the carrying value of BPRL goes, now it's around INR4,100 crores. So is there any broad breakup that you can share of -- the split of this carrying value of INR4,100 crores across the key assets?

VRK Gupta: That we will share it separately. Main, that is what I'm saying, the impairment is coming during this year mainly for the Brazil block. Entire amount, whatever impairment, INR4,300 crores is only for the Brazil block. All other assets are -- there is no incremental impairment during this year.

Vivekanand S.: Okay. Thank you so much, and all the best.

Moderator: Thank you. We'll take the next question from the line of Mayank Maheshwari from Morgan Stanley. Please go ahead.

Mayank Maheshwari: Thank you for the call, sir. My first question was a bit on marketing again. I think you have seen almost pretty much a year of relative market share loss compared to the other peers. Any things that you kind of can suggest which will help you kind of reverse that? Obviously, right now, it's less conducive, but like over a more medium term, what is BPCL doing around that?

VRK Gupta: No. Our objective is there should not be any disruption in the supply chain. That is the first objective. So we have to continue supply to the market and no customer should suffer on account of nonavailability of the fuel. In terms of market expansion and market share expansion, it's a continuous exercise.

Our endeavor is to take at least 32% retail segment market share over a period of time. That was the reason many initiatives we have taken at the retail field. One is through expansion, network expansion is one strategy we have adopted and bringing more and more initiatives to give more convenience to the customers. So these 2 initiatives, ou r long -term strategy to take up our market share to around -- at least in retail 32% in a couple of years.

Mayank Maheshwari: Got it, sir. And I think the second question was more related to the upstream side. In terms of total investments in upstream, your share across all the portfolios and now that you have got some good discoveries as well, over the next 5 years, like how are you -- how is BPCL thinking in terms of capital allocation to upstream as a percentage of total capex?

VRK Gupta: Yes. We have 3 major projects in our hand, already discovered where exploration stage is completed. Now it is either the development stage has started and some work is completed. Let me explain one by one these projects.
One is the Mozambique, that is our flagship project, which is having a reserve size of around 70 TCF reserve size. The first phase, the development is happening only for 13 T CF. So out of which our stake is 10%. For that, already 42% is completed. And there is a few potential of future expansions.
Once this particular phase is completed, whatever cash flow comes, the first phase is mostly i t is under project finance. There is no equity commitment from our side for Mozambique. Whatever we have committed and invested, that is okay. And future, any investments are mainly from the project financing.
So there is no future capital commitment from BPCL side through equity. And subsequent phases, definitely whatever cash flow comes from the first phase first time, automatically, the cash flow is reinvested in the subsequen

t phases. So that is broadly abou t Mozambique. Coming
to the Brazil, the total project capex size is around $6.4 billion.
Pankaj Kumar : 2.8 is our share.
VRK Gupta: So our share out is around 40% means $2.8 billion. So maybe future, our capital contribution will be around $1.2 billion, we have to invest over a period of 3 to 4 years. And this is only in the field only one development. And there is a potential of anoth er development in the same field. Still the exploration and drilling had to happen.
But we are -- at least the initial estimation, we are feeling the similar size of reserves are available in another field also. So there is a good potential. But at this point of time, we cannot comment on that potential side. But whatever existing field in Brazil, the daily production of crude, we are expecting around 88,000 barrels per day, out of which 40% is through our joint venture IBV. And this is a good equity, the rights are equity, we can bring in India in case if we want here or we can market our crude rights wherever we want based on the commercial position at that point of time. That is the Brazil.
And the third one is lower Zakum -- through lower Zakum and upper Zakum blocks in UAE. Already producing block, it is giving good volume because India consortium is having around 10% of the stake in that. And another discovery we have -- just now we have completed during FY '25 -'26. Now it will go for the development plan and the activities will come there. The initial estimations, we are hopeful we have a good amount of reserves there and a good amount of extractable reserves. So once that plan is ready, then we will communicate to you.
And beyond that, we have certain producing blocks in India, but very small in size. Our plan is at least very long -term strategy, we are looking at it at least 6.5 million to 7 million metric ton of crude capacity we should have in our group balance sheet. That is our short -term target. So with these projects, we are hopeful we will reach that level.

Mayank Maheshwari: Very clear, sir. Thank you.
Moderator: Thank you. T he next question is from the line of Nitin Tiwari from PhillipCapital India . Please go ahead.
Nitin Tiwari: Hi. Good morning and thank you for the opportunity. Sir, my question is with respect to your key capex projects that you've undertaken. So if you, for our benefit, summarize what is the planned capex for the key projects that you are currently running, which is in Mumbai, Cochin and Bina refinery? And is there any relook at that amount, given the sharp depreciation in INR? That is my first question.
Related to that is, given that this year, we are facing a fair amount of challenge in terms of our operating cash flow. So is there any relook at any of the capex programs? And continuing on that, how do we see our debt -to-equity ratio changing? I mean, wi th the perspective on current operating cash flows that we are going to generate, given the scenario we are in and the capex we have in front of us. So that would be my first question.
VRK Gupta: So let me explain our 3 major flagship projects. One is Bina Petrochemical Complex. The total project cost is around INR49,800 crores, out of which only the foreign component will be around

INR6,500 crores. So even if there is any foreign fluctuation, the impact on the foreign component is limited. Maybe even a 10% depreciation, the initial estimations of INR6,500 crores, maybe INR6,000 crores, INR7,000 crores on account of foreign exchange fluctuation on that component, it happens. But all other components in the project cost is INR denominated.
And around INR25,000 crores tenders have been awarded on fixed price contract, so that there won't be any price impact on that -- whatever already awarded projects. Maybe around 20% to 25% of project work we are yet to award. There may be

a small impact, but we are hopeful
whatever approved project cost -- within plus or minus 10% we have approved, we are hopeful within that limit, we will be in a position to complete. But let us see next 1 or 2 years, how the things will happe n, what will be the inflation and other things, we have to wait and see. But at this point of time, if you ask whatever approved number within plus or minus 10%, we will be in a position to complete the project for Bina.
Coming to polypropylene at Kochi refinery, almost 85%, 90% of the project contracts have been awarded. There is -- we have initially approved at INR5,000 crores plus or minus 10%. Based on the current estimation, we'll be in a position to complete the project at that level only. So there won't be any price escalations.
And the third project is PRFCC at Mumbai refinery. Last year only, we have approved. The work has just started, the licens or selection and BDEP is going on. At this point of time, we are not foreseeing any major cost escalation at this point of time. Maybe once we reach to the next year, at least a 30%, 40% progress if we see, then we will come to know whether is there any price escalation indica tions are not there. These 3 are our major projects in India.
And all other capex allocations, these are all short -term projects, maybe 1 year or 2 years, these projects can be completed either pipeline or infrastructure depots and other things. We don't

foresee any major price escalations. Only even the steel and material prices goes up, the component is small.
We are hopeful as per the original estimated numbers with plus or minus 10%, we'll be in a position to complete. And other upstream side, whatever projects already we have explained, Brazil, the revised cost we have approved at our Board level, subject to the government approvals. And Mozambique also, we have approved at Board level and 42% project has been completed. We are hopeful within the approved project cost that project also can be completed.
So this is overall our project side and the price impact on the project side. Second, when it comes to, when you say, the balance sheet, how do we manage the cash flows and other things, we have a very strong balance sheet. Even March '26, if you see, even we have a capex of around INR20,000 crores we spent last year, still we could maintain our debt to equity at 0.11 stand - alone and 0.25 at consolidated af ter netting up our investments.
This year also, we are expecting INR 25,000 crores capex, and we may cross INR25,000 crores, maybe INR26,000 crores, INR 27,000 crores at the end of the year if things are going smoothly. Even with this also, we are not foreseeing any big jump of debt equity provided once the crude prices settle.
So how things will move in the next couple of months, not sure. But we are hoping whatever challenges today, we are facing, it is only short term. But once things will settle, once the war and blockade is removed at Strait of Hormuz, the supply side become s normalizes, then we are hopeful by at least July, August, the price stability will come and normality can come back. So we're not foreseeing any big stress on the balance sheet.
Maybe, yes, short term, there may be a stress out because cash flow mismatch has happened. So we have to take certain borrowings during this period. But end of the year, we are hopeful. Let us wait and see how the things will move. Long -term debt to equity , we are projecting by all planned capex , we are not expecting the debt to equity will go up beyond 1:1 at group level. That is our expectation. Once the projects are completed, then definitely the new cash flows will come from the new projects, then maybe in another couple of years, the debt to equity can come back to normal level. Always, we see debt to equity should not cross at 1:1 at peak level. And generall

y, we are comfortable to maintain at 0.3, 0.4 level debt equity.
Nitin Tiwari : Thank you, sir, for the detailed answer. Sir, my second question is also related to the first one. So as you pointed out, we do have a supply challenge because of the disruptions in Middle East. But at the same time, we also have like cash flow challenges stemming from the pricing basically restrictions that we have over here.
So I mean, in that backdrop, I mean, and this is more of a hypothetical question. Is there any thought among OMCs to switch back to a regulated regime. At least in the regulated regime, we

used to get back our like under recoveries that were there in petro l and diesel. At this moment, while technically, the products are deregulated, but at the same time, there are severe under recoveries as far as our assessments go, but there is no roadmap for recovery of those under recoveries. So any thoughts on that, si r?

VRK Gupta: Let me explain. You know LPG is already a regulated product. So whatever under recoveries in LPG, definitely, we are hopeful some sort of support comes from Government of India, like earlier, government always supports for LPG. In terms of other products, we feel it is a short -term challenge. It's not a permanent challenge.
So we have seen this situation even earlier also. Even in Russia -Ukraine war also we have seen. So we feel it is a short -term challenge. Definitely, we'll come back to the normal scenario. Wait and see.
Moderator: Thank you. We'll take the next question from the line of Sarthak Tita from DSP AMC. Please go ahead.
Sarthak Tita : Hi sir. Many congratulations on a good set of results. I just have one question. So on the marketing front, majorly on fuel availability side, we have been reading that there have been some shortages or some changes into the working capital structure for the deale rs. So just wanted to check from you as to if there are any changes that you have made or you are reporting any shortages in some highways or few far -fetched fuel pumps. Any c larity on that would help a lot?
VRK Gupta: So there is no shortage of fuels. Even if you see our refinery side, the operations are continuing at 118% of refinery capacity utilization. That means crude is available, crude is continuously coming here, our refineries are operating very well. Even in t he sales also, when you see the sales last year, almost 3.6% growth, which is much higher than normal expected growth of 2.5%.
So whatever market demand is there, we are continuously catering the market needs.
And second, some credit , in terms of the credit , our policy, still we are continuing extending the credit to the dealers. So there is no stoppage of credit to the dealers. Whatever credit policy based on the requirements, some controls and other things, we extend the credit. But only thing in case if the money doesn't come back in time, if there are any defaults with the customers, then definitely, there will be some restrictions on extending the credit. We give the credit, but within 3 days or 4 days, once they collect the cash, they have to pay back to the company. So if there is any defaults, then those customers, we put a control.
Sarthak Tita: Okay got it that helps thank you so much.
Moderator: Thank you. We'll take the next question from the line of Sabri Hazarika from Emkay Global Financial Services. Please go ahead.
Sabri Hazarika : Good morning. So 2 questions. Firstly, so there has been a press note , press article where it has been mentioned that I think it's quoting the management saying that current Russian crude share for BPCL is around 40%, 45%, the discounts are also at $6 to $8 per barrel versus $12, $13 per barrel. So do you confirm this?
VRK Gupta: One is percentage, yes, definitely, recent period, the Russian cargo percentage has gone up. Last year, Q4, it was 3

1%. But whereas the current period because most of the supply on spot basis, only Russian grades are available and more. So Russian product offtake is, and I said around 40%, 41% in the recent time we have taken. In terms of the discount and premiums, daily it changes, okay?

So last year, it was in a discount scenario, Russian crude. This year, it is a premium scenario. So it depends. Demand -supply situation or what are the sanctions on Russian cargoes. If there is no sanction, it's a free market. If there are sanctions, then tight market.
So it depends on the market trends. So I cannot say it is available at discount, and this will vary. Discount presently, it is not available at discount at least I can say that.
Sabri Hazarika : Okay. Got it. And secondly, regarding your inventory position right now, so how much crude stocks, LPG stocks, product stocks are there at the moment for the company?
VRK Gupta: Generally, we keep crude stocks around 25 to 27 days, maybe sometimes 1 or 2 days higher because we are preferring keeping higher inventory levels. Maybe 31st March '26, the crude inventory is 27 days. Last year, it was 26 days. Maybe some point of time, m aybe 1 or 2 days extra is there additional cargoes in case if we take it, maybe 28, 29 days. But otherwise, we can keep this level only. We cannot keep beyond 30 days because we don't have any storage also tankage.

Sabri Hazarika : Right. And product and LPG?
VRK Gupta: Product number of days last year, March '25,,it is 25 days. This year, March '26, it is 24 days. More or less same, similar range, we keep it.
Sabri Hazarika : Okay. And LPG?
VRK Gupta: LPG every day it changes. So today, if we get one cargo, then number of days coverage will be higher. So maybe 3, 4 days, maybe the cargo is consumed, then the number of days comes. So it is a challenge. So we are getting the LPG, we are catering the needs .
So generally, we are comfortable at this point of time to keep around 15 to 20 days coverage. But sometimes it may be lesser than 15 days coverage. Sometimes if we get good cargoes, then it will be more.
Sabri Hazarika : Got it thank you so much and all the best.
Moderator: Thank you. We will take next question from the line of Bineet Banka from Nomura. Please go ahead.
Bineet Banka : Hi sir thanks for the opportunity. Firstly, on from what I read from the media report, the Russian crude sanctions will expire by mid -June. It has been extended by 1 month and you said that you have booked your supplies till July and most of it will be coming from Russia. So is there a risk of shortfall, given that there is a possibility that these sanctions will not be extended?
VRK Gupta: Let me explain, Russian crude is not sanctioned any time. Only entities have been sanctioned, okay? Whereas Iran crude is sanctioned. So once crude is not sanctioned, you have a right to buy from non -sanctioned entities. Even before the war also, we used t o continue to buy Russian crude from the non -sanctioned entities. There may be supply from the non -sanctioned entities.

So during the waiver period, you can buy Russian crude from any party. During lapse of the waiver period, you can buy only from the non -sanctioned entities. So always, we keep that controls. Whatever Russian crude we buy, always it is from the non -sanction ed entities, either the cargo vessel owner or port or the supplier, those parties should be non -sanctioned entities.
Bineet Banka : Okay. Very clear, sir. Second question on LPG under recovery. From what I understand from HP and IOCL that under recovery currently is ar ound INR670, INR 680 per cylinder. And if you look at the Saudi CP price, it ha s gone up to like $800 per ton .
And if you try to plug in this, the number which we a rrive at is much lower t

han INR 680. So
what exactly changed in the calculation? Is there a higher spot premium over the Saudi CP because the sourcing mix has also changed from th e Middle East to country like US , Venezuela. So again, there will be some higher logistic cost as well.
VRK Gupta: You rightly said. Actually, these 2 are the additional components. One is the logistics cost, definitely. Pre -war level, the freight cost, world scale is around 50, 55 level. Now the world scale has gone up to INR600, INR 700. So the peak level. This is one component, freight cost is really increased.
And the second component, when we say Saudi CP, it applies only to the term contract. If term is not available, when you go to the spot market, sometimes you have to pay a premium of $300, sometimes $20 0. When you take cargoes from US , definitely, the freight rates will be very high because the transit period itself is to and fro will be almost 90 days. So when you engage your time set up for 90 days, definitely, the freight cost will be higher. So these are the 2 components, if you ad d it, your actual un der recovery will be around INR 650.
Bineet Banka : Sir, have we signed any long -term LPG contracts from sources other than Middle East? And what could be the benchmark for that?
VRK Gupta: Last year, the industry has signed around 10% of our requirement LPG for US supplies. That supplies have been started. The benchmark will be Saudi CP plus or minus $10, $15 only. Either in a particular month, maybe Saudi CP landing cost may be minus $10 or sometimes it may be plus $10, depends on the freight rate. That was the term we have signed 10%.
But spot now recently, we have started taking spot also, LPG spot also from US supplies by sending our time charter vessels there and bringing the LPG. So there, definitely, the landing cost will be higher as compared to term what we have signed.
Bineet Banka : Okay, sir. Last question, sir, on refinery side, can you give some kind of number around what is the refinery margin trend that we are looking at in April, May?
VRK Gupta: No, we cannot give any guidance, April, May, what would be the ref ining margin. So last year, '25, '26, we ended up with 11.74. So why we cannot give you this refining margin? It depends on various parameters. And every parameter is changing on a daily basis, okay?
The crude price, the premium, the freight, the insurance, the product prices. So there is no stable environment where we can give you a little bit indication, okay, this would be look like. So

generally, we avoid giving any guidance on what would be the indicative GRMs. Many parameters it influences.
Bineet Banka : Okay sir. Thank you so much. I will get back in the queue.
Moderator: Thank you. The next question is from the line of Yash Nandwani from IIFL Capital. Please go ahead.
Yash Nandwani : Thanks for the opportunity. Sir, could you please provide some sense on the delivered crude cost currently, similarly like LPG that is said. We understand that OMCs are paying a premium over the dated Brent prices, along with elevated freight and insurance cost. So if possible, could you share a broad range for crude premiums currently?
VRK Gupta: It all depends on which source we take crude. But indicatively, you can take today's date, if you want to finalize any deal, the Brent is at around $110, maybe our landing will be $120 or $122, maybe today, if you ask me. So every day it changes, my landin g.
Yash Nandwani : Sure thanks. And sir, my second question is related to a point raised earlier. Given the current situation, is it fair to assume that we could see some meaningful price hike at periodic intervals rather than complete move back to daily price revisions?
VRK Gupta: I cannot comment on this. We cannot comment.
Moderator: Thank you. We'll take the next question from the line of Sume

et Rohra from Smartsun Capital PTE Limited. Please go ahead.
Sumeet Rohra : Hi sir, very good morning to you and your entire team. Firstly, sir, I mean, extremely great performance for the last financial year. Now sir, I'll just be very quick and brief about it. So sir, I've actually seen your statement wherein you said that you don't expect any stress on the balance sheet. Now sir, I am absolutely perplexed on this statement, which you've made. Because, sir, I mean, we all are aware about what kind of under recoveries today we are facing across all the products?
And sir, I mean, just my question to you, honestly, is more as an investor is that if today, bread prices can move up by INR 5 and milk can also go up at the same quantum, what's actually stopping the fuel prices from moving up?
As you've seen internationally, all the countries in the world have raised prices. So, the point I'm getting at, sir, is that how are we seeing the situation? Or what's the inflection point where you say that this war is now well into the 85 days, it's not getting resolved? We are going to align prices to market link. Because sir, today, we do 40 crore s liters of fuel across all the 3 OMCs and the amount of money we are losing.
So it's quite perplexing as an investor angle that what are we thinking exactly? So can you please share some thought at least and especially after you said that you don't expect any stress on balance sheet because obviously, your balance sheet is very str ong, but obviously, things are challenging. So, could you please explain a bit from an investor angle, sir?

VRK Gupta: Let me clarify. When I say there is no stress on the balance sheet, that is the status as on March '26, okay? Even there are certain under recoveries even during the month of March, but still, we could withstand. Now coming to the future, this particular e nvironment, we can absorb for a limited period. If it continues, definitely, no balance sheet can absorb.
Once the cash flow mismatch happens, we can absorb 1 month or 2 months. But subsequently, if it continues, definitely, there will be some solution so that our cash flow will continue. So, our cash is required for the future capex requirement, so we can put our investment. If it continues for a longer period of time, definitely, there will be stress if there is no price revisions happen.
Some point of time, the price revision and the burden has to be shared among all the stakeholders.
That is my statement when I say. But long term, we are hopeful the prices will come back to the normal level. So, at that point of time, whatever our estimat ed cash flows, if it continues, then there won't be any stress on the balance sheet. Even if we continue with the large project, there is no review of the existing announced project , that is what I meant.
Whatever we have announced, where the work is going on, we are not relooking that project, assuming it will normalize after some point of time. Now how long it will continue, in case if it continues for a longer period, definitely, no balance sheet can tak e that absorption.
Sumeet Rohra: Got that. So, si r, if I can just ask you only one thing very quickly. So, sir, I mean, what we saw yesterday, I mean, a INR0.90 hike or something. So sir, I mean, what is -- I mean, why can't we go back to a mechanism or what are the hurdles we are facing from going back t o the daily pricing wherein the pass -through is quite simply done on a daily basis, which was much before 2022. So, can we go back to that era again?

VRK Gupta: I cannot comment anything on the price revision. It is a s an industry we discuss and accordingly, what is good for the companies, what is good for the country. Accordingly, decisions have been taken by the industry.
Moderator: The next question is from the line of Somaiah V. from Avendus Spark.
Somaiah

V : Sir, my first question is on the products outside of the auto fuels, bitumen, petcoke, naphtha. If you could just help us understand on an integrated basis, have margins improved versus pre -war levels to now?
VRK Gupta: If you see the margins, marketing margins are -- depends on the import parity price only. There is no significant change in the marketing margins. Whatever in the earlier formula based on the formula, our marketing margins will continue. And the product -wise refining margin, generally, we don't calculate product -wise refining margins. Overall, refining margins only we calculate. That is the margin for the entire basket of products. But marketing side, everything is on import parity. All other products are on import parity only. Whatever, for example, my marketing margins are around 4% or 5% of my sale price, similar levels, we con tinue to maintain in terms of the marketing margins.

Somaiah V: Got it, sir. Sir, second question is on fuel and loss. If you could just help us understand what is the approx fuel and loss across refineries and if possible, across Kochi, Bombay, if you can just split it?
VRK Gupta: For Q4 total is 8.41% Kochi, 5.64% for Mumbai refinery and Bina is 9.01%, total fuel and loss.
Somaiah V: Sir, would we have a year back what this number would have been in case we have it handy?
VRK Gupta: Actually, I don't have. We'll share it. We'll share it. Similar range only. Maybe 0.2, 0.3 variation, either this side or that side. Generally, total fuel and loss will be less than that.
Moderator: The next question is from the line of Sucrit D. Patil from Eyesight Fintrade Private Ltd.
Sucrit Patil: I have 2 questions. The first question to Mr. Gupta is from a technical standpoint, how is Bharat Petroleum optimizing its capital structure to balance growth investments in refining, marketing and renewable energy with debt sustainability, especially give n the capital -intensive nature of oil and gas operations.
Can you shed some light on this , and on how the framework has been used for cash flow for forecasting, interest rate management and working capital to ensure liquidity while still maintaining the profits? First question, I'll ask the second question after this?
VRK Gupta: You asked one question, it covers everything, yes. Let me broadly give you a clarification on our capital allocation. Whatever projects we take, every project may not give the similar returns. The objective is when energy sector is growing at a 2% or 3% on an annualized basis, if you want to grow as a company, then you have to diversify even within the energy sector, which particular areas we have to keep the investment.
If you want to diversify beyond the energy sector, which sectors you have to allocate. The objective is how best optimum returns we can give it to our stakeholders. That is the main objective. So even when there is a market potential for renewables, we know the renewables will give only very -- rate of returns are around 8% to 9% only. But at the same time, we have net zero objectives. We have to balance our portfolio, keeping capital allocation for renewables. So, in terms of the returns point of view, it gives a lesser return. But objective point of view, we have to give more allocation for renewable. Accordingly, we have taken a target of 2 gigawatts in the immediate period for renewables. So even it is giving a lesser return, but our endeavor is what extent maximum we can use it within our refinery so that the returns will be much, much higher instead of purchasing power from outsourced sources, better to generate the renewable power.
It means 2 objectives, one is net zero objective as well as giving good returns in terms of using in our refinery. So that is the reason whatever expansions we are taking for 2 gigawatt, most of the output we are using with

in the refinery only.
And second, in terms of expansion point of view, we have seen there is a big potential advantage if we integrate the petrochemicals with our refinery intermediaries, then it can give a good value

addition for the refineries. That is the reason we have taken a couple of years back petrochemical strategy, where we don't have any big presence in petrochemicals. Then accordingly, we are

allocating a good amount of capital for the existing projects.
Even tomorrow, upcoming projects also, the petrochemical intensity will be very high, so that it can meet the product demand in India because the growth is almost 5% to 7% growth petrochemicals, whereas in India most of the petrochemical products are impor t driven. So that is the reason our major capital allocation, if you see, it is happening in petrochemicals.
The third major capital allocation is happening in upstream side, where we have already completed the exploration activities, where it is moving to development level, where we are putting up more amount of money so that we have a good clarity after commiss ioning of the project, the cash flows will come back.
And today, we have a refining capacity of around 41 million metric tons, whereas the feed, our own feed is very less as compared to our refinery requirement. So, with all these projects, we are expecting at least 6 million to 7 million metric ton of explor ation. We should have either rights on the crude oil or we should have share of profit on the crude oil.
Accordingly, we are targeting around 6 million to 7 million metric tons of crude, we should have our own. That is the reason we have allocated capital. But whatever capital allocation projects we take, definitely, if it is not giving a commercial return, generally, we are very prudent in terms of the capital allocation. If we are clear about the returns, then only we allocate any capital. You see any of our earlier projects of IREP or any other project. So, it always gives good returns. And our endeavor is timely completion of the project without any project cost escalation. These 2 are our objectives. So, in terms of the debt equity, earlier also, I said we never take extra leverage. We are comfortable debt equity at 1:1 at peak level. But subsequently, after commissioning the project, the debt equity should come back to the normalized level, say 0.4, 0.5. So then only we can take up that l arge project.
And most of the projects, we look at it, how fast the cash flows can come back, what is the netback period? As long as if the netback period is 5 to 6 years, then we are comfortable, at least 80%, 90% of my investment can come back in 4, 5 years. Then the risk levels will be lesser. So automatically, we can share the interest and debt. So, these are the broader principles we take.
Sucrit Patil: My second question to Mr. Goyal is, looking ahead, how do you see treasury operations evolving to support Bharat Petroleum's growth? What measures are being taken to strengthen liquidity management, forex risk mitigation and funding diversification across domestic and international markets?
Ashish Goyal : Hi, Ashish Goyal this side. So first and foremost, if you were to actually have a look at our borrowing structure, the foreign currency loans on the balance sheet are almost very minimal. So as far as the exposure in foreign currency borrowings are concerned, at the moment, at this particular juncture, it is very, very less.

Of course, the treasury functions keep on evaluating the cash flow situation on an ongoing basis, as well as the projections on the basis of the evolving market conditions. And we are taking all necessary steps to arrange for the funds at the most competit ive rates.
Moderator: We'll take the next question from the line of

Bineet Banka from Nomura.
Bineet Banka : Just a small follow -up on your answer to a previous question. You said landed crude cost versus the benchmark, the difference is currently $10 to $12 per barrel. What was this number before the war?
VRK Gupta: Before the war, I can say WT I, we used to take a Brent plus $5 -- Brent plus $4 or $5. And peak, it went up to $20 also, Brent plus $20, Brent plus $25 also certain cargoes we had on the deals.
Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments. Thank you, and over to you, sir.
VRK Gupta: Thank you, everyone, for your wholehearted participation in today's con call. Looking ahead, while markets may remain volatile in the near term, BPCL integrated operating model and resilient balance sheet position us well to navigate the evolving energy la ndscape.
As we celebrate our 50th foundation year, having successfully navigated multiple industry cycles , we remain confident in our long -term strategy, execution capabilities and ability to deliver sustained value. Aligned with the Government of India's vision, Atmanirbhar Bharat, we continue to strengthen domestic energy infrastructure and invest in future -ready energy platforms.
Before I conclude, I would like to take this opportunity to thank the entire BPCL team for their unwavering commitment and collective pursuit of excellence and growth. I also extend my sincere gratitude to the Ministry of Petroleum and Natural Gas, Governm ent officials, our valued customers, vendors and business partners for their continued support, trust and confidence as we move forward in energizing the lives of the country. Thank you.
Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Antique

Stockbroking Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.